

KEY MARKET TRENDS, IMPACTS, AND OUR RESPONSE

POSITIONING WASCO GREENERGY FOR LONG-TERM GROWTH



LEADING THE TRANSITION TO A SUSTAINABLE ENERGY FUTURE

As global energy systems transition toward cleaner, more sustainable and future-ready energy systems and assets, demand is accelerating for solutions that enable industrial decarbonisation while ensuring reliable, efficient and cost-effective energy generation. Wasco Greenergy is strategically positioned at the forefront of this transformation, delivering integrated bioenergy solutions across the value chain while progressively expanding into renewable energy assets to generate sustainable, recurring value. Through this approach, we are building a resilient and scalable platform that supports long-term growth and value creation across our business portfolio.

Our strategy is clear and decisive. The key market trends outlined below are not just forces we react to; they are the markets we are actively shaping with focus, agility, and foresight.

Acceleration of The Energy Transition and Industrial Decarbonisation

Market Impact

The global drive to achieve net-zero targets is intensifying the need for industries to decarbonise their most critical operations, particularly in the generation of power and process heat. To address this challenge, corporations are increasingly transitioning away from fossil fuels and adopting proven, reliable renewable energy solutions. This has led to a growing demand for advanced steam energy systems, especially those powered by biomass, biogas and other bio-waste, which enable cleaner, continuous and cost-effective energy generation while supporting circular economy principles.

Wasco Greenergy's Renewable Energy segment is strategically positioned to meet this demand, delivering integrated and high-efficiency solutions that support industrial decarbonisation and long-term sustainable energy generation.

Wasco Greenergy Response:

We deliver complete, end-to-end EPCC of bioenergy plants, managing the entire project lifecycle—from design and engineering to manufacturing, delivery, installation, and commissioning of renewable energy systems on-site. At the core of our projects is the EPCC of steam energy systems, complemented by the supply of high-efficiency steam turbine generator systems optimised for bioenergy applications. This commitment is further strengthened by our comprehensive after-sales services, ensuring sustained asset performance and maximising value for our clients throughout the lifecycle of their clean energy investments.

Growth in Bioenergy Solutions in Agriculture-Driven Markets

The Bioenergy Imperative in Agricultural Economies

The shift towards bioenergy solutions in agriculture-based economies is accelerating. Driven by the dual imperative of energy independence and decarbonisation, these markets are increasingly monetising agricultural by-products as sustainable energy sources. In plantation-rich regions like Malaysia and Indonesia, supportive government policies are actively adopting the circular economy solutions, driving sustained demand for reliable, high-efficiency and cleaner energy generation systems.

Wasco Greenery Response:

• Leveraging Our Market Leadership

We build on over 30 years of proven performance and a leading market position in steam turbine generator systems within the agricultural sector, particularly in the palm oil industry. This deep-rooted expertise and established track record position us as a trusted partner of choice for the region's leading agribusiness players.

• Driving Growth with Integrated Solutions

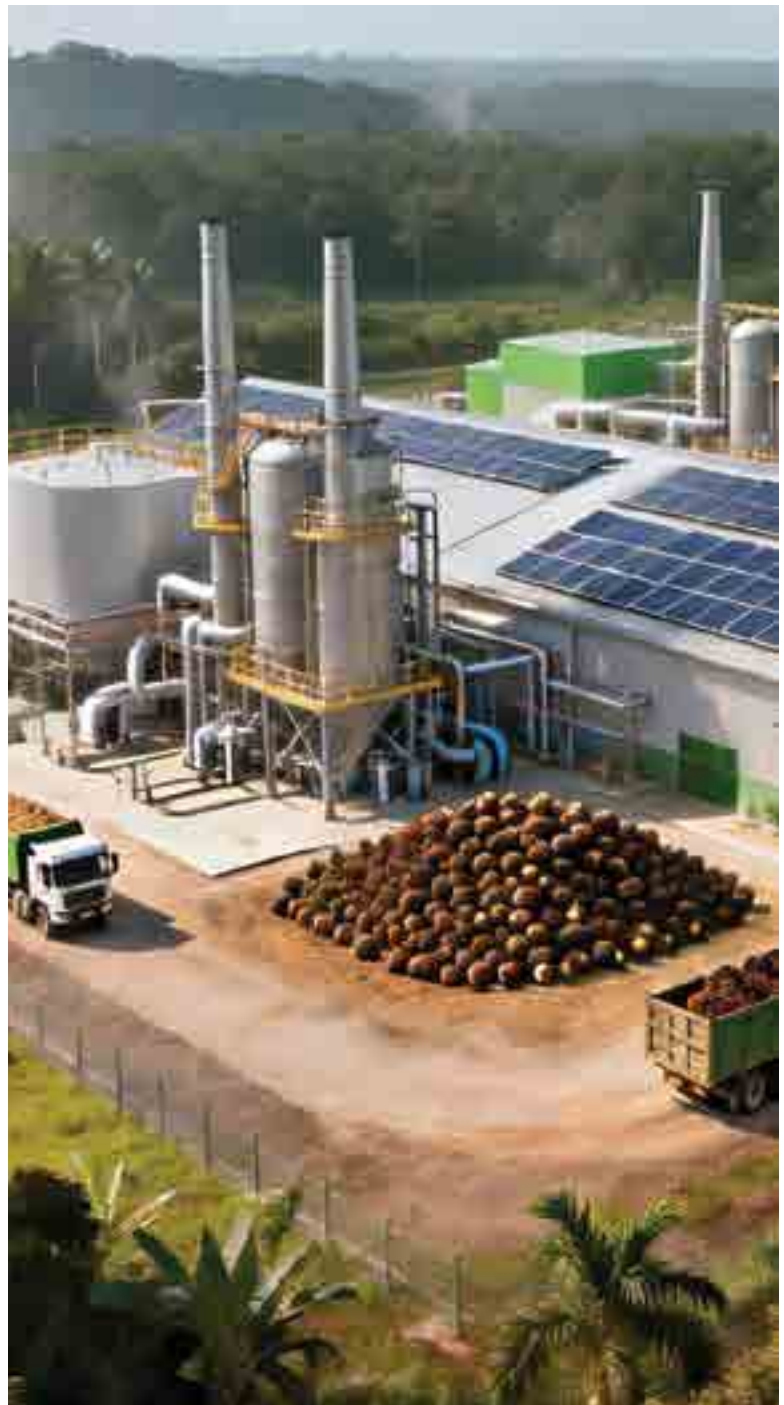
We are accelerating growth by delivering fully integrated bioenergy solutions. Our turnkey offerings—comprising steam energy systems, steam turbine generator systems, EFB presses, and comprehensive EPCC services—provide clients with a seamless, end-to-end platform to develop and implement complex biomass waste-to-energy projects.

• Ensuring Long-Term Asset Performance

Our commitment extends beyond project delivery. We are strategically strengthening our after-sales service capabilities in key growth markets, including Indonesia, to provide responsive, localised support that ensures long-term reliability, operational efficiency, and sustained value for our clients.

• Fostering Sustainable Community Growth

We are committed to growing alongside the communities we serve. Through active collaboration with regional stakeholders, governments, and local partners, we support the development of projects that drive sustainable industrial growth while contributing to national priorities such as rural electrification.



KEY MARKET TRENDS, IMPACTS, AND OUR RESPONSE

Infrastructure Modernisation and Energy Access in Emerging Markets

Emerging economies are navigating a dual challenge: modernising aging and often unreliable energy systems while expanding access to support economic growth and rising populations. Expanding conventional, fossil fuel-based capacity is no longer a sustainable solution, given increasing climate commitments, energy security concerns, and cost volatility.

This has driven growing demand for energy solutions that are cleaner, more reliable, decentralised, and rapidly deployable. As a result, the focus is shifting towards the development of localised renewable energy generation systems that leverage domestic resources, with biomass and other bio-waste emerging as a key components of national energy strategies across these markets.

Wasco Greenergy Response:

• Driving Modernisation with High-Efficiency Technology

We support the modernisation of aging and inefficient bioenergy systems by delivering advanced, high-efficiency steam turbine generator systems. In addition, we enhance overall plant efficiency in gas turbine-based systems through the integration of HRSG, enabling the recovery of waste heat to generate additional power or steam and improved overall plant performance. These solutions are deployed to upgrade or replace end-of-life equipment in existing facilities, or to serve as the reliable core of new bioenergy plants, improving efficiency while reducing emissions.

• Expanding Energy Access with Decentralised Solutions

Our core EPCC capabilities enable the development of turnkey bioenergy power plants, ideally suited for decentralised energy generation. These systems can be deployed in industrial parks or rural areas, providing reliable, continuous power at the point of demand. This supports national electrification objectives while enabling the development of industrial clusters beyond constrained grid infrastructure.

• Ensuring Long-Term Reliability and Performance

We recognise that long-term performance is critical, particularly in emerging markets. Our comprehensive after-sales services, supported by strategically located service centres, ensure sustained operational reliability, efficiency, and asset performance. Beyond project delivery, we remain committed to safeguarding our clients' investments and ensuring consistent energy generation over the asset lifecycle.

• Building Local, Sustainable Ecosystems

Our solutions create value beyond energy generation. By converting locally sourced agricultural residues into energy, we enable circular economy outcomes, generate additional income streams for local stakeholders, and enhance regional energy independence. Through close collaboration with governments, communities, and partners, we ensure each project contributes to sustainable economic development.



ESG Linked Procurement, Capital Access and Carbon Policy Pressures

ESG considerations have become a critical driver of business strategy and capital allocation. Corporations are increasingly required to align their operations with sustainability objectives, driven by three key forces:

- **Customer demand** for low-carbon and responsibly sourced products is reshaping procurement decisions and supply chains.
- **Capital markets** are prioritising sustainable investments, with increasing allocation towards green projects and more stringent financing conditions for carbon-intensive activities.
- **Regulatory developments**, including carbon pricing mechanisms and stricter environmental standards, are raising the cost of emissions and accelerating the shift towards cleaner energy solutions.

Wasco Greenenergy Response:

Wasco Greenenergy is engineered to thrive in this new ESG-driven economy. Our entire business model is designed to turn these market pressures into a competitive advantage for both our clients and ourselves. Our response is clear and direct:

• Enabling Decarbonised Supply Chains

We support our clients' transition towards low-carbon operations by delivering integrated biomass and bio-waste-to-energy solutions. Through our EPCC capabilities, we provide tangible, large-scale decarbonisation projects that contribute directly to the reduction of Scope 1 and Scope 2 emissions, while converting waste streams into sustainable energy. This strengthens our clients' ESG performance and enhances their positioning with customers and investors.

• Facilitating Access to Green Capital

We recognise that access to financing is critical to project execution. Our focus on bioenergy solutions positions our projects within recognised green investment frameworks, enhancing their attractiveness to ESG-focused investors and financial institutions. By aligning with sustainable finance criteria, our solutions support improved bankability, facilitate access to green capital, and strengthen overall project economics.

• Converting Regulatory Pressure into Value Creation

Our solutions provide a direct pathway for clients to address rising carbon costs and evolving regulatory requirements. By deploying bioenergy systems, our clients can reduce exposure to carbon pricing mechanisms, ensure compliance with environmental standards, and transform waste management challenges into value-generating energy assets. This enables a shift from regulatory compliance to proactive value creation and long-term sustainability leadership.



KEY MARKET TRENDS, IMPACTS, AND OUR RESPONSE

Demand for Digitalisation in Project Execution and ESG Monitoring

Market Impact

Stakeholder expectations for transparency and accountability are accelerating the adoption of digitalisation across large-scale renewable energy projects. This trend is driven by two key factors:

- **Project Execution:** Clients increasingly require digital tools to enhance delivery certainty, ensuring projects are executed safely, on schedule, and within budget.
- **ESG Verification:** Investors and regulators demand transparent, verifiable, and real-time data to assess environmental performance and ensure the credibility of sustainability claims.

As a result, market value is shifting beyond the physical asset towards predictable performance and data-driven ESG credentials.

Wasco Greenergy Response:

1. Enhancing Project Delivery through Digital Execution

As an EPCC partner, we integrate digital tools across project execution and supply chain management to enhance delivery efficiency and transparency. Through the adoption of integrated 3D modelling ("BMI"), digital supply chain coordination, and real-time progress monitoring, we minimise execution risks, optimise scheduling, and support the consistent delivery of projects in line with client expectations.

2. Enabling End-to-End ESG Transparency

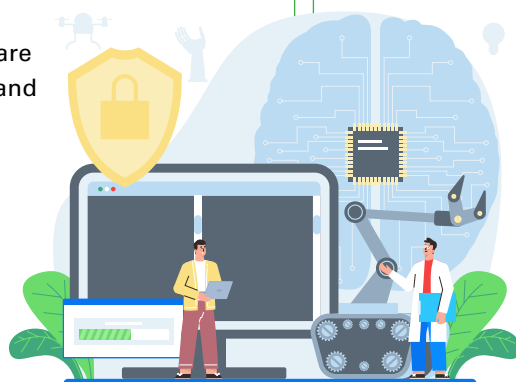
We are strengthening transparency across both our operations and the assets we deliver.

Within Our Operations:

We are scaling our AI-enabled CARE Card system to enhance site safety, workforce training, and compliance monitoring. In parallel, we are implementing governance and environmental dashboards to track and manage ESG performance across our operations.

For Our Clients:

Our energy generation systems are designed to be digitally enabled, providing clients with verifiable, data-driven insights on key performance indicators such as energy generated, waste processed, and emissions avoided. This supports enhanced ESG reporting and strengthens stakeholder confidence.



3. Driving Long-Term Value through Data-Enabled Lifecycle Services

The data generated from our systems forms the foundation of our lifecycle service offering. We are developing capabilities in predictive maintenance and asset performance analytics to reduce downtime, improve operational efficiency, and enhance asset reliability. This enables us to support our clients beyond project delivery, ensuring sustained performance and long-term value creation throughout the asset lifecycle.

OUR OUTLOOK: POSITIONED FOR LEADERSHIP IN THE ENERGY TRANSITION

The structural trends reshaping global energy—from industrial decarbonisation and the growth of the circular economy to ESG-driven capital allocation and digitalisation—form the foundation of Wasco Greenergy’s strategic direction. We are not only aligned with these trends, but are also strategically positioned to capitalise on them, translating global challenges into sustainable growth opportunities.

Our primary growth areas are clear and focused:

- **Strengthening Leadership in Bioenergy Systems**

Our core expertise lies in delivering turnkey EPCC solutions for bioenergy plants. We see sustained growth potential in agriculture-driven markets, where we have an established presence and strong industry track record.

- **Expanding Our EPCC Capabilities Across Adjacent Segments**

We will leverage our engineering and fabrication capabilities to support the development of adjacent renewable and industrial energy projects, including grid-support systems and other clean energy applications that benefit from our expertise in steam and power generation systems.

- **Advancing Digitalisation and ESG Traceability**

Our ability to deliver verifiable, data-driven ESG performance is an increasingly important differentiator. We will continue to enhance our digital capabilities to support transparent project execution, asset monitoring, and ESG reporting, in line with the evolving expectations of clients, investors, and regulators.

- **Enhancing Access to ESG-Linked Capital**

We will continue to align our business with recognised sustainability frameworks, strengthening access to ESG-linked financing and sustainable capital. This not only supports our own growth but also enhances the bankability and financial attractiveness of our clients’ projects.

OUR STRATEGY:**DISCIPLINED EXECUTION FOR SUSTAINABLE GROWTH**

Wasco Greenergy is a key enabler of the energy transition. Our strategy is anchored in disciplined execution, focused on strengthening our core capabilities, embedding sustainability and digitalisation across our operations, and building long-term partnerships with stakeholders.

This approach positions the Group to deliver resilient and responsible growth while creating sustained, long-term value in the evolving energy landscape.



STAKEHOLDER ENGAGEMENT

We recognise that effective stakeholder engagement is fundamental to identifying material sustainability matters and strengthening long-term value creation. During FY 2025, we conducted structured engagement to understand stakeholder expectations, assess emerging sustainability risks and validate strategic priorities.

Engagement was conducted through management discussions, operational workshops, customer interactions, supplier performance reviews, regulatory dialogue and participation in industry forums.

Insights gathered through these engagements informed our double materiality assessment and helped identify sustainability matters that are most relevant to operational resilience, regulatory compliance, workforce stability and long-term financial performance.

The table below summarises our key stakeholder groups and the primary methods through which we engage with them.

Our Stakeholders	Stakeholder Value Proposition	Concerns/Issues Raised
Employees 	Employees are central to our daily operations and overall long-term success. By fostering a supportive and inclusive workplace with opportunities for professional development and growth, we aim to sustain a motivated and high-performing workforce that contributes to operational excellence and strong business.	• Equal opportunities • Diversity and inclusion • Career development and progression • Employee benefits and rewards
Shareholders & Investors 	Our shareholders and investors play a critical role in providing the capital that supports our growth and long-term development. Maintaining transparent communication and constructive relationships with them is essential to sustaining financial stability, strengthening market confidence and supporting long-term value creation.	• Long-term profitability • Sustainability considerations • Financial and operational performance • Regulatory compliance
Customers 	As a provider of renewable energy solutions, we work closely with customers across various industries. These relationships are critical in shaping our revenue profile, operational performance and market positioning. Through continuous engagement, we seek to better understand customer requirements and deliver solutions that support their operational efficiency and performance objectives.	• Business growth and continuity • Operational risks and challenges • Data protection and customer privacy • Quality, delivery and service reliability
Government & Regulators 	Government and regulatory authorities establish the legal and regulatory frameworks that shape our industry and guide our operations. Constructive engagement with these stakeholders is essential to ensuring regulatory compliance, obtaining necessary approvals and maintaining a stable operating environment.	• Regulatory compliance • Environmental and operation impact management

STAKEHOLDER ENGAGEMENT

Stakeholder Groups



Employees



Shareholders & Investors



Customers



Government & Regulators



Suppliers & Contractors



Local Communities



Media



Partners & Principals



Financial Institutions

Frequency of Engagement



Weekly



Monthly



Quarterly



Annually



As and when needed

Engagement Platform	Frequency of Engagement	Wasco Greenenergy's Approaches
Healthcare talk	Monthly	We recognise that our employees are a key driver of the Group's performance and innovation. We are committed to nurturing talent through inclusive workplace practices, structured performance management, and competitive benefits, while continuously strengthening engagement by expanding digital platforms for real-time collaboration, enhancing Diversity, Equity, and Inclusion ("DEI") initiatives at all levels, and leveraging data analytics to inform our leadership development and engagement strategies.
Employee surveys	Quarterly	
Informal engagement sessions (e.g. Tea talk)	Quarterly	
Townhall meetings	Annually	
MyGoals performance reviews	Annually	
Workplace meetings and employee briefings	As and when needed	
Intranet and bulletins	As and when needed	
Internal communications platforms (e.g. LinkedIn)	As and when needed	We are committed to delivering sustainable value to our shareholders through disciplined financial management, transparent disclosures and consistent operational performance, while integrating sustainability considerations into our business strategy and decision-making.
Quarterly results announcements	Quarterly	
Investor relations section of our website	As and when needed	
One-to-one investor meeting	As and when needed	
Group investor meeting	As and when needed	
Press release and coverage	As and when needed	
Annual General Meeting	Annually	We focus on delivering reliable, efficient and integrated solutions that support customers' operational requirements, while continuously strengthening our quality standards, delivery performance and service capabilities.
Quality certification audits	As and when needed	
Regulatory site visits and audits	As and when needed	
Customer engagement through social platforms	As and when needed	
Official website	As and when needed	
Marketing events	As and when needed	
Customer satisfaction surveys	As and when needed	We maintain robust governance structures and internal controls to manage regulatory risks, ensure compliance with applicable laws and regulations, and conduct our operations responsibly and with integrity.
Formal correspondence, including emails and letters	As and when needed	
Dialogues and briefings with the authorities	As and when needed	
Workshops and training organised by the relevant regulatory authorities, including Malaysia Anti-Corruption Commission	As and when needed	

STAKEHOLDER ENGAGEMENT



Our Stakeholders	Stakeholder Value Proposition	Concerns/Issues Raised
Suppliers & Contractors 	Suppliers and contractors play a vital role in supporting our operations and supply chain. Effective engagement and collaboration with these stakeholders are essential to maintaining operational reliability, upholding quality standards and ensuring efficient project execution.	• Fair and transparent procurement • Sustainable supply chain management • Long-term business relationships
Local Communities 	Local communities form an important part of the social environment in which we operate. Building constructive relationships with these communities supports trust, mutual understanding and our social licence to operate.	• Community wellbeing and social impact • Employment opportunities and local development
Media 	The media serves as an important channel for communicating with stakeholders and the broader public. Proactive and transparent engagement with media organisations supports accurate dissemination of information and strengthens public understanding of our business activities and sustainability initiatives.	• Accurate and timely information • Transparency and responsible communication • Compliance with disclosure requirements
Partners & Principals 	Partners and principals play an important role in supporting our strategic growth and operational execution. Constructive and well-governed collaborations contribute to innovation, business development and the delivery of sustainable long-term value.	• Anti-bribery and corruption • Operational and financial performance • Long-term value creation • Ethical business practices • Health, Safety, and Environment ("HSE") • Human rights and responsible business conduct
Financial Institutions 	Financial institutions provide the foundational funding and services that support the Group's expansion and financial health. Through strong relationship management, we ensure reliable access to capital, unlock investment opportunities, and solidify our financial resilience. We prioritise collaboration with financial entities that share our sustainability goals to drive collective environmental and economic growth.	• Growth project progress and deliverables • Operational, commercial and financial performance

STAKEHOLDER ENGAGEMENT

Stakeholder Groups



Employees



Shareholders & Investors



Customers



Government & Regulators



Suppliers & Contractors



Local Communities



Media



Partners & Principals



Financial Institutions

Frequency of Engagement



Weekly



Monthly



Quarterly



Annually



As and when needed

Engagement Platform	Frequency of Engagement	Wasco Greenergy's Approaches
Negotiations with vendors/suppliers	●	We foster constructive and transparent relationships with suppliers and contractors, guided by our Supplier Code of Conduct and procurement policies, to promote ethical practices, operational reliability and long-term collaboration.
Periodic supplier performance evaluations	●	
New vendor evaluation and registration	●	
Charitable contributions and community support initiatives	●	We engage with local communities through responsible operational practices, local employment and internship opportunities, and participation in community and volunteer initiatives aligned with local needs.
Community outreach and development programmes	●	
Strategic partnerships	●	
Press release and coverage	●	We engage with media partners in a transparent and responsible manner, providing timely and accurate information while ensuring compliance with applicable disclosure requirements and corporate communication protocols.
Press conference and media briefings	●	
Ongoing engagement sessions and interviews	●	
Conferences and forums	●	We manage partnerships through structured engagement, ongoing performance monitoring and periodic strategic assessments. These collaborations are governed by clear contractual frameworks and supported by robust policies on anti-bribery and corruption, ethical conduct, and responsible business practices.
Day-to-day operational interactions	●	
Regular coordination meetings	●	
Site visits	●	
Strategic dialogues and planning discussions	●	
Engagement sessions	●	We foster transparent, long-term relationships with financial institutions to secure capital and bolster financial resilience. Our approach focuses on strategic collaboration with partners who align with our sustainability objectives to drive integrated environmental and economic value.
Regular meetings	●	

MATERIALITY AND STRATEGIC ALIGNMENT



OUR APPROACH TO IDENTIFYING WHAT MATTERS MOST

This year, we undertook an Independent Double Materiality Assessment for Wasco Greenery to ensure our sustainability priorities remain current, strategically aligned and responsive to our evolving risk landscape.

To enhance the robustness and independence of the process, we partnered with LRQA to conduct this assessment, marking our first dedicated double materiality exercise and a significant milestone in the strengthening of our sustainability governance framework.

This assessment includes best practice advice from GRI 3: Material Topics 2021 and Malaysia's National Sustainability Reporting Framework ("NSRF"), which references IFRS S1 General Requirements for Sustainability-related Disclosures.



MATERIALITY AND STRATEGIC ALIGNMENT

The assessment evaluates sustainability topics through two complementary perspectives:

Impact Materiality

How our activities impact the environment, society and economy

Financial Materiality

How sustainability-related risks and opportunities may affect our financial performance and long-term value creation

The assessment process considered the impacts, risks, and opportunities over the short, medium, and long term, spanning the entire value chain of our Group.

Assessing our priorities through the double materiality concept enables a more holistic view of potential risks and opportunities across our value chain, strengthens strategic decision-making, enhances enterprise risk management and supports resilient long-term value creation amid evolving regional and global developments. It also reinforces our commitment to advancing industry-leading sustainability practices and meeting the evolving expectations of our diverse stakeholders.

Material topics were identified through structured evaluation of stakeholder input, operational risk assessments, regulatory developments and industry benchmarking. Each topic was assessed and scored based on:

Level of importance to stakeholders; and

Degree of relevance to the Group's operations and strategic objectives.



Climate-related risks identified through this assessment are further assessed through scenario analysis, as presented in the Climate Risk and Opportunity Assessment section on pages 82 to 87.



MATERIALITY AND STRATEGIC ALIGNMENT

A Disciplined, Four-Step Assessment Process

Our process is structured to ensure a comprehensive and objective evaluation, culminating in a set of priorities validated by senior leadership and the Board Sustainability Committee ("BSC").

1. Landscape Review

We conducted a review of our existing sustainability topics to ensure continued relevance to our business model, strategic priorities and regulatory environment. This review included analysis of global sustainability standards and disclosure frameworks, including Sustainability Accounting Standards Board ("SASB") standards, benchmarking against industry peers and rating indices in the renewable energy sector, consideration of macroeconomic, environmental and regulatory megatrends, and a review of internal policies, risk registers and strategic plans.

Wasco Greenergy's value chain is broadly described as follows:

- **Upstream:** refers to the activities of suppliers and partners providing key inputs to Wasco Greenergy's operations, including raw materials, components and specialised equipment used in the manufacturing of bioenergy systems such as biomass boilers, steam turbines and other related infrastructure.
- **Own operations:** comprises activities within Wasco Greenergy's direct control, including the design, engineering, fabrication and assembly of steam energy systems, as well as project delivery through EPCC, and related maintenance and technical support services.
- **Downstream:** covers the deployment and use of bioenergy systems by our clients, particularly in industrial and agro-based sectors, where the equipment enables the conversion of biomass waste into heat and power, supporting renewable energy applications and reduced reliance on fossil fuels.

This process resulted in a refined list of potentially material sustainability matters, grouped under four key themes.



Themes	Sustainability Matters	
Environmental Stewardship and Resilience	• Greenhouse Gas • Energy Management • Water • Waste Management	• Climate Change • Energy Transition • Biodiversity
Empowered and Inclusive Workforce	• Human Rights • Labour Practices • Training and Development	• Health and Safety • Diversity, Equity and Inclusion
Enterprise Resilience and Market Connectivity	• Product Quality • Product Design • Responsible Supply Chain Practices	• Local Communities • Marketing and Communications • Digitalisation
Trust and Transparency	• Social Engagement • Business Ethics	• Sustainable Finance

2. Stakeholder Engagement

We engaged a broad cross-section of stakeholders to assess the relevance and significance of identified sustainability topics from both impact and financial materiality perspectives. This included in-depth interviews with three members of board of directors and senior management to capture strategic insights, as well as survey internal and external stakeholders for structured, quantitative scoring.

To deepen our financial materiality analysis, we also conducted a dedicated prioritisation exercise with finance team. This enabled a more granular understanding of how sustainability issues may affect financial performance and long-term strategic positioning.

3. Assessment and Prioritisation

Sustainability topics were assessed using a structured evaluation framework informed by stakeholder input and supplementary desktop analysis. Impact (outward) materiality was evaluated based on the scale, scope and likelihood of impacts on the environment and society, considering both positive and negative, and actual and potential effects.

Financial (Inward) Materiality was assessed based on the magnitude and likelihood of financial impacts on the business, including risks and opportunities, and the anticipated time horizon over which these may materialise. These time horizons were defined as short term (1 year), medium term (2–5 years), and long term (beyond 5 years), ensuring a consistent and forward-looking view of how sustainability related risks and opportunities may mature over time.

Insights from the Climate Change Risk Assessment were also reviewed and integrated into the overall assessment process.

4. Validation

The prioritised sustainability topics were reviewed and validated by the Sustainability Steering Committee to ensure alignment with our strategic objectives, enterprise risk management framework and stakeholder expectations. These were subsequently also presented to the BSC.



MATERIALITY AND STRATEGIC ALIGNMENT

RESULTS OF THE DOUBLE MATERIALITY ASSESSMENT

The following tables present the seven key material matters, together with the sustainability related impacts, risks and opportunities most relevant to our business. Additional information on each material matter can be found in the corresponding chapters of this Sustainability Statement.



Actual



Potential

Value Chain Step:

Upstream



Downstream



Own Operations

Timeframe:

Short-term to Medium term



Medium-term to Long-term

Energy Transition

Investing in and integrating low-carbon and renewable energy technologies to build a more agile, resilient business, while expanding our bioenergy solutions and downstream services create a direct, actual impact by helping clients accelerate their decarbonisation efforts.

IMPACT MATERIALITY

NEGATIVE IMPACT	POSITIVE IMPACT	PAGE NO.
The deployment of renewable energy solutions is concentrated in specific sectors and geographies, which may limit the scale and pace of Wasco Greenergy's overall contribution to the energy transition in the near term.	Wasco Greenergy's bioenergy solutions directly support the global energy transition by enabling clients to shift away from fossil fuels towards lower-carbon energy sources, contributing to reduced lifecycle emissions and supporting decarbonisation across energy-intensive industries.	78-81 98

FINANCIAL MATERIALITY

RISK	OPPORTUNITY	PAGE NO.
Rapid shifts in regulatory requirements and evolving client expectations for low-carbon solutions may impact project viability, cost structures and competitiveness, particularly as technologies and market standards continue to evolve.	Growing demand for low-carbon energy solutions, supported by tightening regulations and decarbonisation commitments, presents significant opportunities to expand our business portfolios, through EPCC and BOO models, strengthening client partnerships and drive long-term revenue growth.	78-81 98



MATERIALITY AND STRATEGIC ALIGNMENT

Waste Management

The responsible handling, reduction and disposal of waste generated across Wasco Greenergy's operations and value chain, including the promotion of resource efficiency and circular practices such as converting biomass waste into usable energy, while minimising environmental impact.

IMPACT MATERIALITY 		
NEGATIVE IMPACT	POSITIVE IMPACT	PAGE NO.
Waste generated across our value chain, including production waste and downstream biomass residues such as ash from biomass combustion, which require proper handling and disposal to prevent localised environmental harm.	Wasco Greenergy's engineered bioenergy systems enable clients to convert biomass waste into usable energy, contributing to a more circular economy.	24-25 95-96 116

FINANCIAL MATERIALITY 		
RISK	OPPORTUNITY	PAGE NO.
Improper biomass waste disposal can lead to regulatory fines, environmental impact, and reputational damage.	Our bioenergy solutions support value creation by converting waste into energy and enabling new power generation opportunities through circular, low-carbon solutions.	24-25 95-96 116

Greenhouse Gas ("GHG")

GHG emissions (e.g. direct emissions from fuel, indirect emissions from electricity) arising from our operations and supply chain activities.

IMPACT MATERIALITY 		
NEGATIVE IMPACT	POSITIVE IMPACT	PAGE NO.
Some GHG emissions are generated across our value chain, particularly from manufacturing processes and energy use within our facilities.	Our bioenergy solutions support the reduction of net GHG emissions by enabling clients to substitute fossil fuels with lower-carbon biomass energy, contributing to decarbonisation in energy-intensive industries. This aligns with our broader commitment to accelerate the transition to lower-carbon energy systems.	76-81 87-94 98 116

FINANCIAL MATERIALITY 		
RISK	OPPORTUNITY	PAGE NO.
Evolving climate regulations, especially the introduction of carbon pricing mechanisms and tightening emissions standards, may increase operational and compliance costs, and require additional investment in emissions reduction initiatives and low-carbon technologies for manufacturing and facility operations.	The Group set net zero Scope 1 and Scope 2 emissions by 2026, demonstrating leadership in climate action and enhancing our credibility with clients, investors and regulators. Our bioenergy solutions support the reduction of net GHG emissions by enabling clients to substitute fossil fuels with lower-carbon biomass energy, contributing to decarbonisation in energy-intensive industries.	76-81 87-94 98 116

MATERIALITY AND STRATEGIC ALIGNMENT

Health and Safety

The protection of physical and mental wellbeing across Wasco Greenergy's workforce employees, suppliers, contractors and business partners in the supply chain through safe workplace, reduced hazards and prevention of occupational accidents.

IMPACT MATERIALITY		 
NEGATIVE IMPACT	POSITIVE IMPACT	PAGE NO.
Health and safety risks inherent to our operations, including welding and cutting activities, heavy lifting and working at heights, may expose workers to hazards such as metal fumes, UV radiation, physical strain and fall-related injuries, potentially resulting in harm to the physical wellbeing of employees, contractors and service providers.	Maintaining robust HSE policies and practices across our operations, enable us monitoring the manufacturing processes while supports the physical wellbeing of employees, contractors and service providers, while fostering a strong safety culture and contributing to a safe, resilient and productive workforce.	99-102 117
FINANCIAL MATERIALITY		 
RISK	OPPORTUNITY	PAGE NO.
Health and safety incidents arising from operational hazards may lead to escalating direct costs such as medical treatment, compensation and regulatory penalties, as well as operational disruptions, workforce productivity impacts and reputational damage.	Proactively managing health and safety risks through robust HSE systems, regular monitoring, site inspections, on-site medical support, and digital CARE card enables Wasco Greenergy to identify emerging safety issues early, reduce incidents and liabilities, maintain uninterrupted operations, and reinforce stakeholder confidence in the company's commitment to safe and responsible operations.	99-102 117

Climate Change

Measures to mitigate and adapt to the impacts of long term shifts in climate patterns, including both physical risks, such as extreme weather events, temperature changes and chronic environmental stresses, and transition risks arising from evolving policies, technologies and market expectation.

IMPACT MATERIALITY		  
NEGATIVE IMPACT	POSITIVE IMPACT	PAGE NO.
Climate-related hazards, including extreme weather events, flooding and rising temperatures, may disrupt operations, affect workforce health and safety, and impact project progresses. These risks are particularly significant in regions where Wasco Greenergy currently operates, as climate vulnerability continues to intensify.	Our contribution towards climate change mitigation through the provision of renewable solutions to our clients for their lower-carbon energy generation. In parallel, the implementation of climate adaptation measures such as enhanced operational controls and workforce protection practices enhances our resilience to physical climate risks across operations.	78-87 116
FINANCIAL MATERIALITY		 
RISK	OPPORTUNITY	PAGE NO.
Physical climate risks, such as flooding and heat stress, may lead to asset damage, operational disruptions, reduced productivity and increased maintenance costs. Transition risks, including evolving regulations, technologies and market expectations, may also require additional investment to remain competitive and compliant over time.	Strengthening climate resilience through proactive adaptation measures, alongside expanding low-carbon energy solutions, enables us to mitigate operational risks, preserve business continuity, and position ourselves to capture opportunities arising from the global transition to a more climate-resilient and low-carbon economy.	78-87 116

MATERIALITY AND STRATEGIC ALIGNMENT

Human Rights

The respect and protection of fundamental human rights across Wasco Greenergy's operations and value chain, including ensuring fair treatment, safe working conditions and the prevention of forced labour, child labour and other forms of exploitation, particularly for vulnerable groups such as migrant and foreign workers.

IMPACT MATERIALITY



NEGATIVE IMPACT	POSITIVE IMPACT	PAGE NO.
Exposure to forced or child labour risks in upstream supply chains, particularly in sectors such as palm oil plantation where bioenergy equipment is used, poses serious human rights concerns, including threats of rights to freedom from forced labour, protection of children, and conducive working conditions.	We are committed to respect and uphold human rights across our operations, guided by the United Nations Guiding Principles on Business and Human Rights. Wasco Greenergy's Human Rights Policy prohibits forced labour, child labour and discrimination, and is integrated into core business processes. Our suppliers are expected to comply with these standards, and training, screening and monitoring mechanisms support the promotion of safe and equitable working conditions.	105-107

FINANCIAL MATERIALITY



RISK	OPPORTUNITY	PAGE NO.
Human rights abuses can result in immediate and tangible business impacts, including regulatory penalties, corrective action costs, supply chain disruptions, reputational damage, and operational interruptions. Even with strong internal controls, risks may materialise in the supply chain where oversight is more challenging.	By strengthening human rights management, monitoring supply chain compliance, and enforcing ethical labour standards, we can reduce exposure to regulatory and reputational risks, enhance trust among stakeholders, and reinforce its position as a responsible operator in the energy transition sector. Our recent commitment to empower our supply chain partners in ESG readiness, including human rights due diligence, further supports this opportunity.	105-107

Energy Management

Management of energy consumption and efficiency and the use of renewable energy sources (e.g. solar energy) throughout Wasco Greenergy's operations.

IMPACT MATERIALITY



NEGATIVE IMPACT	POSITIVE IMPACT	PAGE NO.
Direct energy consumption in manufacturing processes and project execution contributes to operational costs and GHG emissions, particularly where energy efficiency measures are not fully optimised.	Implementation of energy-efficient equipment, process optimisation and the adoption of renewable energy solutions, such as solar installations at selected facilities, help reduce energy consumption, lower emissions and improve the overall sustainability of operations.	76-78 93-94 116

FINANCIAL MATERIALITY



RISK	OPPORTUNITY	PAGE NO.
Fluctuations in energy prices and evolving electricity tariffs may increase operating costs and affect cost predictability, particularly for energy-intensive manufacturing activities, although these risks are partially mitigated through investments in energy efficiency and on-site renewable energy.	By investing in energy-efficient systems, process improvements and renewable energy solutions, Wasco Greenergy strengthens operational efficiency, mitigates exposure to energy price volatility, and supports the Group's ongoing commitment to decarbonisation and improved energy performance.	76-78 93-94 116

MATERIALITY AND STRATEGIC ALIGNMENT



The double materiality assessment reaffirmed the sustainability matters where Wasco Greenenergy has the greatest impact, guiding how we navigate an evolving sustainability landscape and support long-term value creation. Our priority areas are summarised as follows:

Driving the Low-Carbon Transition:

deploying renewable energy solutions, reducing GHG emissions, and aligning with emerging climate and energy regulations to support clients' decarbonisation and advance Wasco Greenenergy's net zero ambitions.

Operational Resilience and Responsible Practices:

safeguarding health, safety and human rights across our workforce and value chain, while strengthening climate adaptation, waste management, and ethical supply chain practices.

Sustainable Growth and Financial Stewardship:

leveraging Sustainability-linked financing, sustainable investments, and innovative solutions to enhance long-term business resilience, stakeholder trust, and value creation.

Moving forward, we will build on the insights from this assessment to further refine and strengthen Wasco Greenenergy's sustainability strategy, ensuring it remains aligned with our business priorities and evolving market expectations. These insights will be progressively embedded into our risk management and decision-making processes, enabling us to better anticipate emerging risks and opportunities and respond in a more structured and proactive manner. By integrating these considerations into our strategic planning and capital allocation, we aim to enhance the resilience of our operations, support sustainable growth, and strengthen our ability to deliver long-term value in a rapidly evolving energy landscape.



KEY RISKS AND MITIGATION STRATEGIES

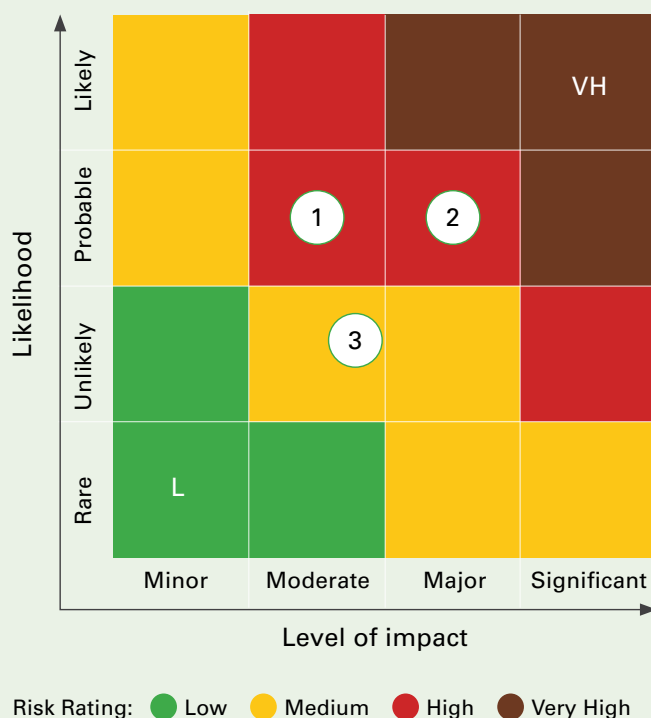
RISK MANAGEMENT:

SAFEGUARDING OUR VALUE, SECURING OUR FUTURE

A COMMITMENT TO RESILIENT VALUE CREATION

At Wasco Greenergy, our primary objective is to create sustainable, long-term value for our stakeholders. We recognise that in a dynamic global landscape, achieving this goal requires a proactive and structured approach to managing risk. Our philosophy is not to avoid risk, but to manage it intelligently, ensuring we can navigate uncertainty and seize opportunities with confidence.

Wasco Greenergy has adopted a comprehensive Risk Management (“RM”) framework, which is deeply integrated into our strategic planning and execution processes. Aligned with the principles and guidelines established under ISO 31000:2018 Risk Management, our RM process provides a consistent and systematic methodology for identifying, assessing, mitigating, and monitoring potential risks that could impact our corporate objectives. This robust framework ensures that we maintain our resilience and safeguard the Group’s value and reputation.



In line with our commitment to sustainability and addressing the challenges of the global energy transition, we have also performed a detailed assessment of climate-related risks. A comprehensive discussion of our findings and our strategies for managing these specific risks can be found in the dedicated section on pages 82 to 87 of this report.

Through this process, we have identified and continuously monitor our Key Enterprise Risks (“KERs”). These are the principal risks that could affect the achievement of our strategic goals. We manage these KERs within the Group’s defined risk appetite and tolerance levels, ensuring that our strategic decisions are balanced and well-informed. The following narrative details these key risks and the comprehensive mitigation strategies we have in place to manage them effectively.

KEY RISKS AND MITIGATION STRATEGIES

Market and Competition **Risk Level: High**

Risk Definition: The Group's performance can be affected by market conditions and the competitive landscape. There is a risk of a decline in sales arising from intensified competition, adverse market conditions, or changes in the regulatory and trade environment.

Key Trends:

- Cost competitiveness pressure from competitors benefitting from economies of scale and lower operating costs.
- Protectionist policies in foreign markets restricting access and increasing trade barriers.
- Regulatory changes affecting import requirements, compliance costs and project timelines.
- New and aggressive competitors intensifying competition and increasing pricing pressure.

Potential Impacts:

- Loss of sales and reduction in market share.
- Inability to achieve the Group's strategic and financial goals.
- Pressure on gross profit margins.
- Prolonged decline in traditional markets, potentially impacting financial performance and limiting the Group's ability to secure financing or raise capital.

Existing Controls:

- (1) Focus on streamlining existing standard products offerings aligned with higher market demand.
- (2) Deployment of regional sales personnel and local agents to support market development and customer engagement.
- (3) Regular updates to costing models to reflect the fluctuations in material prices and foreign exchange movements.
- (4) Diversification into environmental and industrial equipment segments to broaden revenue streams.
- (5) Optimisation of the existing product portfolio through cost rationalisation and efficiency improvement initiatives.

Proposed Action Plans:

- (1) Establish a new representative office in Indonesia to strengthen market presence, support business development, and enhance customer engagement.
- (2) Optimise cost competitiveness through strategic sourcing of materials and production from lower-cost locations.

Results of Mitigation Measures**Demonstrated Resilience and A Strong Outlook**

The effectiveness of our strategic initiatives is reflected in our solid commercial performance and the continued confidence of our customers. As at 31 December 2025, our order book stood at a robust RM241.3 million, with majority of this order book scheduled for revenue recognition in the FY 2026. This provides strong earnings visibility and a well-established revenue pipeline for the year ahead.

The Group will leverage its strong position to continue executing its strategic priorities with confidence while supporting sustainable growth and long-term value creation.

KEY RISKS AND MITIGATION STRATEGIES

Supply Chain**Risk Level: High**

Risk Definition: Our reliance on a primary supplier for specialised machinery critical to our operations exposes us to significant supply chain, pricing, and geopolitical risks.

Key Trends and Potential Impacts:

Our biggest immediate risk is non-renewal of agency contract. If that happens, we could not represent the brand and serve our customers, which would hurt our revenue and reputation.

Existing Controls:

- (1) Worked closely with the principal on their local assembly and successfully extended the agency arrangement for another three years.
- (2) Strengthen the after-sales services team and expand new service centres in Indonesia.
- (3) Diversify into new product range and other industrial processing equipment.
- (4) Appointed new agents to focus on key customers within the product portfolio.
- (5) Developed a strategic alliance with other equipment providers to offer synergistic solutions to the market.
- (6) Join ventured with a partner company to expand capabilities in specialised equipment.

Proposed Action Plans:

- (1) Continue to strengthen our relationship with the principal through ongoing collaboration, joint planning, and regular engagement.
- (2) To expand and strengthen our sales network across Southeast Asia.
- (3) To set up a new sales office in Jakarta to enhance market coverage and customer engagement.

Results of Mitigation Measures

These actions are expected to strengthen collaboration with the principal, enhance regional market coverage, and improve customer engagement in Southeast Asia. The establishment of a Jakarta sales office will support increased market penetration and responsiveness, contributing to improved commercial performance with effectiveness actively monitored on an ongoing basis.



KEY RISKS AND MITIGATION STRATEGIES

Talent

Risk Level: Medium

Risk Definition: Risk of talent acquisition and retention adversely impact operational performance and business growth, with succession constraints arising from a limited availability of ready successors for key and technical roles.

Risk Trends and Impacts

- (1) Less competitive compensation packages may affect the Group's ability to attract and retain skilled talent.
- (2) Workplace culture dynamics may affect employee engagement and productivity, with potential implications on retention and overall performance.
- (3) Limited career progression and development opportunities may result in employee dissatisfaction and hinder talent retention.
- (4) Health or unforeseen circumstances may affect workforce availability and disrupt operational continuity.
- (5) Career changes or transitions may lead to loss of experienced personnel and potential knowledge gaps within the organisation.

Potential Impacts to the group

- (1) Operational disruptions and reduced customer satisfaction due to talent gaps affecting project delivery and service quality.
- (2) Increased workload leading to employee burnout, lower morale and reduced productivity.
- (3) Reduced organisational effectiveness, limiting the Group's ability to execute strategies and sustain growth.
- (4) Higher employee turnover resulting in increased recruitment costs and loss in productivity.
- (5) Leadership gaps impacting decision-making, team performance and succession continuity.
- (6) Reputational impact potentially leading to loss of business opportunities, financial implications and reduced investor confidence.

Existing Controls:

- (1) Annual review of compensation structures with benchmarking against prevailing market standards to ensure competitiveness.
- (2) Implementation of employee welfare programmes, including sports, wellness and ESG-related activities, to promote engagement and wellbeing.
- (3) Establishment of structured succession planning programmes for critical roles to ensure leadership continuity.
- (4) Provision of comprehensive health benefits, including regular medical check-ups and preventive health screenings.
- (5) Facilitation of internal job rotations and transfers to support employee career development and talent retention.

Proposed Action Plans:

- (1) To implement and regularly update structured succession planning programmes, supported by annual leadership assessment and development reviews to ensure a strong and sustainable talent pipeline.
- (2) To regularly review and benchmark compensation structures against market data to enhance competitiveness in attracting and retaining talent.
- (3) To conduct systematic exit interviews to analyse attrition trends and identify improvement areas in talent management and workplace practices.

Results of Mitigation Measures

Ongoing assessment and monitoring of effectiveness of existing controls.

OUR APPROACH TO SUSTAINABILITY

SUSTAINABILITY FRAMEWORK OVERVIEW DIAGRAM



EMBEDDING SUSTAINABILITY INTO LONG-TERM VALUE CREATION

Our approach to sustainability is grounded in the belief that long-term business success is intrinsically linked to responsible operations, disciplined governance and the creation of shared value for stakeholders. As a provider of renewable energy solutions, we operate in sectors that are directly influenced by energy transition dynamics, environmental regulation, operational safety requirements and evolving stakeholder expectations. Sustainability considerations are therefore integrated into how we design, deliver and manage our business.

Our sustainability approach is anchored on three core principles:

Operational excellence and resilience,

by managing environmental, safety and integrity risks that could affect execution reliability, cost efficiency and long-term asset performance;

Responsible value creation,

by delivering solutions that support customers' energy efficiency and decarbonisation objectives while creating economic and social value for employees and communities; and

Strong governance and accountability,

to ensure sustainability considerations are embedded into strategy, risk management and decision-making at all levels of the organisation.

Through this approach, we strengthen our long-term resilience, manage downside risks and position ourselves to capture opportunities arising from the transition towards more sustainable renewable energy systems.

OUR APPROACH TO SUSTAINABILITY

SUSTAINABILITY FRAMEWORK AND ROADMAP

Our Sustainability Framework serves as the overarching roadmap for embedding sustainability principles across our strategy, operations and governance. The Sustainability Framework establishes a structured and consistent approach to manage sustainability matters while allowing flexibility to reflect differing operational contexts and maturity levels across our business units.

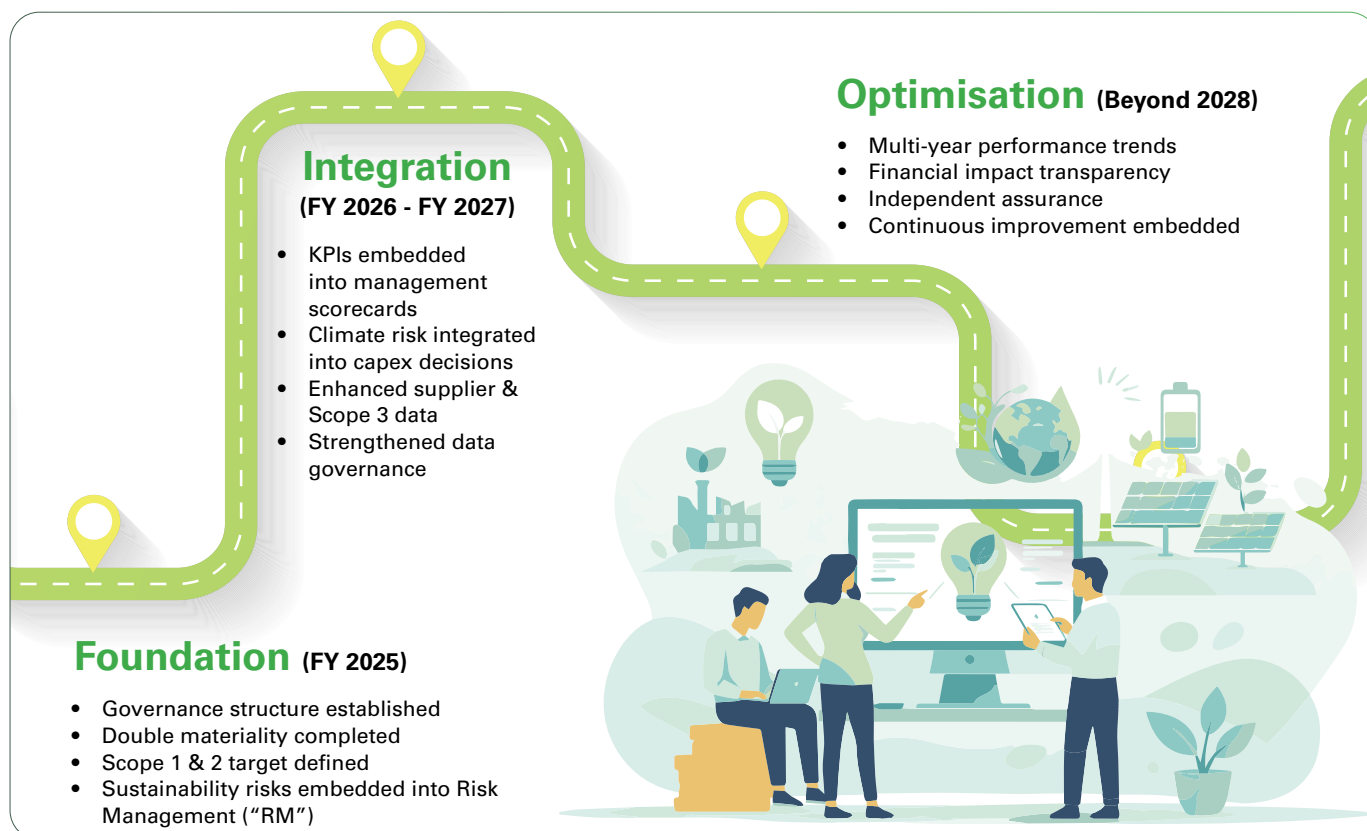
The Sustainability Framework is designed to:

Integrate sustainability considerations into business planning, project execution and risk management;

Translate material sustainability matters into strategic priorities, policies and action plans;

Provide a basis for setting targets, tracking performance and progressively enhancing disclosure quality over time.

Guided by our purpose, mission, and values, Our Sustainability Framework is built upon the established and mature sustainability practices of our major shareholder cum holding company. This inaugural Sustainability Statement serves to formally articulate these robust, pre-existing commitments. Our focus during the financial year ended 31 December 2025 ("FY 2025") was on aligning and refining these proven governance structures and data systems to meet public reporting standards, thereby enhancing our capacity for outcome-driven disclosures in the years ahead.



Our Sustainability Framework is guided by:

- Material sustainability matters identified through our double materiality assessment;
- Ongoing engagement with business units on operational sustainability risks and opportunities;
- Internal assessments and benchmarking against relevant industry practices;
- Monitoring of key performance indicators linked to safety, environmental performance, people and governance.

Through this framework, sustainability is embedded as an integral part of how we deliver projects, manage risks and create long-term value, rather than being treated as a standalone initiative.

OUR APPROACH TO SUSTAINABILITY

Sustainability Policy

At Wasco Greenergy, our Sustainability Policy provides a framework for integrating our business operations with environmental stewardship, social responsibility, and robust governance practices. The policy guides how we manage sustainability-related risks and opportunities while ensuring that our operations create long-term value for our stakeholders.

For more information on Sustainability Policy, please refer to www.wascogreenergy.com.

Sustainability Report Feedback

We value feedback from our stakeholders as part of our commitment to continuous improvement in sustainability performance and reporting. Stakeholders are encouraged to share comments, questions, or suggestions relating to this Sustainability Statement or our broader sustainability practices.

Please address all feedback to Sustainability Working Group ("SWG") at sustainability@wascogreenergy.com.

Strategic Roadmap and Progress (FY 2025)

Throughout FY 2025, we focused on formalising our sustainability architecture as a listed company, leveraging our established systems and experience. This process solidified our platform for demonstrating long-term impact and ensured seamless alignment with the Group's long-standing sustainability priorities. Key progress areas in this formalization process include:

Strengthening sustainability governance through the establishment of the Board Sustainability Committee ("BSC") and Sustainability Steering Committee ("SSC");

Accelerating the adoption of renewable energy within our operations, including solar photovoltaic ("PV") installations;

Integrating sustainability-related KPIs into management oversight and performance monitoring;

Enhancing safety performance, training and certification across operations;

Conducting the Group's inaugural double materiality assessment to inform strategy and priorities.



Looking Ahead

As our sustainability maturity progresses, we will continue to refine our Sustainability Framework and roadmap. Future priorities include enhancing data systems, strengthening supplier engagement, refining targets and KPIs, and deepening the integration of climate-related considerations into investment and risk management processes.

Building on the framework detailed in this report, our Sustainability Statements demonstrate our commitment to continuous improvement in Environmental, Social, Governance ("ESG") performance, governance practices, and the quality of our sustainability disclosures. We will focus on transparently reporting measurable outcomes, providing insightful trend analysis, and clarifying the financial implications of sustainability-related risks and opportunities.

SUSTAINABILITY ACROSS OUR OPERATIONS

We deliver sustainable value to our stakeholders by operating safely, responsibly and with a long-term perspective across our activities. Sustainability considerations are integrated into how we design, execute and manage our operations, with a focus on responsible resource use, operational discipline and creating positive outcomes for the communities and industries we serve.

Our operational sustainability approach is guided by two key objectives:

Reducing environmental impacts

across the lifecycle of our projects and assets through efficient system design, disciplined operational controls and continuous improvement practices; and

Creating social and economic value

for people connected to our operations, consistent with our shared values and commitment to responsible business conduct.

Sustainability is embedded across our organisation through a structured governance and management framework that operates at three interconnected levels, ensuring that sustainability principles are integrated into strategic decision-making, operational management and day-to-day business practices.

Wasco Greenergy integrates sustainability across the business at three levels:

In our operations

Operating a safe, efficient and sustainable business

For our customers

Delivering reliable solutions and meeting commitments

With communities

Creating shared value by contributing positively

To maintain a consistent approach in applying sustainability best practices, we incorporate key sustainability principles into our mission, vision and core values, as illustrated in the framework below.



SUSTAINABILITY ACROSS OUR OPERATIONS

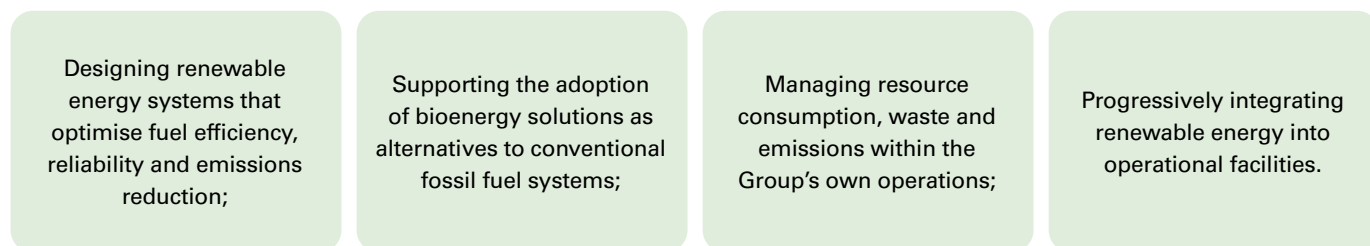
Sustainability is embedded across each stage of our system lifecycle, from initial design through long-term after-sales support, as illustrated below.



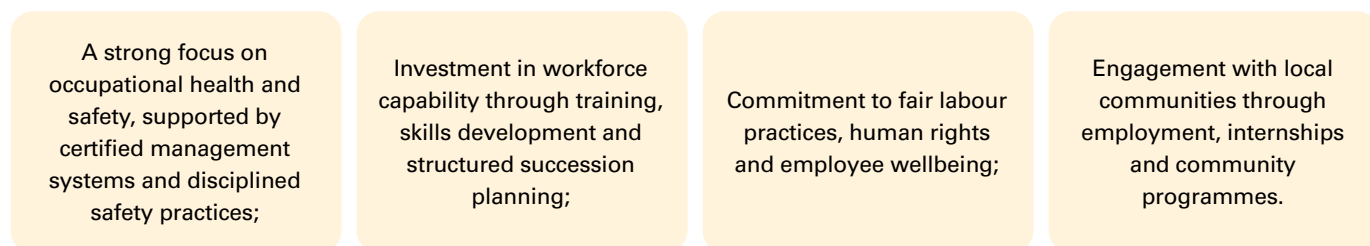
Our environmental commitment extends beyond our internal operations to solution provided to customers. Through our biomass energy systems, we support industrial users in transitioning from conventional fossil fuels to biomass-based fuels including empty fruit bunch ("EFB"), palm kernel shells and woodchips, which are by-products of the palm oil and wood processing industries. These fuels are widely used to generate steam or heat for industrial processes, enabling customers to lower their Scope 1 GHG emissions and minimise their overall environmental impact.

As a provider of renewable energy systems, we support customers in enhancing their operational efficiency and optimising resource utilisation through system design, engineering improvement and technology integration.

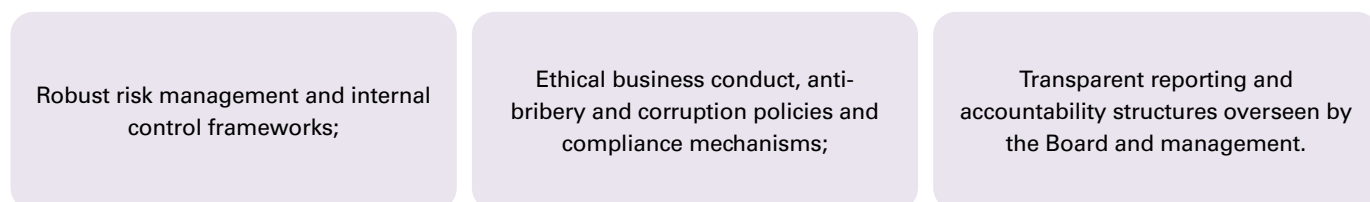
Our approach includes:



From a social perspective, sustainability is reflected in:



From a governance perspective, sustainability is embedded through:



SUSTAINABILITY ACROSS OUR OPERATIONS

ALIGNMENT WITH THE UNITED NATIONS SUSTAINABLE DEVELOPMENT GOALS (“SDGs”)

We align our sustainability approach with the SDGs as a globally recognised framework for sustainable development. While our activities contribute to multiple SDGs, we have identified priority focus areas where we are best positioned to deliver meaningful impact.

These include SDGs related to health and safety, clean energy, decent work, industry and innovation, responsible consumption and production, climate action and community wellbeing. Alignment with the SDGs provides a common reference point for integrating sustainability considerations into strategy and communicating progress to stakeholders.

Goals	Our Commitment	Progress & Achievements in 2025
 Good Health and Well-being	- Provide a safe and healthy workplace for employees and contractors by implementing internationally recognised Health, Safety and Environment (“HSE”) management systems. - Uphold fair labour practices and promote employee wellbeing through comprehensive benefits, welfare initiatives and a supportive working environment.	- Wasco Thermal Sdn. Bhd. (“WTSB”)’s operations are certified under ISO 45001:2018 Occupational Health and Safety Management and ISO 14001:2015 Environmental Management System. - Achieved 2,477,789 Lost Time Incident (“LTI”)-free man-hours with zero fatalities across our operations as of 31 December 2025. - Employees received training in Basic Occupational First Aid, CPR and AED usage during 2025 to strengthen workplace emergency preparedness.
 Gender Equality	- Foster a diverse, inclusive and equitable workplace where individuals of all backgrounds are respected, valued and empowered. - Promote equal opportunities in recruitment, career development, and leadership progression.	- In collaboration with Wasco Women Action Network (“WWAN”) initiative, we continue to strengthen gender inclusion across the Group. - WWAN supports women’s professional development through mentorship initiatives, structured development programmes and employee recognition activities.
 Clean Water and Sanitation	Minimise the impact of our operations on local water resources through responsible water management and stewardship practices.	- Our installed rainwater harvesting system reached full operational capacity in FY 2025. The system now provides a sustainable source of non-potable water for toilet flushing and other secondary applications. - This initiative helps reduce freshwater consumption and supports circular water management practices within our operations.
 Affordable and Clean Energy	- Support the energy transition by delivering renewable energy systems. - Integrate renewable energy solutions into our own operations to enhance energy efficiency and reduce reliance on conventional energy sources.	- Continued to deliver bioenergy systems to industrial customers, providing a renewable alternative to fossil fuel-based steam generation. - In FY 2025, solar energy generated accounted for 38% of the Group’s total electricity consumption, exceeding the internal target of 35% of renewable energy reliance. - A new solar installation, expected to commence in FY 2026, will further increase our renewable energy reliance beyond 38%.

SUSTAINABILITY ACROSS OUR OPERATIONS

Goals	Our Commitment	Progress & Achievements in 2025
 Decent Work and Economic Growth	• Cultivate a high-performing entrepreneurial culture that encourages curiosity and enables employees to deliver their best. • Prioritise local hiring and procurement to contribute to economic growth in the communities where we operate.	• Local hires represented approximately 89% of the total workforce. • Site-specific training programmes were implemented to strengthen technical capabilities within the local workforce. • In FY 2025, approximately 77% of procurement spending at the Group was sourced from local suppliers.
 Industry, Innovation and Infrastructure	• Contribute to industrial decarbonisation and the circular economy by converting agricultural biomass into useful thermal energy.	• Bioenergy systems provide customers with an alternative to fossil fuels such as diesel and coal. • Systems utilise agricultural residues from the palm oil and wood processing industries, including EFB, palm kernel shells and woodchips.
 Reduced Inequalities	• Promote equal opportunities and empower local talent in the communities where we operate.	• Local hires represented approximately 89% of the total workforce. • Site-specific training programmes were implemented to strengthen technical capabilities within the local workforce. • In FY 2025, approximately 77% of procurement spending at the Group was sourced from local suppliers.
 Sustainable Cities and Communities	• Reduce environmental impact through efficient resource use, waste minimisation and responsible disposal practices.	• A comprehensive scheduled waste management system is implemented at our operations covering scrap metal, general waste and hazardous materials. • A significant portion of operational waste was disposed through recycling and recovery practices.
 Responsible Consumption and Production	• Minimise environmental impact across the lifecycle of business operations. Promote circular economy practices by converting agricultural by-products into useful thermal energy.	• Energy efficiency initiatives include solar power generation, LED lighting, solar lamp and energy-saving campaign to reduce electricity consumption. • Scope 1 and Scope 2 emissions are monitored to support reduction planning and performance tracking. • A rainwater harvesting system was implemented to reduce freshwater consumption.
 Climate Action	• Align with Malaysia's energy and climate ambitions, including the National Energy Transition Roadmap ("NETR") and Nationally Determined Contributions ("NDCs").	• Our supplied bioenergy systems enable customers to reduce their Scope 1 GHG emissions. • In FY 2025, solar energy generated accounted for 38% of the Group's total electricity consumption, exceeding the internal target of 35% of renewable energy reliance. • A new solar installation, expected to commence in FY 2026, will further increase our renewable energy reliance beyond 38%.

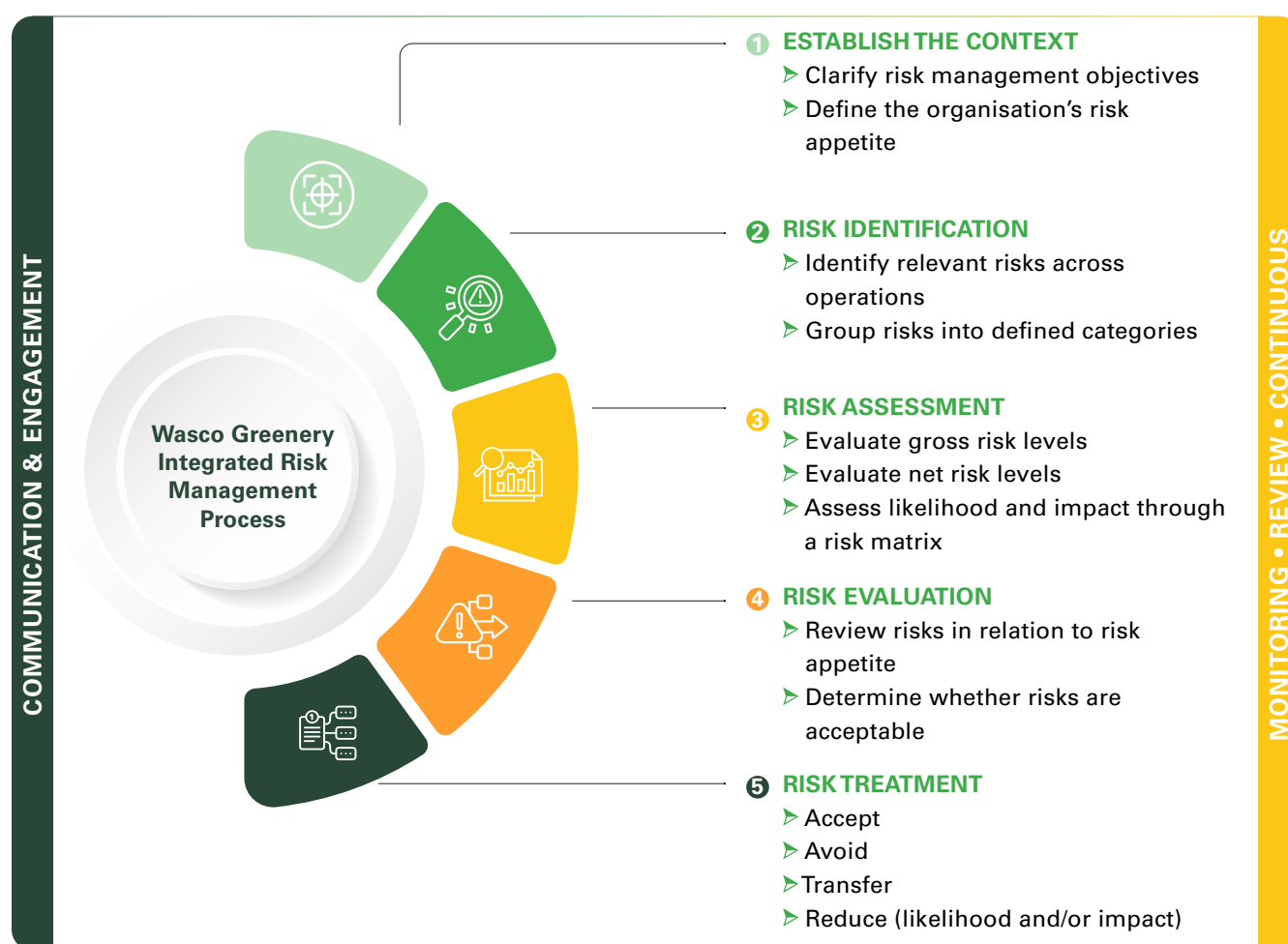
SUSTAINABILITY RISK MANAGEMENT

RISK MANAGEMENT AND INTERNAL CONTROL

Building Resilience and Competitive Advantage

At our core, we believe that proactive sustainability management is fundamental to building long-term value. By embedding sustainability into our core business strategy, we do more than simply mitigate risk. We build resilience, drive innovation, and strengthen stakeholder confidence. This forward-looking approach allows us to navigate global volatility, sharpen our competitive edge, and secure our long-term success in an evolving global landscape. Our commitment to sustainability is not just about responsibility—it is a key driver of our future growth.

The strategy follows a structured five-step risk management process, aligned with ISO 31000:2018 as depicted below:

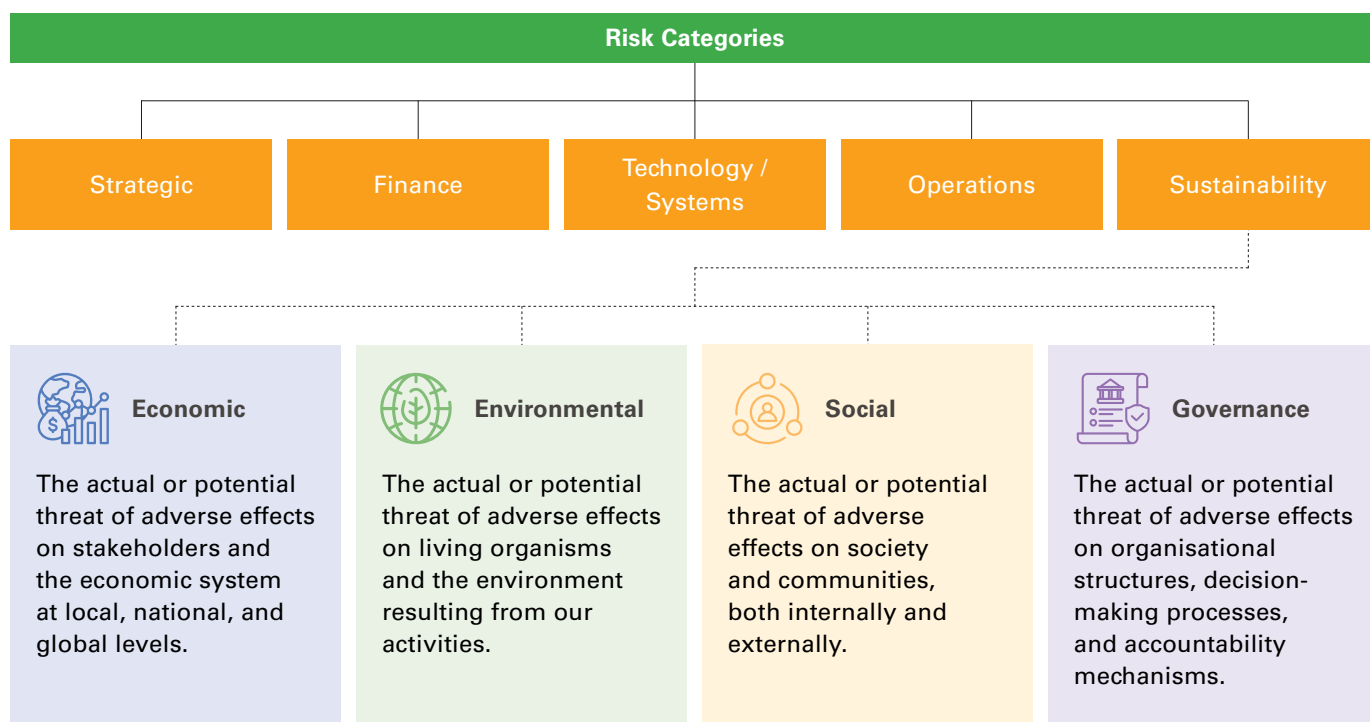


The Group's risk management process is aligned with ISO 31000:2018 and supports the achievement of strategic objectives within the Board-approved risk appetite.

Our Integrated Risk Management Framework

To execute on this vision, we manage all sustainability-related risks—including environmental, safety, regulatory, and climate-related risks—through our Risk Management ("RM") framework. Sustainability is not an afterthought; it is one of the five risk categories at Wasco Greenery.

SUSTAINABILITY RISK MANAGEMENT



This structure ensures that sustainability is fully integrated into our most critical business activities, from strategic planning and budgeting to our capital allocation decisions. We evaluate risks across four key dimensions: Economic, Environmental, Social, and Governance (“EESG”). This holistic view ensures that our functional heads and business units are aligned on our strategic priorities, with clear oversight from the BSC.

A DISCIPLINED AND TRANSPARENT PROCESS

Our process for managing risk is structured, transparent, and rigorous, ensuring clear accountability and oversight at every stage:

- We identify through structured assessments and scenario analysis;
- We evaluate based on likelihood, impact and mitigation effectiveness;
- We assign clear ownership at management level;
- We document in formal risk registers; and
- Our management periodically review these risks, escalating material issues to the Board for ultimate oversight.

This robust framework is supported by strong internal control systems that safeguard our assets, ensure the integrity of our financial reporting, and uphold our commitment to legal and regulatory compliance. High-risk areas are subject to enhanced monitoring and internal audit review to ensure our standards are consistently met.

By proactively mitigating sustainability risks and seizing emerging opportunities, we can strengthen our resilience, foster innovation and deepen stakeholder confidence, thereby supporting long-term success. Embedding sustainability into core business strategies enables companies to navigate volatility, sharpen their competitive edge and contribute to a more sustainable global landscape.

SUSTAINABILITY RISK MANAGEMENT



ECONOMIC RISK MANAGEMENT SNAPSHOT

Our economic resilience is supported by disciplined risk management and a diversified portfolio across business segments. We maintain a balanced order book, with growing contributions from Renewable Energy segment while continuing to support Industrial Energy and Equipment solutions. This diversification helps reduce concentration risk and enhances stability across economic cycles.

Margin management remains a key priority, supported by selective bidding, cost optimisation initiatives and active project monitoring to safeguard profitability and cash flow sustainability.

Reporting Frameworks

This Sustainability Statement has been prepared:

**With reference to the
GRI Universal Standards 2021;**

**With reference to IFRS S1 General Requirements
for Disclosure of Sustainability-related Financial
Information and IFRS S2 Climate-related
Disclosures.**

Statement of Assurance

Selected Sustainability Information for the financial year ended 31 December 2025 have been subjected to independent limited assurance by an external assurance provider, PricewaterhouseCoopers PLT, Malaysia, conducted in accordance with ISAE 3000 (Revised), Assurance Engagements Other Than Audits or Reviews of Historical Financial Information.

The Selected Sustainability Information subject to assurance include the following:

**Number of work-related
fatalities**

Lost Time Incident Rate ("LTIR")

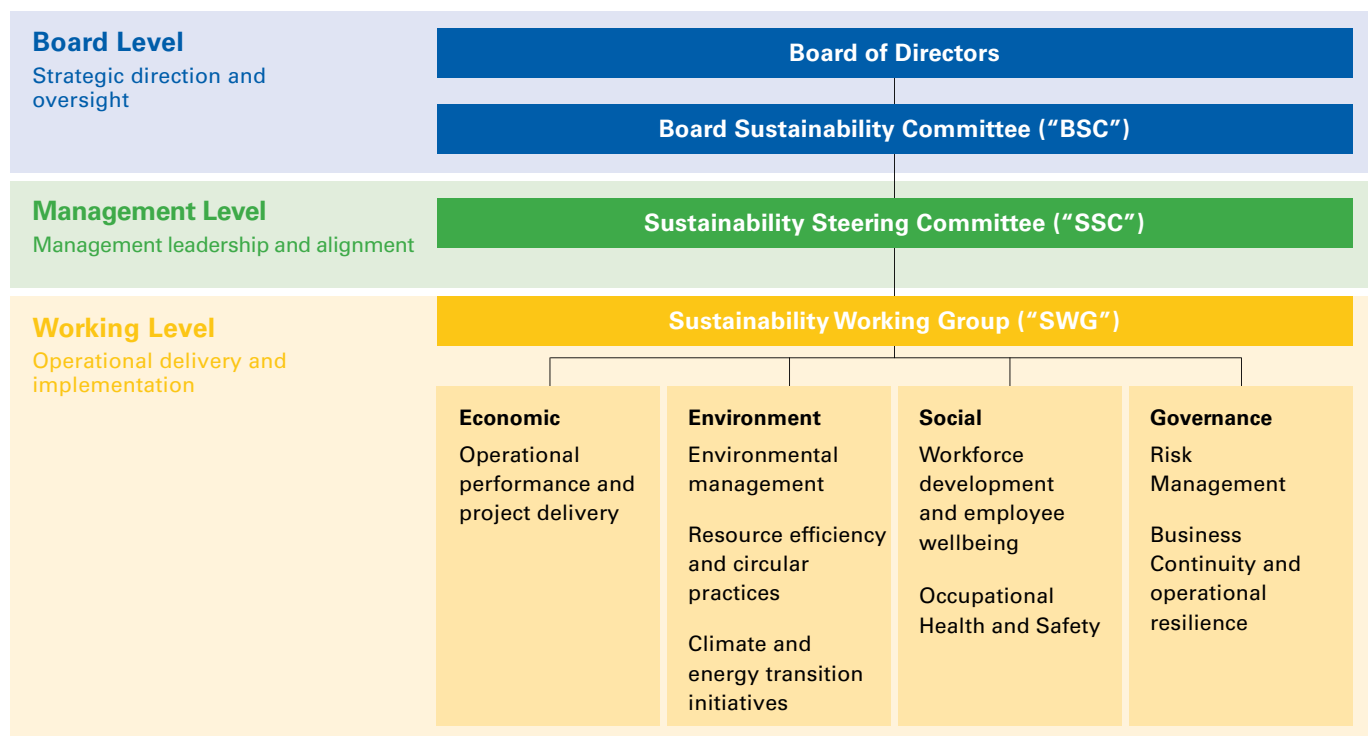
Renewable Energy Reliance (%)

Refer to the independent practitioner's limited assurance report on pages 121 to 125 for the limited assurance conclusion included therein.

SUSTAINABILITY GOVERNANCE AND ACCOUNTABILITY

Governance provides the structural foundation for our long-term resilience and responsible value creation. The Board of Directors retains ultimate responsibility for overseeing sustainability-related risks and opportunities, including climate-related matters, and for ensuring that sustainability considerations are integrated into the Group's strategic direction, capital allocation and risk management processes.

Sustainability governance is structured across three levels to ensure clear accountability, defined responsibilities and effective decision-making.



Roles and Responsibilities



SUSTAINABILITY GOVERNANCE AND ACCOUNTABILITY

Board of Directors

The Board provides strategic oversight of sustainability-related matters and ensures that material environmental, social and governance risks are appropriately considered in corporate strategy and long-term planning.

The Board:

- Reviews sustainability strategy, material matters and key performance indicators on a periodic basis;
- Approves sustainability-related targets and major policy frameworks;
- Oversees climate-related risk assessments and scenario analysis outcomes;
- Reviews material sustainability-related risks and opportunities and their potential strategic and financial implications;
- Ensures alignment between sustainability priorities and the Group's overall risk appetite; and
- Reviews sustainability disclosures prior to publication.

Through this oversight, the Board ensures sustainability considerations are embedded in strategic and financial decision-making.

Board Sustainability Committee ("BSC")

The BSC was established on 26 June 2025 to assist the Board's oversight of sustainability matters across our operations.

The BSC:

- Monitors progress against sustainability objectives and emissions reduction targets;
- Reviews material sustainability-related risks, emerging sustainability issues and determines the Group's position, including recommending proposals, targets and commitments to the Board;
- Evaluates sustainability performance metrics and data governance controls;
- Reviews management's assessment of sustainability-related impacts, risks and opportunities, including the Group's contribution to and impact on the environment, climate change and society in the countries where it operates;
- Oversees the formulation and implementation of the Group's overall sustainability and EESG framework, strategies, principles and policies, ensuring alignment with applicable regulations, standards, and the Group's vision, mission and values;
- Reviews and recommends to the Board the development of sustainability-related strategies, goals, initiatives, business plans and major action plans;
- Ensures that sustainability and EESG risks are incorporated into the Group's risk register, and monitors the effectiveness of the risk management framework, including risk appetites and policies;
- Reviews compliance with relevant regulatory requirements and public commitments on sustainability matters;

- Facilitates sustainability reporting and disclosures as required by regulatory and government authorities, including the Company's Annual Report;
- Provides recommendations to the Board on sustainability strategy and reporting enhancements; and
- Reviews and considers any other sustainability and EESG-related matters as may be referred by the Board.

The BSC receives periodic updates from Management and escalates material issues to the full Board where required.

Management and Sustainability Steering Committee ("SSC")

Management is responsible for the implementation and operationalisation of our sustainability strategy.

The SSC, chaired by the Chief Executive Officer ("CEO"), ensures sustainability-related initiatives are integrated into operational planning and financial management processes.

The SSC:

- Oversees implementation of sustainability initiatives and the Net Zero Roadmap;
- Monitors sustainability KPIs and emissions performance;
- Integrates sustainability-related risks into budgeting, investment appraisal and annual planning processes;
- Ensures alignment between operational performance and sustainability objectives; and
- Reports progress and material developments to the BSC and Board.

This tiered structure ensures clear separation between oversight and execution, while maintaining accountability at all levels.

Sustainability Working Group ("SWG")

SWG leads the implementation of the Group's sustainability strategy and framework, coordinating initiatives across business units and monitoring performance against established targets. SWG tracks regulatory developments and emerging sustainability trends, assesses sustainability-related risks and opportunities, and provides guidance to business unit sustainability teams.

SWG also supports the SSC by consolidating sustainability performance data, including climate-related metrics, and gathering stakeholder feedback to inform the evaluation of material sustainability priorities. Insights gathered in FY 2025 contributed to the development of the Group's decarbonisation strategy overseen by the SSC.

At the operational level, sustainability strategies are translated into action through coordinated implementation and monitoring of progress against sustainability targets. BUs Heads facilitate cross-functional collaboration to ensure sustainability initiatives are effectively integrated into day-to-day operations.

Linkage to Remuneration

The Nomination and Remuneration Committee (“NRC”) has incorporated sustainability-related targets into the performance evaluation framework for senior management and key management personnel, aligning leadership incentives with the Group’s sustainability objectives and long-term value creation.

In FY 2025, sustainability targets were assigned to relevant entities and operational units based on their activities. These include indicators such as occupational health and safety performance, emissions management, regulatory compliance and risk mitigation effectiveness. Performance against these indicators is assessed during annual appraisals and may influence remuneration outcomes, including salary adjustments, bonuses and promotion considerations.

The Board and the NRC will continue to review the effectiveness of this integration and refine the alignment between remuneration structures and the Group’s sustainability priorities.

PERFORMANCE SCORECARD

We monitor sustainability performance across our operations, projects and contracts, and regularly report progress to the SSC to support the integration of environmental and socio-economic considerations into our business activities.

Potential adverse impacts arising from our key material matters are identified and managed at both the operational level and across our supply chain, value chain and broader business ecosystem. This structured approach enables us to track progress, strengthen accountability and support sustainable value creation.

The table below summarises our sustainability targets and performance for the reporting period:

Environmental

Energy Management

TARGET 2025

Electricity from renewable sources to reach 35% of total energy reliance.

ACHIEVEMENT 2025

In 2025, our solar infrastructure abated 434 tCO₂e, representing 38% of our renewable energy reliance, exceeding the target set. The Group is also supporting energy transition initiatives through the rollout of a cloud-based steam energy monitoring system for our products. A new solar installation, expected to commence in 2026, will further increase our renewable energy reliance beyond 38%.

GHG Emission

TARGET 2025

Maintain 5% reduction in stationary combustion emission intensity from 2023 baseline.

ACHIEVEMENT 2025

The amount of stationary combustion emissions is insignificant. We plan to install a solar and battery storage system to eliminate stationary combustion emissions.

SUSTAINABILITY GOVERNANCE AND ACCOUNTABILITY

Environmental

Water and Waste Water Management

TARGET 2025

Increase the proportion of water sourced from recycled and harvested sources to 7% of total water consumption.

ACHIEVEMENT 2025

In FY 2025, 0.64% (179 m³) of total water consumption was sourced from rainwater harvesting. This proportion is expected to further increase following the implementation of hydrotest water recycling plan in 2026.

Waste and Hazardous Material Management

TARGET 2025

Zero non-compliance to local regulations.

ACHIEVEMENT 2025

No non-compliance incidents recorded.

Social

Diversity, Equity and Inclusion ("DEI")

TARGET 2025

Increase female representation in leadership positions to 15%.

ACHIEVEMENT 2025

Female managerial level represents 29% of the total employees.

Training and Development

TARGET 2025

To achieve an average of 12 training hours per employee per year.

ACHIEVEMENT 2025

Achieved an average of 16.9 training hours per person in 2025.

Employee Engagement

TARGET 2025

Conduct at least one employee wellbeing engagement activity each quarter.

ACHIEVEMENT 2025

A range of employee engagement activities were organised during the year, including Zumba sessions, badminton games and bowling activities, encouraging participation across different employee groups.

Social

Human Rights

TARGET 2025

Ensure compliance with International Labour Organization ("ILO") standards and applicable local labour regulations, with zero violations.

ACHIEVEMENT 2025

No cases of non-compliance with ILO standards or local labour regulations were recorded during the reporting period.

Community Relations

TARGET 2025

Implement at least one community impact initiative per operational site.

ACHIEVEMENT 2025

In 2025, eight community initiatives were carried out across the Group's operational locations.

Governance

Business Ethics

TARGET 2025

Maintain full compliance across governance functions, including Risk Management, Internal Audit, Finance, Legal and Corporate Governance.

ACHIEVEMENT 2025

Compliance with applicable governance requirements across these functions was maintained throughout the reporting period.

Risk Management

TARGET 2025

Ensure effective management and monitoring of key business risks.

ACHIEVEMENT 2025

No very high-risk exposures were identified during the reporting period.

ECONOMIC



Our Core Business: The Engine of Economic Value

With more than 30 years of engineering expertise, we deliver integrated steam energy systems and agro-industrial solutions to leading oil palm plantation groups and industrial clients across Malaysia, Indonesia and key international markets, including Africa and Latin America.

Our core capabilities are anchored in engineering expertise, disciplined project execution and long-term after-sale service support. Through an integrated delivery model spanning design, fabrication, commissioning and after-sales services, we maintain quality control, operational reliability and recurring revenue visibility across project lifecycles.

We specialise in:

Renewable Energy Segment

- Engineering, Procurement, Construction and Commissioning ("EPCC") of renewable steam energy systems
- Supply of steam turbine generator systems
- After-sales services and spare part sale

Industrial Energy and Equipment Segment

- EPCC of Gas-fired steam energy system
- Palm oil milling equipment



This structure supports continuous customer retention and earnings visibility across project cycles and business activities.

CORE BUSINESS SEGMENTS

Renewable Energy Segment

EPCC of Steam Energy Systems

Biomass

Utilisation of agricultural by-products

HRSG

Waste heat recovery systems

Steam Turbine Generator Supply

After-Sales Services and Spare Part Sale

Maintenance

Repairs

Genuine Parts

Malaysia & Indonesia Technical Teams

Industrial Energy & Equipment Segment

EPCC of Gas-Fired Steam Energy Systems

Customised industrial energy systems

Palm Oil Milling Equipment

EFB Presses

Kernel Oil
Machines

Twin Screw
Presses

VALUE CHAIN

Delivering End-to-End Renewable Energy Solutions

We operate across a structured value chain encompassing engineering, fabrication, project execution and after-sales service. This enables operational oversight, quality consistency and revenue continuity throughout the project lifecycle.



Upstream

- Engineering & Design
- Raw Materials & Components
- Fabrication

Midstream

- EPCC Execution
- Installation & Commissioning
- BOO/BOOT

Downstream

- After-Sales Services
- Long-Term Asset Ownership
- Recurring Operational Income

Our integrated value chain enhances execution reliability, strengthens customer relationships and supports disciplined financial performance across market cycles.

ECONOMIC

STRATEGY AND SUSTAINABILITY GOALS

Our economic strategy is structured around four pillars aligning financial resilience with long-term sustainability priorities.

Renewable Energy Expansion

Key Focus Areas

- Scale bioenergy solutions
- Execute EPCC contracts with selective BOO/BOOT asset ownership

Performance Indicators

Order book composition and renewable portfolio growth

Measurable

89.1% of order book from renewable energy segment

Net Zero Commitment

Key Focus Areas

- Achieve Scope 1 and 2 Net Zero by 2026
- Establish and progressively reduce material Scope 3 emissions

Performance Indicators

Total GHG emissions (tCO₂e) and emissions intensity

Measurable

Total Scope 1 and 2 GHG emissions for FY 2025 were 1,210 tCO₂e, with an intensity of 0.98 tCO₂e per 1,000 man-hours

Innovation & Technology Leadership

Key Focus Areas

- Enhance system efficiency and lower-emission configurations
- Develop hydrogen-ready and low-carbon solutions

Performance Indicators

R&D initiatives and commercial deployment milestones

Measurable

Out of the total IPO proceeds of RM75.0 million, the Group has allocated RM4 million to support its R&D and RM5.0 million for digitalisation initiatives, in line with its strategy to enhance system efficiency and develop lower-emission, hydrogen-ready solutions

People & Responsible Growth

Key Focus Areas

- Expand regional service capabilities
- Strengthen supplier engagement and No Deforestation, No Peat, and No Exploitation ("NDPE") commitments

Performance Indicators

Workforce development indicators and supplier compliance metrics

Measurable

Achieved target employee training hours and successful engagement with our key suppliers during Wasco Sustainability Day

OUR APPROACH TO SUSTAINABLE ECONOMIC GROWTH

Our economic strategy is anchored in disciplined execution, strong engineering capabilities and a well-diversified portfolio.

The Group's order book provides clear medium-term earnings visibility, with a growing contribution from the renewable energy segment, reflecting sustained demand for efficient and reliable energy solutions.

We leverage our EPCC capabilities, integrated fabrication infrastructure and regional technical expertise to deliver complex steam energy systems with consistent execution standards and margin discipline. In parallel, our strategy to pursue selective asset ownership and long-term service arrangements is expected to enhance the stability and recurrence of future income streams.

We define economic sustainability through the quality of earnings, rigorous cost management, strong cash flow visibility and disciplined, risk-adjusted capital allocation. Our balanced exposure across business segments strengthens resilience through economic cycles and supports the Group's long-term sustainable growth objectives.

FY 2025 ECONOMIC PERFORMANCE

For the financial year ended 31 December 2025, we delivered a resilient financial performance supported by disciplined project execution and strengthened margin management.

Financial Performance

Revenue

RM266.5 million

Normalised Profit After Tax ("PAT")

RM32.3 million
(+5.6% YoY)

Dividend

2.0 sen
per share



Order Book and Pipeline

Order Book

RM241.3 million

Operational Performance

Units Delivered

74 units of Steam Turbines

Strategic Composition

Renewable Energy Contribution

89.1% of Order Book

ECONOMIC

VALUE CREATION ACROSS OUR STAKEHOLDERS

In FY 2025, economic value generated was distributed across employees, suppliers, governments, shareholders and communities, reinforcing our role as an industrial value contributor.

Our People



- Competitive remuneration and benefits
- Technical capability development
- Safe and stable employment

Our Communities



- Local employment opportunities
- Economic participation
- Industry capability development

Our Government and Regulator



- Tax compliance and statutory contributions
- Support for industrial development
- Compliance with national regulatory frameworks

Our Business Partners



- Responsible procurement practices
- Timely payments
- Long-term commercial relationships

Our Customers



- Reliable energy solutions
- Operational efficiency improvements
- Long-term after-sales support

Our Shareholders



- Sustainable profitability
- Earnings visibility
- Disciplined capital management

OUR FY 2025 ECONOMIC PERFORMANCE AND VALUE DISTRIBUTION

In FY 2025, our strategic focus yielded strong financial results, enabling us to create and distribute value across our broader ecosystem.

We generated a direct economic value of RM266.5 million in revenue, resulting in a normalised Profit After Tax ("PAT") of RM32.3 million for the FY 2025. This represents a 5.6% increase from the RM30.6 million recorded in the previous financial year, driven primarily by improved gross profit margins and higher other operating income.

We comply with applicable tax regulations in the countries where we operate and recognise our responsibility to contribute fairly to public finances through responsible tax practices.

The economic value generated through our operations is distributed among key stakeholders, including employees, governments, suppliers and capital providers, supporting broader economic activity and long-term economic stability.

Economic Value Generated

Operating Revenue

RM266.5 million

Other Income

RM3.7 million

Economic Value Distributed

Minority Shareholders

RM3.6 million

Employees

RM35.6 million

Community Investment

RM0.1 million

Taxes

RM10.8 million

PATAMI

RM22.7 million

Business and Operations

RM197.4 million

CAPITAL ALLOCATION PHILOSOPHY

Capital allocation decisions are assessed against defined return thresholds, risk-adjusted cash flow projections and alignment with long-term strategic objectives.

Investment proposals are evaluated for financial viability, operational resilience and risk exposure. This disciplined approach supports prudent capital deployment and sustainable long-term shareholder value.

RESPONSIBLE PROCUREMENT

We integrate sustainability considerations into procurement processes through defined evaluation criteria and supplier performance monitoring.

All vendors undergo periodic quantitative and qualitative assessments. Corrective actions are required where performance gaps are identified, and persistent non-compliance may result in suspension from the Approved Vendor List.

Our procurement priorities include:

Ethical labour practices

Local supplier participation

Supply chain risk management

Continuous performance improvement



ETHICAL TAX GOVERNANCE

Ethical tax governance forms part of the Group's broader financial stewardship framework.

We comply with applicable tax laws and regulatory requirements in jurisdictions where we operate and maintain structured internal controls over tax reporting and disclosure.

We do not engage in artificial or aggressive tax arrangements. Our approach emphasises transparency, integrity and prudent risk management.

Through responsible tax practices, we contribute to public revenue systems and uphold stakeholder trust.

ECONOMIC

PARTICIPATION IN INDUSTRY ORGANISATIONS

Participation in industry platforms is a cornerstone of our commercial engagement and strategic market positioning. We maintain a deep and proactive involvement in the Federation of Malaysian Manufacturers (“FMM”), leveraging this influential national platform to champion industrial decarbonisation, advocate for sustainable manufacturing practices, and ensure our growth remains at the forefront of Malaysia’s industrial evolution.

Industry organisations, trade exhibitions and professional events form an important part of our sales and marketing strategy. These engagements help strengthen our positioning as a provider of renewable energy systems that enable industries to transition towards lower-carbon operations.

Through these platforms, we aim to:

- Strengthen brand visibility within the renewable energy and palm oil sectors.
- Build relationships with prospective customers, including palm oil mill operators, plantation owners, industrial plant operators and engineering contractors.
- Stay informed on industry developments, emerging technologies and regulatory trends.
- Showcase our solutions to targeted audiences and generate new business opportunities.

We also pursue opportunities through referrals from customers, suppliers and business partners, while our commercial team actively prepares bids, quotations and proposals to secure new projects.

Our continued participation in these platforms supports our efforts to maintain a strong market presence and identify opportunities for growth and collaboration.

WASCO GREENERGY AT PIPOC 2025

Advancing Innovation and Sustainability in the Palm Oil Industry

Complementing our broad industrial advocacy, we maintained a high-profile presence at the 2025 Palm Oil International Palm Oil Congress and Exhibition (“PIPOC”). This premier event served as a critical platform to drive the discourse on advanced energy efficiency and emissions optimisation within the palm oil sector.

Our showcase attracted significant attention from key clients and senior government leadership, including high-ranking ministerial representatives. This high-level engagement underscores the powerful alignment between our mission and Malaysia’s national agenda for industrial transformation and sustainable development.

The strategic insights gathered from our dialogues during the congress will continue to refine our roadmap as we pioneer technologies that support the palm oil sector’s transition toward a more resilient and energy-efficient future.



ENVIRONMENTAL



ENVIRONMENTAL



Climate change continues to reshape the operating environment for many industries, introducing environmental, economic and operational uncertainties. Increasingly frequent extreme weather events, evolving regulatory requirements and pressure on natural resources can disrupt supply chains, raise operating costs and influence long-term business planning.

As a provider of renewable energy solutions, we recognise that these developments may affect both our operations and the industries we serve. We therefore incorporate climate-related considerations into our strategic planning, operational management and risk assessment processes to strengthen resilience and support sustainable value creation.

Businesses that do not adapt to the changing climate landscape may face risks such as operational disruptions, asset obsolescence and tightening access to financing. Financial institutions and investors are increasingly integrating climate-related considerations into their lending and investment decisions, while carbon pricing mechanisms and emissions regulations continue to expand globally. These trends reinforce the importance of strengthening environmental management practices

and aligning our operations with the transition towards a lower-carbon economy.

Environmental stewardship remains an ongoing priority for Wasco Greenergy. We align our environmental policies and operational practices with applicable laws and regulations, while implementing measures to prevent pollution, minimise waste and promote responsible use of resources across our operations. During the reporting period, no environmental fines or penalties were recorded.

We are dedicated to delivering high-quality services that safeguard and enhance the environment. As of 2025, 50% of our core business operations have achieved ISO 14001 certification for Environmental Management Systems, reflecting our strong commitment to sustainable practices.

ENVIRONMENTAL

Our Approach

Environmental Assessment	We periodically evaluate environmental aspects associated with our operations to identify areas where our activities may affect the environment. These assessments consider factors such as energy use, emissions, water consumption and waste generation.
Data Monitoring and Performance Tracking	We maintain monitoring processes to collect environmental performance data. This information supports the establishment of measurable targets and enables management to track progress and make informed decisions to improve environmental performance.
Strategic Initiatives to Reduce Environmental Impact	Based on operational data and risk assessments, we develop targeted initiatives to improve energy efficiency, reduce emissions, minimise waste and promote responsible resource use within our operations.
Management Oversight and Reporting	Environmental performance and progress against key initiatives are reported periodically to senior management and the Board. This reporting supports oversight, accountability and continuous improvement.

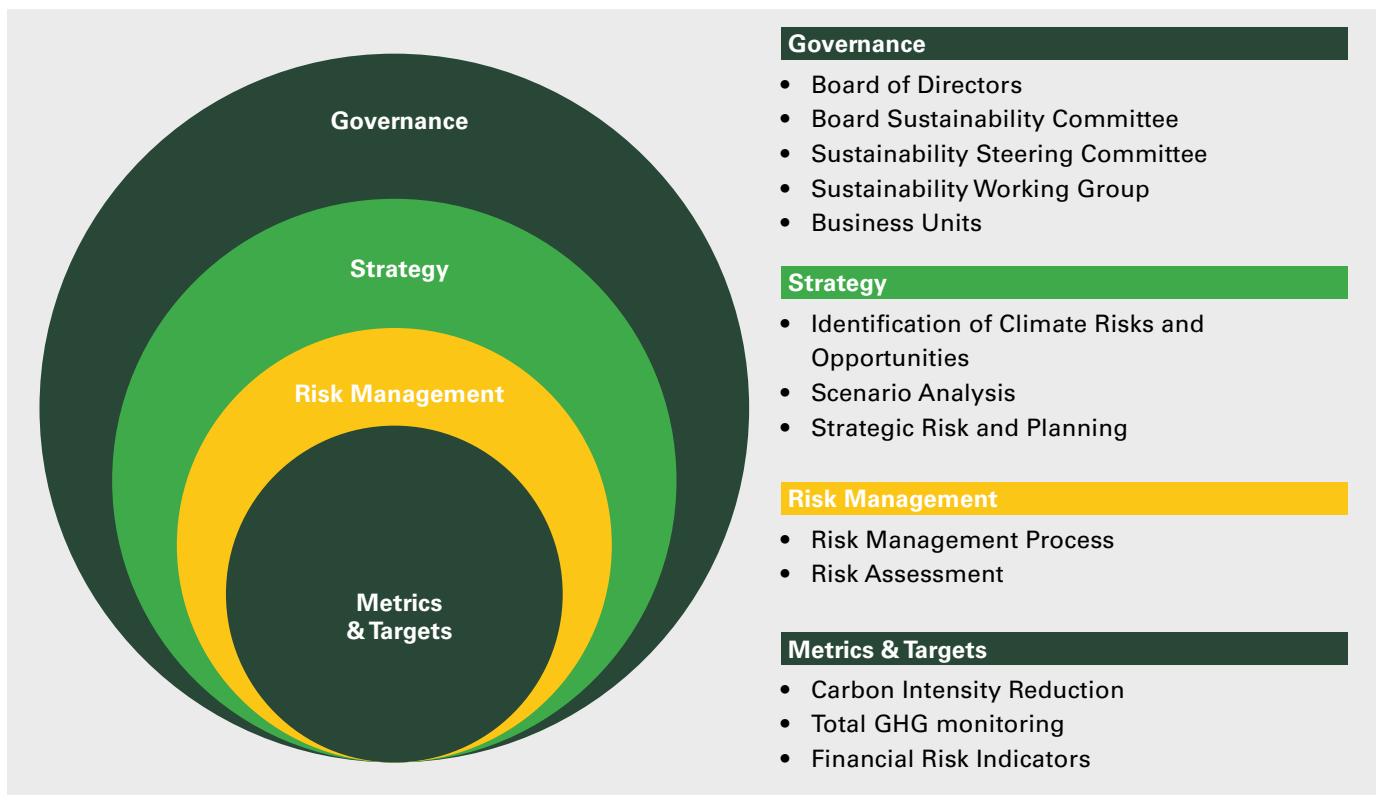
We work closely with clients, contractors, local communities, industry partners and relevant government authorities to implement practical and cost-effective environmental management practices.

Our Environmental Commitment	Continuously strengthening our awareness and management of environmental risks to prevent, reduce and control pollution arising from our operations.
	Encouraging open communication on environmental matters with customers, suppliers and the community to enhance awareness and gather feedback on our environmental performance.
	Complying with all applicable environmental laws, regulations and licensing requirements relevant to our operations.
	Promoting waste minimisation, energy efficiency and GHG management in our day-to-day operations.

Climate-Related Financial Disclosures

Our climate-related disclosures outline how climate-related developments may influence our operations and long-term business outlook. They also describe the actions we are taking to mitigate potential impacts and strengthen organisational resilience.

This report presents our climate-related disclosures in line with recognised reporting practices, covering governance structures, strategy, risk management, resilience considerations, and the metrics and targets used to monitor our progress.



Climate Strategy and Emissions Management

Wasco Greenergy recognises the importance of managing GHG emissions and supporting the transition toward lower-emission industrial energy systems.

The Group monitors Scope 1 and Scope 2 emissions across operational facilities and has established a Scope 3 baseline to enhance visibility across the value chain. Emissions data is collected through defined internal processes and subject to management review to ensure consistency and reliability.

The Group has committed to achieving Net Zero Scope 1 and Scope 2 emissions by 2026. Progress towards this target is supported by operational efficiency improvements, energy optimisation initiatives and increased adoption of on-site renewable energy solutions.

ENVIRONMENTAL

Climate Governance

Our leadership places strong emphasis on sustainability and climate resilience. To ensure effective oversight of climate-related matters, roles and responsibilities have been clearly defined across the organisation.

We are progressively strengthening our climate governance framework by establishing structured processes, controls and reporting mechanisms. Climate-related matters are reported regularly to management and the Board to support effective monitoring and decision-making across the Group.

Climate-related Roles and Responsibilities

We leverage our existing sustainability governance structure, as outlined in the Sustainability Governance and Accountability section of this Report, to oversee climate-related matters and ensure a coordinated response across our operations.

While the Board of Directors retains ultimate accountability for climate-related risks and opportunities, responsibilities are cascaded across the Board, management and operational levels, including our BUs.

Board Level	
Board of Directors	The Board of Directors holds ultimate responsibility for overseeing climate-related risks and opportunities and ensuring their integration into the Group's strategic direction. Key responsibilities include: • Overseeing the integration of climate-related considerations into corporate strategy, capital allocation and risk appetite. • Monitoring the implementation and progress of the Group's Net-Zero Carbon Roadmap. • Reviewing climate-related risks and opportunities as part of strategic discussions. • Approving budgets and investments related to climate initiatives. • Reviewing and endorsing key climate-related targets and action plans. • Ensuring alignment with applicable regulatory requirements and sustainability standards. • Supporting initiatives that strengthen the Group's resilience and long-term value creation.
Board Sustainability Committee ("BSC")	The Board delegates detailed oversight of sustainability and climate-related matters to the BSC. Key responsibilities include: • Providing strategic direction on sustainability and climate-related matters. • Reviewing climate risk and opportunity assessments, including the Climate Risk Register and key risk indicators. • Reviewing climate-related matters as part of the quarterly committee agenda. • Approving climate-related scenarios, time horizons and disclosure thresholds. • Reviewing and endorsing climate-related targets, mitigation initiatives and resilience strategies. • Monitoring alignment with Bursa Malaysia sustainability requirements and IFRS S1 and S2 standards.

Management Level	
Sustainability Steering Committee ("SSC")	The SSC, chaired by the CEO and comprising senior leaders including the Head of Finance, and Head of Human Resources, oversees the implementation of the Group's sustainability strategy. Key responsibilities include: • Executing the Group's climate strategy and climate risk and opportunity assessments. • Monitoring progress against sustainability objectives and action plans. • Maintaining the Climate Risk Register and escalating material risks to the BSC. • Integrating climate considerations into risk management, investment appraisal and operational planning. • Coordinating cross-functional implementation of climate mitigation and adaptation initiatives. • Monitoring progress of climate-related financial disclosures. • Proposing sustainability and climate-related initiatives for Board consideration. In addition: • Group Finance evaluates the financial implications of climate-related risks, including impacts on asset valuations, insurance costs and financing terms.
Working Level	
Sustainability Working Group ("SWG")	The SWG function coordinates climate-related initiatives and reporting across the Group. Key responsibilities include: • Consolidating and managing the Group's GHG emissions inventory (Scopes 1, 2 and material Scope 3). • Supporting business units in scenario analysis, target setting and performance tracking. • Coordinating implementation of the Net-Zero Carbon Roadmap. • Managing climate-related disclosures and ensuring alignment with IFRS S2 and Bursa reporting requirements. • Maintaining emissions methodologies, reporting systems and performance dashboards. • Supporting cross-functional decarbonisation initiatives and monitoring implementation progress.
Business Units ("BUs")	BUs are responsible for implementing climate-related initiatives at the operational level. Key responsibilities include: • Integrating climate considerations into operational planning, budgeting, procurement and capital investment decisions. • Managing site-level climate risks and maintaining business unit risk registers. • Monitoring environmental performance and regulatory developments. • Reporting progress on climate initiatives and targets to SWG. • Supporting implementation of emissions reduction and adaptation initiatives. • Operational teams also monitor site-level indicators, including climate-related disruptions, and escalate material risks where necessary.

Board and Management Skills

Wasco Greenergy ensures that its leadership possesses the appropriate skills and competencies to oversee its climate strategy and transition to a low-carbon economy.

The Board and Management prioritise continuous learning, with Directors participating in climate-related training to stay abreast of evolving sustainability trends, regulatory developments and market expectations.

To complement internal capabilities, the Board and its committees engage independent advisors and third-party specialists, as required, to provide insights on emerging climate science, regulatory requirements and industry developments. This ensures that our climate strategy remains robust, informed and aligned with our long-term decarbonisation commitments.

We will continue to review and refine roles and responsibilities to ensure climate-related risks and opportunities are fully integrated into strategy, operational planning and financial decision-making. As our climate governance framework evolves, we will further strengthen monitoring and reporting processes in line with climate-related disclosure requirements, while embedding these practices within our broader sustainability governance structure.

Our BUs play a critical role in managing climate-related risks at the operational level, ensuring effective implementation, coordination and accountability across the Group.

ENVIRONMENTAL

Climate Strategy

Wasco Greenergy is committed to supporting the transition towards lower-carbon industrial systems while operating responsibly across our value chain. Climate change presents both risks and opportunities that may influence our operations, market dynamics and long-term business outlook.

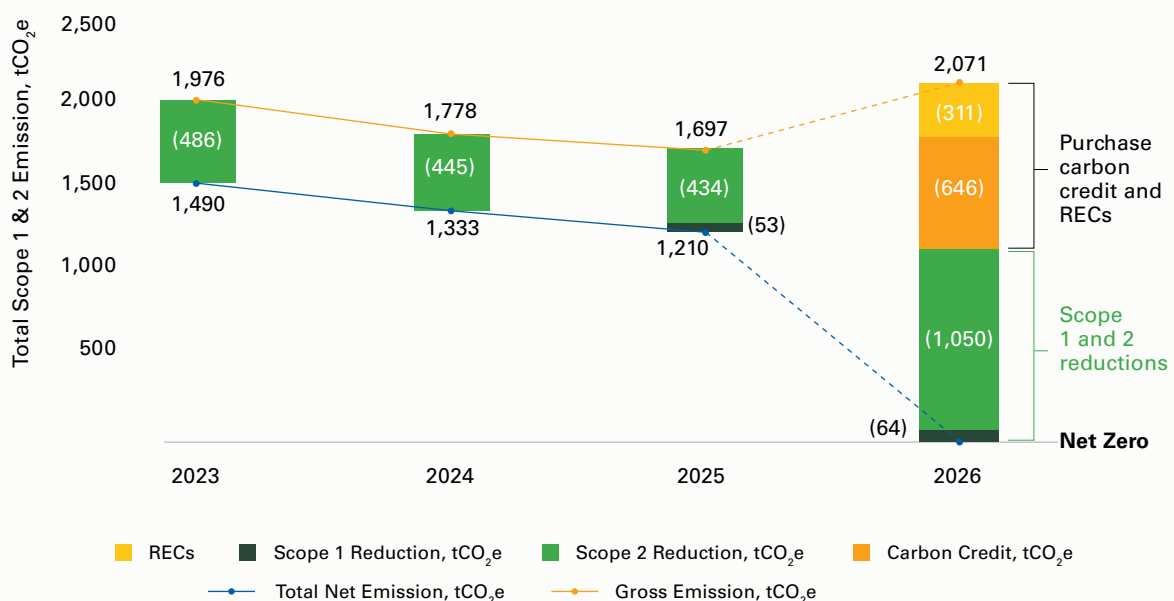
In line with IFRS S2 principles, climate-related considerations are embedded into our business strategy, risk management processes and financial planning. By integrating climate considerations into operational planning, capital allocation and project development, we aim to strengthen resilience while enhancing long-term competitiveness.



Our Commitment: Achieving Net Zero Scope 1 & Scope 2 by 2026

We are committed to achieving Net Zero emissions for Scope 1 and Scope 2 by 2026. This target reflects a disciplined and structured approach that prioritises direct emissions reduction, supports sustainable growth, and ensures accountability for residual emissions.

Wasco Greenergy's Commitment Net Zero Scope 1 and 2 by 2026



Our Strategic Framework: Reduce, Decouple, and Neutralise

Our plan is guided by a clear and robust strategic framework that prioritises direct action while ensuring we take full responsibility for our entire footprint.

Pillar 1:

Reduce Our Direct Footprint (Our Highest Priority)

Reducing emissions within our direct control remains our highest priority. Our Scope 1 initiatives focus on improving operational efficiency and transitioning towards lower-carbon fuels, including biodiesel for our vehicle fleet. In parallel, we are exploring more efficient and lower-emission vehicle options to further reduce transport-related emissions.

Pillar 2:

Decouple Growth from Emissions

We are focused on decoupling operational growth from emissions by increasing the use of renewable energy across our operations. We are strengthening our on-site renewable energy capacity by optimising existing solar consumption and implementing new solar PV installations at our Shah Alam and Sandakan facilities, reducing reliance on grid electricity and lowering Scope 2 emissions. The remaining residual Scope 2 emissions will be addressed through the purchase of Renewable Energy Certificates ("RECs"), enabling us to support business growth without increasing our overall Scope 2 footprint.

Pillar 3:

Neutralise Hard-to-Abate

We are committed to taking responsibility for 100% of our Scope 1 and Scope 2 emissions. After prioritising direct reduction initiatives on Scope 1, any residual emissions that cannot be eliminated in the near term will be addressed through high-quality carbon offsets. To address these residual emissions, we expect to offset approximately 646 tCO₂e, enabling us to neutralise our remaining footprint while supporting high-quality, independently verified emissions reduction projects. Over time, we aim to reduce reliance on offsets by increasing direct emissions reductions across our operations.



ENVIRONMENTAL

Our Enduring Commitment

Achieving Net Zero for Scope 1 and Scope 2 by 2026 is a key milestone, but not the end of our journey. It demonstrates our capability and commitment to deliver on our targets.

Looking ahead, we will continue to prioritise direct emissions reductions, reduce reliance on offsets, and strengthen our transition towards a resilient, future-ready business where operational performance and environmental stewardship are closely aligned.

To guide implementation, we evaluate climate-related risks and opportunities across short, medium and long-term horizons, enabling us to prioritise actions, allocate resources effectively and strengthen organisational resilience in a changing operating environment.



Short-Term Horizon (Present - 2027): Building a Credible Foundation

Our near-term focus is on strengthening governance structures, building reliable emissions data systems and implementing operational initiatives that support our long-term climate strategy.

Our short-term priorities include:

1 Achieving and Verifying Net Zero Operational Emissions

We are targeting to achieve Net Zero emissions for Scope 1 and Scope 2 by 2026 through a combination of operational improvements, renewable energy adoption, and investment in the market instrument.

- **Operational actions:** Implement emissions reduction initiatives, expanding renewable energy installation and enhancing energy efficiency across operations.
- **Independent verification:** We will conduct third-party verification of Scope 1 and Scope 2 emissions to enhance transparency and credibility.
- **Establishing Scope 3 Emissions Baseline:** In 2025, we initiate data compilation programme for the Scope 3 emission baseline to evaluate sources of emissions across our value chain. Identification of key emission sources allows us to develop future reduction initiatives.

2 Strengthening Supplier Engagement

We have initiated supplier engagement through Wasco Sustainability Day to promote collaboration on decarbonisation and improve data transparency across our supply chain.

3 Implementing Global Climate Disclosure Standards (IFRS S1 & S2)

We are implementing IFRS S1 and S2 sustainability disclosure standards through a phased approach:

- 2025:** Conducted gap assessments across governance, strategy and risk management processes.
- 2026:** Integrating climate considerations into our risk management framework and financial planning processes.

These foundational steps position us to accelerate decarbonisation initiatives in the medium term.



ENVIRONMENTAL

Medium-Term (2028 - 2035): Leading from the Front

After achieving operational Net Zero target for Scope 1 and Scope 2 emissions, our medium-term goal will shift towards value chain decarbonisation. As a critical next step, we commit to achieving 80% renewable energy usage by 2035, measured against our 2023 baseline.

Our medium-term priorities built around three strategic pillars as follow:

1 Continuous Net Zero Operational Emissions for Scope 1 and 2

Net Zero operational emissions for Scope 1 and 2 continues to be our performance standard. Future projects and operational expansions will be designed to align with this commitment.

We will prioritise mobile combustion emissions reductions through acquisition of advanced technologies and fuel efficient vehicles while minimising reliance on carbon offsets.

2 Advancing Value Chain Decarbonisation

Building on the data compilation of Scope 3 baseline developed in 2025, we will strengthen collaboration with suppliers and partners to support emissions reductions across the value chain.

3 Expanding Low-Carbon Energy Solutions

We play an important role in enabling industrial decarbonisation through our creative engineering renewable energy solutions. Continuous investment into advance technologies that complement our renewable energy solutions, including:

- Advanced combustion systems
- Digital energy optimisation platforms
- Alternative sustainable biofuels

We are measuring emissions reductions achieved by customers through the use of our renewable energy systems.

Climate considerations are systematically embedded in capital allocation decisions, with an internal carbon price applied to strengthen discipline in project evaluation.



Long-Term Horizon (2036 - 2050): Leading the Net Zero Transition

Over the longer term, our strategy focuses on expanding the impact of our renewable energy solutions while strengthening the resilience of our business model in a low-carbon economy. Our long-term objective is to achieve full Net Zero emissions by 2050.

Our strategy represents a direct evolution of our medium-term pillars, moving from acceleration to mastery by leveraging our core business models.

**1 Decarbonising the Value Chain**

We aim to deepen collaboration with suppliers and industry partners to develop lower-carbon materials, processes and technologies while advancing circular economy practices.

This includes expanding the use of biomass-based energy systems that convert agricultural residues into energy, supporting waste reduction and emissions mitigation.

2 Developing Next-Generation Energy Systems

We will continue developing advanced renewable energy systems through our EPCC, BOO and BOOT business models, enabling industrial customers to adopt lower-carbon energy infrastructure without assuming the full investment risk.

Potential developments include:

- Biomass gasification and pyrolysis technologies
- Hydrogen combustion technology

3 Enhancing Climate Resilience

We will continue to strengthen our resilience through climate scenario analysis, assessing potential impacts on our assets, operations and supply chains under different climate pathways.

These analyses help ensure that our long-term investments remain viable and aligned with a 1.5°C transition pathway.

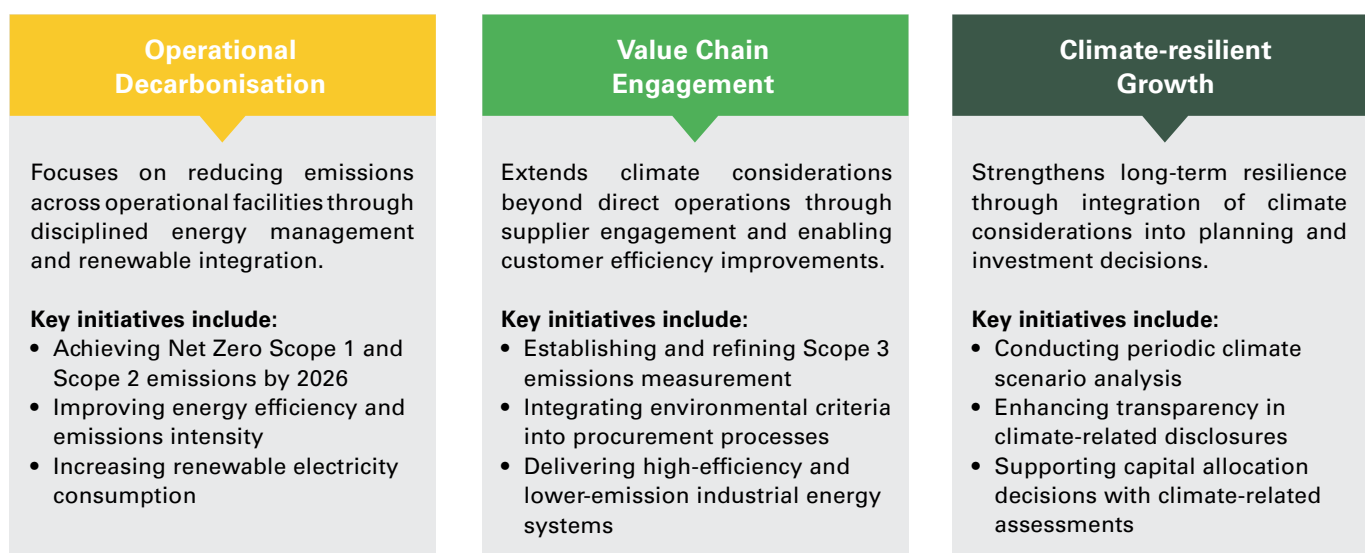
By implementing these strategies, we aim to strengthen operational resilience, support industrial decarbonisation and create sustainable long-term value for our stakeholders.

ENVIRONMENTAL

CLIMATE RISK AND OPPORTUNITY ASSESSMENT

Climate Strategy Framework

Our climate strategy is structured around three interconnected pillars that guide operational decarbonisation, value chain engagement and long-term resilience.



Our Scenario Framework

To evaluate the resilience of our strategy, we apply climate scenario analysis aligned with International Sustainability Standards Board ("ISSB") recommendations. This approach enables us to assess how climate-related risks and opportunities may evolve under different global pathways.

1. Time Horizons

We have selected three distinct time horizons to assess climate-related risks and opportunities, ensuring we capture near-term challenges and long-term strategic implications:

Short-term
2027

Medium-term
2035

Long-term
2050

These horizons align with our corporate planning cycles and key international climate policy milestones, allowing for a comprehensive view of how risks may evolve.

2. Climate Change Scenarios

We selected two contrasting scenarios from the Intergovernmental Panel on Climate Change ("IPCC")'s Sixth Assessment Report ("AR6"). These scenarios allow us to test our business against two very different global futures: one of coordinated climate action and another of regional rivalry and delayed transition.

Scenario 1: SSP1-2.6 (Sustainability: Taking the Green Road)

This scenario reflects a coordinated global transition supported by strong climate policies and investment in renewable and low-carbon technologies. Emissions decline steadily, limiting global temperature increase to approximately 1.8°C by 2100.

Scenario 2: SSP3-7.0 (Regional Rivalry: A Rocky Road)

This scenario reflects a fragmented global landscape where national interests and energy security take precedence over coordinated climate action. Climate policies remain uneven, with continued reliance on fossil fuels and a delayed transition. Global temperatures are projected to rise to approximately 3.6°C by 2100.

Our Assessment Methodology

Our climate risk assessment is conducted using a structured and evidence-based methodology to evaluate both physical and transition risks across our operations. The approach ensures consistency, comparability and alignment with global best practices.

Assessment Process Overview



Our assessment evaluates both physical and transition risks across three-time horizons — short-term (2027), medium-term (2035) and long-term (2050) — to capture evolving exposures and strategic implications.

Approach

- **Hazard Identification:** Identification of relevant physical and transition hazards (e.g. flooding, extreme heat, policy and market shifts) using climate scenarios (SSP1-2.6 and SSP3-7.0), supported by external data sources including World Bank and IPCC-aligned datasets.
- **Risk Identification:** Assessment of how these hazards interact with key business receptors — including sites, infrastructure, workforce and operations — to define specific risks and potential impacts such as revenue loss, cost increases and operational disruption.
- **Risk Assessment:** Evaluation of each risk based on likelihood and impact magnitude across key business dimensions, resulting in a consistent risk rating (e.g. Moderate, Major, Severe) under each scenario and time horizon.
- **Financial Impact Assessment:** High-level estimation of potential financial exposure for material risks, providing an order-of-magnitude view to support prioritisation and decision-making.

This structured approach provides a robust basis to stress-test our strategy, identify key vulnerabilities and support informed decision-making, ensuring Wasco Greenergy remains resilient, competitive and financially sustainable over the long-term.



Linking Scenario Analysis to Risks and Opportunities

The outcomes of scenario analysis inform the identification and prioritisation of material climate-related risks and opportunities across our operations and value chain.

Transition Risks and Opportunities

Transition risks and opportunities arise from the societal and economic shifts associated with moving to a low-carbon economy.

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SSP1-2.6 (Sustainability: Taking the Green Road)

Opportunities

Under a sustainability-driven pathway, strong policy support and coordinated global action accelerate the transition towards low-carbon systems.

For Wasco Greenergy, this creates a supportive operating environment, with increasing demand for renewable energy solutions.

Key opportunities are driven by:

Alignment with national policies such as Malaysia's NETR and Indonesia's renewable energy targets

Growing demand for high-efficiency bioenergy systems and sustainable industrial energy solutions

Expansion of bioenergy and other renewable technologies supporting industrial decarbonisation

This positions Wasco Greenergy as a key partner in delivering efficient, low-carbon energy solutions and supporting the transition of industrial operations towards more sustainable energy systems.

Transition Risks

Under the SSP1-2.6 scenario, strong policy support, regulatory alignment and coordinated global action accelerate the transition towards low-carbon systems. This creates a favourable operating environment for renewable energy solutions, with sustained growth in demand across industrial sectors.

For Wasco Greenergy, transition risks are not driven by declining demand, but by the need to continuously scale, adapt and remain competitive in a rapidly evolving market. These risks arise from increasingly stringent regulatory requirements, accelerated technological advancements and rising stakeholder expectations.

Key Transition Risks

Risk Category	Key Risk Driver	Impact on Wasco Greenergy	Time Horizon
Regulatory & Standards	Stricter efficiency and low-emission requirements	Continuous need to enhance system performance and design to meet higher standards and maintain competitiveness in low-carbon projects	Long-term
Technology Evolution	Rapid advancement in renewable energy technologies	Increased investment required to upgrade capabilities and adopt new technologies to remain competitive	Long-term
Compliance & Disclosure	Expanding climate disclosure requirements (e.g. IFRS S2)	Higher compliance costs, increased reporting complexity and greater expectations from investors, clients and regulators	Long-term
Carbon Regulation	Carbon pricing and Carbon Border Adjustment Mechanism ("CBAM")	Increased compliance requirements and cost pass-through from supply chain, leading to margin pressure and enhanced emissions tracking requirements	Long-term



Severity of Risks

While the overall transition risk profile remains moderate to high, several risks under SSP1-2.6 are assessed as major, particularly those related to:

- Regulatory tightening and evolving technical standards
- Carbon pricing and CBAM-related compliance requirements
- Rapid technological advancement requiring continuous investment

These risks reflect the pace and scale of change in a low-carbon transition, requiring proactive adaptation and sustained capability development.



Overall Assessment

Transition risks under SSP1-2.6 are driven by the need to scale, innovate and align with evolving low-carbon standards, rather than a reduction in demand for our solutions.

This scenario presents strong growth opportunities for Wasco Greenergy. However, capturing these opportunities requires disciplined execution, continuous investment and the ability to respond effectively to evolving regulatory, technological and market expectations.

SSP3-7.0 (Regional Rivalry Pathway)

Transition Risks

Under the SSP3-7.0 scenario, a fragmented global landscape with limited international cooperation slows the pace of the low-carbon transition. However, this does not reduce risk. Instead, it creates a more uncertain and unstable operating environment, characterised by geopolitical tensions, protectionist policies and disruption to global supply chains.

For Wasco Greenery, risks are driven primarily by operational volatility, cost pressures and policy inconsistency, rather than a reduction in long-term demand for renewable energy solutions. While demand for bioenergy system is expected to remain, the pace and timing of project execution become less predictable.

Key Transition Risks

Risk Category	Key Risk Driver	Impact on Wasco Greenery	Time Horizon
Geopolitical	Increased global conflict and reduced investor confidence	Project delays, extended payment cycles and risk of project deferment or cancellation, affecting revenue visibility and cash flow	Medium to Long-term
Supply Chain	Limited access to specialised materials and inward-looking supply chains	Increased procurement costs, delivery delays and reduced sourcing flexibility, affecting project execution	Medium to Long-term
Policy Fragmentation	Uneven carbon regulation and inconsistent policy implementation	Increased compliance complexity, regulatory uncertainty and potential trade-related disputes across operating regions	Medium to Long-term
Market & Trade	Protectionist policies, tariffs and energy price volatility	Higher input costs, margin pressure and uncertainty in project pipeline and execution timelines	Medium to Long-term



Severity of Risks

Under SSP3-7.0, the following risks are assessed as Severe:

- Heightened geopolitical tensions and global conflict
- Increased protectionist measures and trade restrictions

These factors significantly affect project visibility, cost stability and execution timelines, creating challenges in maintaining a stable and predictable order book.



Overall Assessment

Transition risks under SSP3-7.0 are moderate to high, driven mainly by volatility, cost pressures and policy uncertainty, rather than a reduction in demand for our solutions.

While the long-term energy transition continues, these conditions create a more challenging operating environment. This requires stronger cost management, enhanced supply chain resilience and disciplined project execution to maintain performance.

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Physical Risks

Our assessment identifies flooding and wildfire as key physical hazards across Shah Alam and Medan:

Physical Risk Summary

Risk Category	Key Risk Driver	Impact on Wasco Greenergy	Key Impacts on Wasco Greenergy	Time Horizon
Shah Alam, Malaysia	Pluvial Flooding (Heavy Rainfall)	Flooding may disrupt transport routes and workforce mobility due to intense rainfall events	• Disruption to supply chain and project timelines • Commuting delays and increased absenteeism • Elevated safety risks during flash-flood conditions	Medium to Long-term
Shah Alam, Malaysia	Wildfire (Regional Haze & Heat)	Exposure to regional haze and elevated temperatures affecting air quality and working conditions	• Respiratory and heat-related health risks • Reduced productivity and increased absenteeism • Operational disruption due to poor visibility and unsafe commuting conditions	Medium to Long-term
Medan, Indonesia	Pluvial Flooding (Extreme Precipitation)	Site located in flood-prone area where heavy rainfall exceeds drainage capacity, causing water accumulation and infrastructure disruption	• Damage to machinery, inventory and raw materials • Production downtime and business interruption • Increased capital and operational expenditure • Supply chain disruption and project delays	Medium to Long-term
Medan, Indonesia	Wildfire (Haze & Heat Exposure)	Regional wildfire events may lead to haze, poor air quality and elevated temperatures affecting workforce and operations	• Health risks to employees (respiratory and heat stress) • Reduced workforce productivity and higher absenteeism • Temporary site disruptions or closures during severe conditions	Medium to Long-term

Overall Assessment

Physical risks are assessed as major, reflecting their potential to disrupt operations, impact workforce safety and increase operating costs across key locations.

Summary of Financial Impacts

Transition Risks

Financial impacts are driven by changes in demand, pricing and cost structures across Wasco Greenergy's bioenergy and renewable energy solutions.

Under a rapid transition scenario (SSP1-2.6), the Group is positioned to benefit from stronger demand for low-carbon solutions, supporting revenue growth. This is accompanied by higher capital and operating expenditure required to scale capacity, invest in new technologies and meet evolving regulatory requirements.

Under a fragmented transition scenario (SSP3-7.0), impacts are more likely to arise from margin compression and earnings volatility, driven by feedstock price fluctuations, supply chain disruptions and inconsistent policy support. This may result in less predictable project flows and increased cost pressures.

Physical Risks

Financial impacts are location-specific and primarily relate to increased operating and maintenance costs.

These include business interruptions, reduced productivity due to extreme heat, variability in feedstock supply, and costs associated with repairing or replacing assets and inventory affected by flooding and other climate-related events.

Our Path Forward in Climate Disclosure

The completion of our first comprehensive Climate Change Risk Assessment in FY 2025 marks an important milestone in our journey towards alignment with IFRS S2. We recognise that this is an ongoing process and are committed to continuously enhancing the quality, depth and transparency of our disclosures.

Our key focus areas going forward include:

- **Strengthening Management Actions:** Building on this assessment, we will enhance disclosures on the specific management strategies and action plans implemented to address our key climate-related risks and opportunities.
- **Integration into Financial Planning:** Insights from the assessment are being reviewed by senior management and the Board, and will be progressively integrated into financial planning processes, including capital allocation, asset valuation and impairment considerations.
- **Enhanced Quantification of Financial Impacts:** We will continue to strengthen our approach to quantifying the financial effects of climate-related risks and opportunities. This includes prioritising key risks and providing greater clarity, where practicable, on climate-related capital expenditure and potential financial impacts.

CLIMATE RISK MANAGEMENT

Risk Management Framework

Climate-related risks are managed through our Risk Management ("RM") framework, which provides a structured approach to identifying, assessing and managing risks across the business.

Our approach includes risk identification, assessment, integration into planning, and ongoing monitoring with oversight from senior management and the Board. Climate-specific considerations, including scenario analysis and physical risk assessments, are incorporated into this process.

Further details on our RM framework are available in the Sustainability Risk Management section on pages 56 to 58.

METRICS AND TARGETS

Methodology

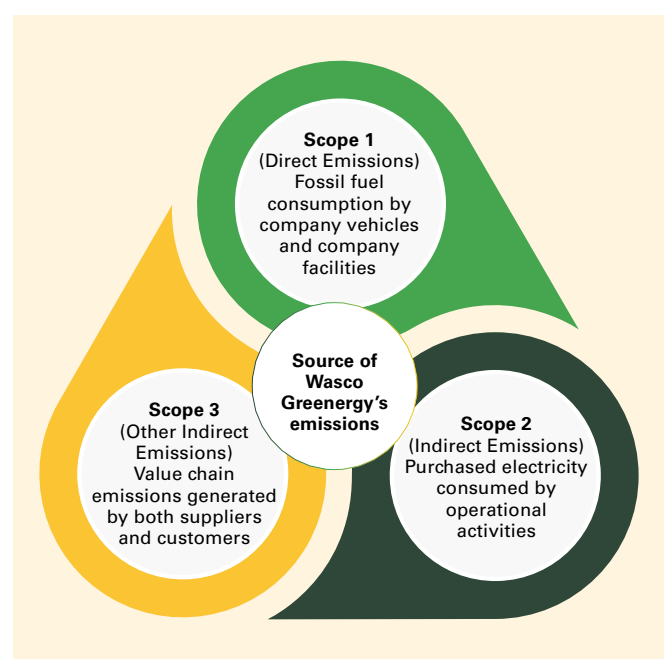
Metrics and targets play an important role in monitoring our exposure to climate-related risks and opportunities. By tracking these indicators, we are able to assess progress, support informed decision-making and enhance transparency for stakeholders.

Regular monitoring of climate-related metrics enables us to evaluate our operational performance, manage risks and identify opportunities that support long-term value creation.

We are committed to progressively reducing operational emissions in line with global efforts to limit temperature rise to 1.5°C. To support this objective, we have established a set of climate-related indicators that allow us to track key performance metrics and guide our response to climate-related risks and opportunities.

Scope 1, 2, and 3 GHG Emissions

Wasco Greenergy is committed to transparency and accountability in managing our climate performance. As part of this commitment, we disclose our Scope 1, Scope 2, and Scope 3 GHG emissions to provide stakeholders with clear and comprehensive insights into our environmental impact.



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Calculation Methodology – Scope 1 and Scope 2 GHG Emissions

Scope 1 and Scope 2 GHG emissions are calculated using a combination of top-down and bottom-up approaches, allowing emissions to be assessed both by BUs and by specific equipment or operational activity.

Operational data collected for these calculations includes:

fuel consumption

electricity usage

relevant industrial processes

defined operational boundaries across the countries where we operate

Where applicable, emissions from refrigerants, fugitive sources and waste or effluent treatment processes are also included.

For Scope 2 GHG emissions, we apply the location-based method, which reflects the average emissions intensity of the electricity grids in the regions where our operations are located. The composition of electricity generation, including the share of renewable and fossil fuel sources and transmission losses, is reviewed annually based on recognised technical references, including the GHG Protocol, IPCC AR6 and Malaysian Green Technology and Climate Change Centre (“MGTC”) guidance.

Calculation Methodology – Scope 3 GHG Emissions

Scope 3 GHG emissions are calculated in accordance with the GHG Protocol Corporate Value Chain (Scope 3) Standard and the measurement guidance outlined in IFRS S2 (paragraphs B38–B57).

Depending on the nature of the emission source and data availability, a combination of calculation methods is applied, including spend-based, weight-based, fuel-based, and distance-based approaches. This ensures that emissions are estimated using the most appropriate and reliable methodology across the value chain.

Data for Scope 3 calculations is sourced from a combination of internal records and external datasets. Emission factors are reviewed using recognised international sources, including the GHG Protocol, IPCC, United Kingdom’s Department for Environment, Food & Rural Affairs 2025 (“DEFRA”), Ecoinvent, United States Environmentally-Extended Input-Output (“USEEIO”) databases, and relevant national inventories.

As this is the first year of Scope 3 reporting, the current period serves as our emissions baseline. We intend to maintain these methodologies in future periods to ensure data consistency and comparability as we track our progress toward reduction targets.

Reporting and Transparency

All GHG emissions are reported in metric tonnes of carbon dioxide equivalent (tCO₂e) and include carbon dioxide (CO₂), methane (CH₄), nitrous oxide (N₂O), hydrofluorocarbons (HFCs) and sulphur hexafluoride (SF₆), in line with the Kyoto Protocol.

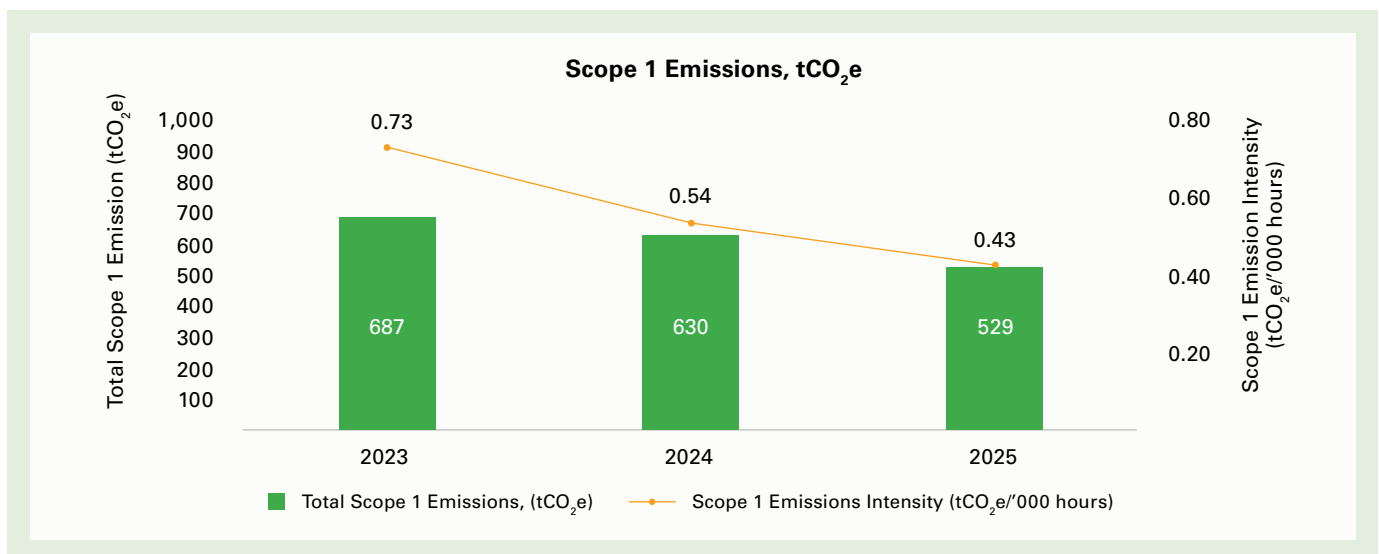
We remain committed to continuously improving the accuracy, completeness and transparency of our climate-related disclosures as our data systems and reporting practices continue to evolve.

EMISSIONS PERFORMANCE

Emissions Intensity

Total GHG emissions alone may not fully reflect operational efficiency, as they do not account for changes in the scale of our activities. To provide a more meaningful measure of performance, we report emissions intensity as the tonnes of carbon dioxide equivalent (tCO₂e) generated per 1,000 man-hours worked. This metric enables us to assess emissions performance relative to operational output and track improvements in efficiency over time.

Scope 1 Emission



Year	2023	2024	2025
Scope 1 Emissions (tCO ₂ e)	687	630	529
Total Man-hours ('000 hours)	945	1,169	1,239
Scope 1 Emission Intensity (tCO ₂ e/'000 hours)	0.73	0.54	0.43

Commentary:

Our Scope 1 emissions decreased from 630 tCO₂e in 2024 to 529 tCO₂e in 2025, reflecting the tangible impact of our decarbonisation initiatives and our ongoing commitment to operational efficiency. This downward trend is further evidenced by our emission intensity performance, where our Scope 1 intensity per 1,000 man-hours worked improved from 0.54 in 2024 to 0.43 in 2025. This progress demonstrates our ability to decouple operational activity from carbon output, becoming more carbon-efficient even as our business scales.

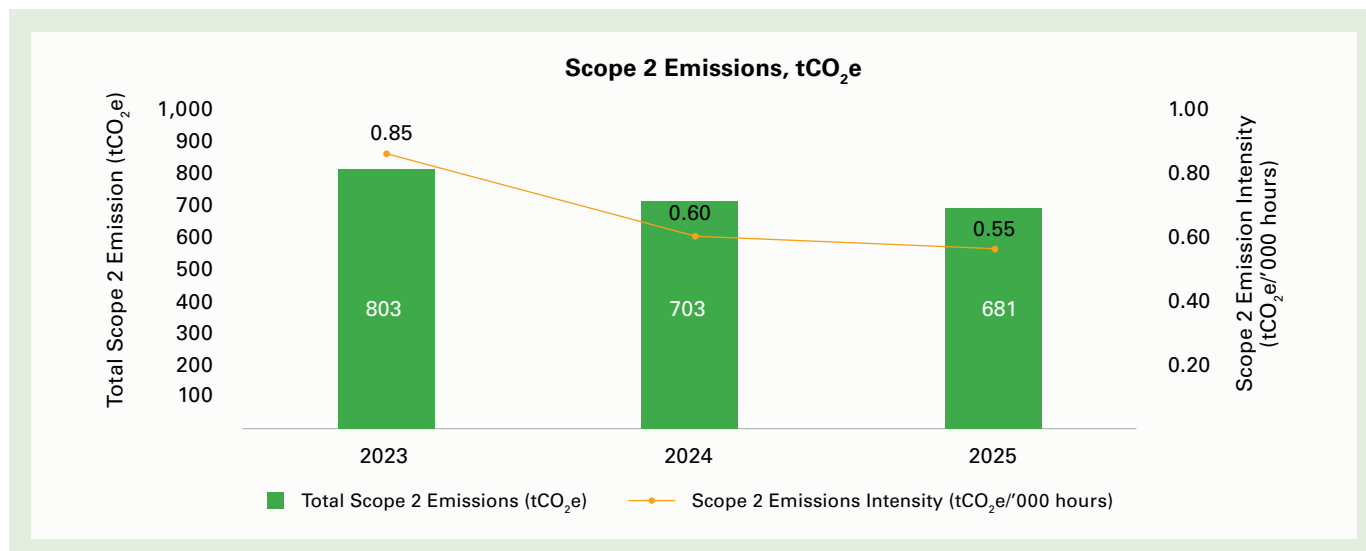
A primary driver of this successful reduction was the strategic transition from conventional diesel to biodiesel within our after-sales service operations at the Medan facility. By switching to lower-carbon fuel alternatives, we have significantly lowered the carbon intensity of our core service delivery.

Building on this momentum, we are committed to scaling our reduction initiatives throughout 2026 to reach our Net Zero milestones. Our current efforts include:

- **Operational Scaling:** Expanding the use of biofuels across additional service touchpoints.
- **Fleet Innovation:** Evaluating high-efficiency and low-emission vehicle alternatives to optimize fuel economy and minimise the environmental impact of after-sales service operations.

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Scope 2 Emission (Location-Based)



Year	2023	2024	2025
Scope 2 Emissions (tCO ₂ e)	803	703	681
Total Man-hours ('000 hours)	945	1,169	1,239
Scope 2 Emission Intensity (tCO ₂ e/'000 hours)	0.85	0.60	0.55

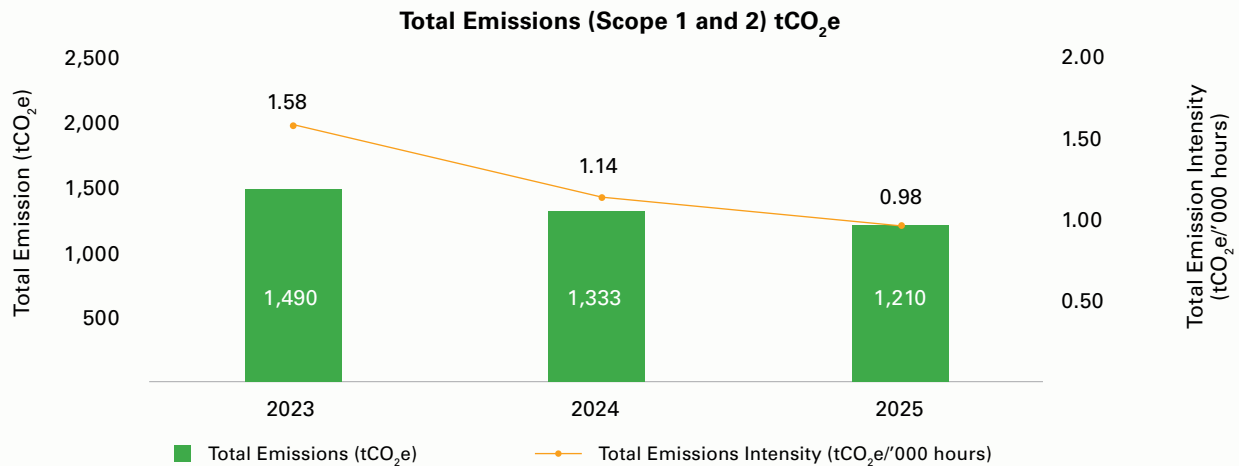
Commentary:

We achieved a consistent reduction in our Scope 2 emissions since 2023, demonstrating clear and measurable progress toward our Net Zero 2026 milestone. Total Scope 2 emissions fell from 703 tCO₂e in 2024 to 681 tCO₂e in 2025, while emission intensity improved from 0.60 to 0.55 tCO₂e per 1,000 man-hours worked. These results reflect our continued success in optimising energy use across operations as business activity scales.

A primary driver of the intensity improvement is our proven on-site renewable capability at Wasco AgroTech Sdn. Bhd. ("WATSB"). The existing solar installation at the WATSB facility has materially reduced our grid dependence and served as a blueprint for broader deployment of on-site renewables across the Group.

Building on this foundation, we are expanding our on-site renewable capacity with new solar systems at WTSB facility and Sandakan branch in 2026. Combined with targeted energy-efficiency upgrades and strategic RECs procurement, these measures will further decouple our growth from Scope 2 emissions and keep us on track to meet our Net Zero commitment.

Consolidated Scope 1 & 2 Emissions



Year	2023	2024	2025
Total Scope 1 and 2 Emissions (tCO ₂ e)	1,490	1,333	1,210
Total Man-hours ('000 hours)	945	1,169	1,239
Emissions Intensity (tCO ₂ e/'000 hours)	1.58	1.14	0.98

Commentary:

Our consolidated Scope 1 and 2 performances for 2025 demonstrates Wasco Greenergy's successful transition toward a low-carbon operational model. While our total man-hours worked increased from 945,000 hours in 2023 to 1,239,000 hours in 2025—reflecting robust business growth and expanded project activity—we have successfully stabilized our absolute emissions.

The most significant indicator of our progress is the consistent reduction in Emissions Intensity, which has fallen from 1.58 in 2023 to 0.98 in 2025. This multi-year downward trend is a clear signal that we are successfully decoupling our commercial success from our carbon footprint. By improving our efficiency by this margin over two years, we are proving that Wasco Greenergy can scale its operations while simultaneously reducing the carbon impact of every hour worked.

This performance is a direct result of our integrated decarbonisation strategy, which includes:

- **Operational Efficiency:** Continuous optimisation of energy use across our facilities.
- **Fuel Switching:** The transition to lower-carbon alternatives like biodiesel in our service fleet.
- **Renewable Integration:** Leveraging proven on-site solar PV capabilities to reduce grid reliance.

These results provide a strong foundation as we enter the final phase of our Net Zero 2026 roadmap. By maintaining this trajectory of intensity reduction and scaling our renewable energy investments, we remain firmly on track to meet our ambitious climate commitments while supporting the growth of our global business.

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Scope 3 GHG Emission (Value Chain)

In 2025, Wasco Greenergy established its first comprehensive Scope 3 emissions baseline to gain a full lifecycle view of its carbon impact. Working with external specialists, emissions were quantified across the entire value chain in alignment with the GHG Protocol, covering all 15 categories. Total Scope 3 emissions for the year amounted to 2,541,903 tCO₂e.

The 2025 baseline significantly strengthens the Group's emissions inventory and establishes a robust foundation for future target-setting, performance tracking, and value chain decarbonisation strategies.

A detailed breakdown by category is provided below.



Category Scope 3	2025 Emission (tCO ₂ e)
Category 1 Purchased goods and services	18,482
Category 2 Capital goods	188
Category 3 Fuel- and energy-related activities (not included in Scope 1 or 2)	298
Category 4 Upstream transportation	425
Category 5 Waste generation	58
Category 6 Business travel	389
Category 7 Employee commuting	336
Category 8 Upstream leased assets	N/A
Category 9 Downstream transportation and distribution	72
Category 10 Processing of sold products	N/A
Category 11 Use of sold products	2,520,186
Category 12 End-of-life treatment of sold products	1,469
Category 13 Downstream leased assets	N/A
Category 14 Franchises	N/A
Category 15 Investments	N/A
Total Scope 3 – Other indirect GHG Emissions	2,541,903

Category 11: Use of Sold Products

As part of its commitment to transparency, Wasco Greenergy assessed the full lifecycle impact of its products. Category 11 (Use of Sold Products) emissions were estimated using engineering-based usage models, covering combustion-related products such as boilers, while non-combustion products such as steam turbines were excluded, as they do not result in direct emissions during the use phase. The estimates assume an operational lifespan of 17.5 years and annual operating hours of 6,000–8,000, with emission factors sourced from IPCC Volume 2 (Table 2.2) and DEFRA 2025.

Boilers sold in 2025 are estimated to generate a total of 2,520,186 tCO₂e in lifetime emissions under Category 11. This figure includes methane (CH₄) and nitrous oxide (N₂O) emissions from biomass combustion, as well as upstream emissions associated with biomass production, processing, and transportation.

In addition, 10,053,802 tCO₂e are reported as biogenic CO₂. These emissions arise from the combustion of renewable biomass fuels — such as EFB, fibre, and shells are part of a natural, closed-loop carbon cycle. As this carbon is recently absorbed from the atmosphere, its release does not contribute to a net increase in atmospheric carbon.

By converting biomass waste into energy, these boilers displace fossil fuel use, representing a meaningful contribution to global decarbonisation.

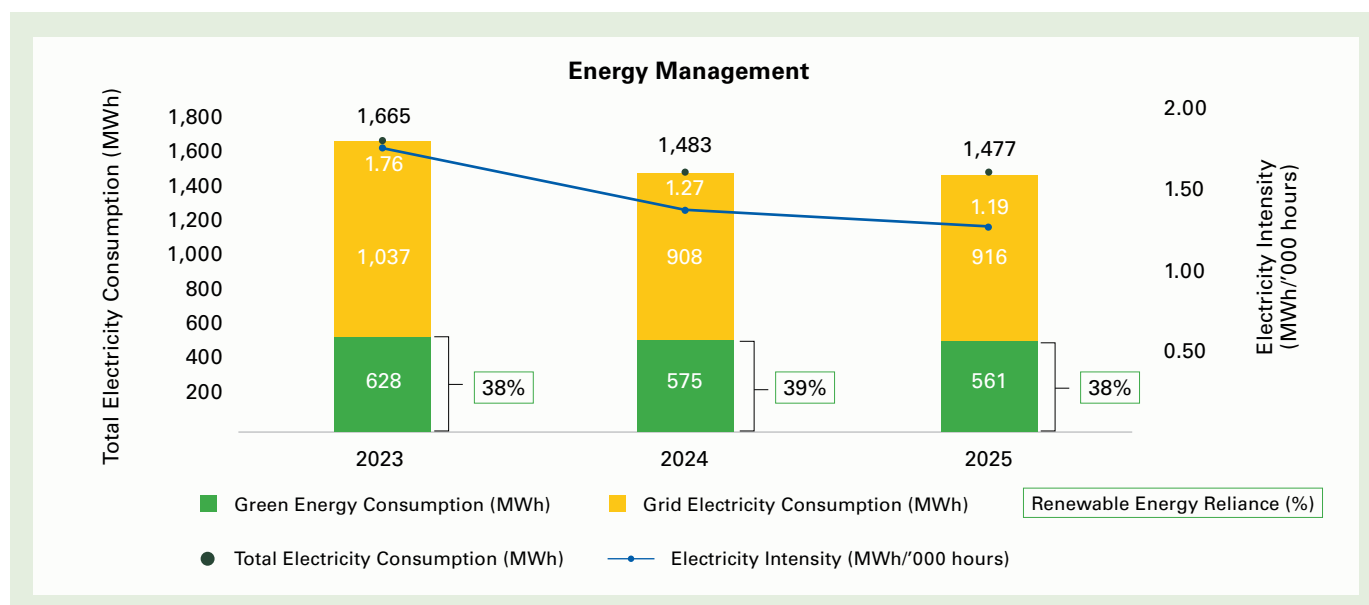
This new baseline provides critical insights into our value chain impact, identifying Category 1 (Purchased Goods and Services) and Category 11 (Use of Sold Products) as our most significant emission sources. Notably, Category 1 represents our most substantial area for direct strategic influence, whereas Category 11 emissions occur during the product use phase and are largely driven by customer operational requirements. These data points will directly inform our supplier engagement strategy as we collaborate with key partners to drive decarbonisation across our upstream value chain, representing a crucial step toward achieving Net Zero by 2050.

Energy Management

Energy efficiency is a key contributor to emissions reduction.

In 2025, solar PV installations were integrated at WATSB Shah Alam facility, supporting reduced reliance on grid electricity.

Energy performance is reviewed annually to inform investment decisions.



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Year	2023	2024	2025
Green Energy Consumption (MWh)	628	575	561
Grid Electricity Consumption (MWh)	1,037	908	916
Total Electricity Consumption (MWh)	1,665	1,483	1,477
Electricity Intensity (MWh/'000 hours)	1.76	1.27	1.19
Renewable Energy Reliance (%)	38%	39%	38%

Commentary:

In 2025, Wasco Greenergy continued to demonstrate its commitment to a low-carbon energy transition, successfully exceeding our corporate target of 35% renewable energy reliance. By achieving a 38% renewable energy reliance, we have outperformed our goal for the third consecutive year, reflecting the sustained impact of our on-site solar generation and strategic green energy procurement.

On-Site Solar: Optimising Our Energy Profile

In 2025, our solar installations generated a total of 594 MWh of clean energy. We directly utilised 561 MWh of this generation to power our own operations, significantly reducing our reliance on external energy sources.

Despite this high internal consumption, we achieved a surplus of solar energy, exporting 33 MWh back to the national grid, Tenaga Nasional Berhad ("TNB") during the year. This brings our total accumulated surplus solar energy exported to TNB since 2024 to 73 MWh.

This milestone demonstrates our commitment to maximising renewable energy capacity and contributing clean power to support local community usage and the broader decarbonisation of the energy system.



This dual approach optimises our energy profile while supporting wider renewable energy goals.

We are committed to addressing the issue of climate change and improving efficiency through adaptation by adopting new and green technology in developments and implementing fuel efficiency measures.

BIODIVERSITY

Operations are primarily industrial and facility-based. Biodiversity impacts are assessed as limited and localised.

Environmental Impact Assessments ("EIA") are conducted where required. Mitigation measures are implemented to minimise ecological disturbance during site development and expansion.

Project Lifecycle Biodiversity Safeguards:

Site Selection

EIA

Mitigation Planning

Monitoring

Preserving Biodiversity

We strive to operate responsibly while protecting biodiversity in the areas where we conduct our activities. As part of our commitment to the SDGs, we aim to achieve a net positive biodiversity impact by assessing our potential effects on biodiversity, protected areas and locations of high ecological value across our operational sites.

We focus on minimising biodiversity impacts and reducing our environmental footprint by preserving natural habitats and supporting the protection and restoration of ecosystems through nature-based initiatives.

To support these efforts, we conduct biodiversity risk assessments for both existing operations and proposed projects. These assessments help us identify potential environmental sensitivities and implement appropriate mitigation measures to safeguard surrounding ecosystems.



WASTE

Wasco Greenergy is committed to environmentally responsible operations. By adhering to all relevant laws and industry standards, we implement systems and practices that minimise waste and enhance efficiency through proactive resource reuse and recycling. Our Waste Management Procedure sets out the following expectations:

Efficient resource use to minimise the impact of pollution.

Waste generation should be minimised at its source whenever possible.

Finding alternative means for waste disposal by adopting cleaner and sustainable technology.

Meeting all legal requirements on waste handling and disposal.

ENVIRONMENTAL

Our waste handling process for every type of waste disposed of from our operations is presented below.

Scrap Metal	- Scrap metal, including copper, is collected in a scrap metal skip. - Scrap metal is collected or replaced by a contractor as required.
General Waste	- Scrap timber and large general waste items are collected in a general waste skip. - Smaller or lighter general waste items, waste paper and food waste are collected in local, lined bins. - Waste is fully contained and tied within suitable garbage bags upon emptying before being placed in the general waste skip to prevent it from being blown by the wind. - The general waste skip is emptied by a contractor as required.
Recyclable Containers	Aluminium cans and plastic bottles are deposited in a designated recycling bin for donation.
Waste Paint	The waste paint was classified and managed as scheduled waste (SW409) and disposed of via an authorised licensed contractor in accordance with applicable regulatory requirements and the Safety Data Sheet ("SDS").
Oily Rags	- Oily rags are stored in a designated oily rag receptacle. - Clients' maintenance operations should have an existing process for disposing of oily rags.

NOISE BOUNDARY MONITORING

Noise generated during the construction, operation, and decommissioning phases of large infrastructure projects can potentially affect nearby noise-sensitive receptors. In adherence to the Environmental Quality Act 1974, the Group conducts boundary noise monitoring at multiple points along the perimeter of our operations, in line with the approval conditions outlined in EIAs. In 2025, the average noise level remained within the permissible limit of 75 decibels (dBA), as stipulated by the Department of Environment ("DOE")'s Noise Limits and Control, Third Edition, 2019.

We also implement appropriate occupational health and safety measures to protect employees and visitors from noise exposure. This includes the provision of hearing protection, such as earplugs, in designated high-noise areas to ensure compliance with safety standards and safeguard hearing health.

WATER STEWARDSHIP

While our operations are not water-intensive compared to heavy manufacturing sectors, responsible water management remains a priority.

Our focus includes:

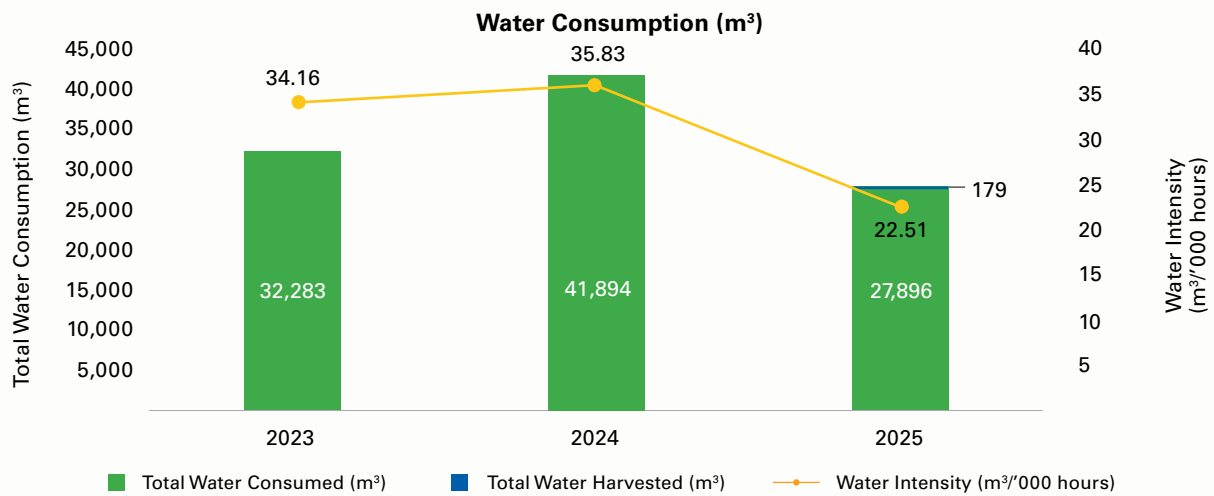
Monitoring water withdrawal and discharge

Improving reuse through closed-loop systems

Supporting rainwater harvesting and hydrotesting water reuse

Tracking water intensity (m³ per 1,000 man-hours)

Water-related risks are assessed periodically at site level.



Year	2023	2024	2025
Total Water Consumed (m ³)	32,283	41,894	27,896
Total Water Harvested (m ³)	-	-	179
Total Man-hours ('000 hours)	945	1,169	1,239
Water Intensity (m ³ /'000 hours)	34.16	35.83	22.51

Water Withdrawal**Operational Use****Responsible Discharge**

Rainwater harvesting implemented

Commentary:

At Wasco Greenergy, our water management strategy centres on long-term efficiency and operational resilience. In 2025, total water consumption decreased to 27,896 m³ (2024: 41,894 m³). While this was influenced by a reduction in business activity, the key indicator of our progress is the marked improvement in water intensity, which fell from 35.83 to 22.51 m³ per 1,000 man-hours. This downward trend demonstrates our success in optimising water usage per unit of operational activity, ensuring our processes remain lean and sustainable across business cycles.

A significant milestone in 2025 was the launch of our Water Circularity Program, featuring the integration of our first rainwater harvesting initiatives at our Shah Alam facility. Although this inaugural phase contributed 0.64% (179 m³) toward our water-saving targets, it established a critical proof-of-concept and provided the foundational data necessary to scale our infrastructure. We view these targets as strategic benchmarks that continue to drive our investments in water resilience and circularity.

ENVIRONMENTAL

Quantifying Our Positive Impact: A Commitment to Measuring Customer Success

Our environmental commitment extends beyond managing emissions within our own operations. A significant part of our contribution to sustainability comes from the solutions we deliver to customers, which support improvements in energy efficiency, resource utilisation and emissions reduction across industrial operations.

Through the systems and technologies, we deploy, our customers are able to improve the efficiency of energy, fuel and water usage while reducing emissions, waste and overall environmental impact.

To strengthen transparency around the value created by our renewable energy solutions, we are initiating a structured approach to quantify the positive environmental impact enabled by our installed systems. This initiative will allow us to measure how our technologies support customers in achieving their sustainability objectives and contribute to broader decarbonisation efforts.

This approach, commonly referred to as measuring our “carbon handprint”, focuses on estimating the emissions reductions enabled through the use of our products and solutions compared with conventional energy systems.

Moving forward, we aim to develop a robust methodology aligned with recognised international frameworks, including the GHG Protocol, to ensure that the information disclosed is credible, transparent and meaningful for stakeholders.

Bioenergy: Driving Industrial Decarbonisation

Wasco Greenergy is at the forefront of industrial sustainability, providing high-efficiency bioenergy solutions that enable our customers to transition away from fossil fuel-based systems. By leveraging biomass resources and advanced thermal conversion technology, we support our customers optimise their energy profiles and achieve significant GHG reductions.

Biomass Steam Energy Systems

We support industrial decarbonisation by deploying biomass steam energy systems, particularly in regions with reliable access to biomass fuel sources. These systems generate the essential steam and power required for industrial operations, offering a renewable alternative to conventional coal-fired boilers. By transitioning to biomass-based thermal generation, our customers significantly reduce their carbon footprint.

	Potential CO ₂ Reduction from Biomass Boilers (tCO ₂ e)			
	2022	2023	2024	2025
New boilers installed in the current financial year	204,284	304,909	226,305	223,437
Boilers installed since 2022	204,284	1,065,377	2,645,567	4,723,807

Note:

Assuming annual operating hours of 6,000 to 8,000, based on the capacity of boilers installed.

High-Efficiency Steam Turbines

Wasco Greenergy further advances sustainability through the deployment of high-efficiency steam turbine technology. These systems convert thermal energy into clean electricity, providing a reliable source of green power that allows industrial facilities to optimise energy consumption. Our turbine solutions have enabled customers to achieve substantial cumulative green electricity generation.

	Green Electricity Generation from Steam Turbine (MWh)			
	2022	2023	2024	2025
New steam turbine installed in the current financial year	321,420	405,388	390,548	387,246
Steam turbine installed since 2022	321,420	1,385,302	3,382,183	6,207,556

Note:

Assuming 6,000 hours of operation per year, based on the capacity of steam turbine installed

SOCIAL



SOCIAL



BUILDING A RESPONSIBLE AND RESILIENT ORGANISATION

Wasco Greenergy's ability to design, fabricate and execute complex renewable energy systems depend on the strength, safety and integrity of our workforce. Our social approach focuses on building technical capability, maintaining disciplined safety performance and contributing positively to the communities in which we operate, particularly in Malaysia and Indonesia.

We focus on:

Our
Commitment
to Safety

Empowering
Our People

Diversity,
Equity and
Inclusion
("DEI")

Human
Rights and
Ethical Labour
Practices

Community
and Social
Impact

Product
Responsibility
and Quality

Our Commitment to Safety

Health, safety and environmental stewardship remain a fundamental priority for Wasco Greenergy. Our approach is guided by the principle of Target Zero—no injuries to people, no damage to property and no harm to the environment. We recognise that maintaining strong health and safety standards is essential to protect our workforce, contractors and stakeholders, while ensuring operational reliability and long-term business sustainability.

With more than 30 years of experience in renewable energy solutions, we have embedded a strong safety culture across our operations. Health and safety considerations are integrated into our daily activities, project planning and operational decision-making. In 2025, Wasco Greenergy recorded 2,477,789 Lost Time Incident ("LTI")-free man-hours, reflecting the continued commitment of our management and workforce to maintain safe working practices.

Our HSE Policy applies to all employees, contractors, subcontractors, visitors and other stakeholders operating within our premises or engaged in our projects. The policy establishes clear expectations for responsible behaviour, risk awareness and regulatory compliance across all operational activities.

We remain fully committed to complying with the Occupational Safety and Health Act ("OSHA") 1994, the Environmental Quality Act ("EQA") 1974 and other applicable laws, regulations, industry standards, and best practices in the jurisdictions where we operate.

SOCIAL

SAFETY PERFORMANCE AND BENCHMARKING

We continuously monitor our health and safety performance using internationally recognised indicators and benchmark our results against relevant industry standards.

In 2025:

Zero Fatalities
Maintained a perfect safety record with zero fatalities across all global operations.

Lost Time Injuries Frequency ("LTIF")
Achieved zero Lost Time Injuries, resulting in an LTIF of 0.00, significantly outperforming the industry average of 0.24.

Total Recordable Incident Frequency ("TRIF")
Recorded a TRIF of 0.00, demonstrating exceptional safety performance compared to the International Association of Oil & Gas Producers ("IOGP") 2024 industry benchmark of 0.94.

These benchmarks provide an important reference point for assessing our safety performance and identifying opportunities for continuous improvement.

Our perfect record is underpinned by a transparent safety culture. We mandate the reporting and thorough investigation of all incidents and near misses to uncover their root causes. By implementing immediate corrective actions and sharing lessons learned across our global teams, we proactively mitigate risks and foster a workplace where safety awareness is deeply embedded in every operation.

RISK ASSESSMENT AND PREVENTIVE MANAGEMENT

Risk identification and assessment are integral components of our health and safety management system. We conduct systematic risk assessments to identify potential hazards and implement appropriate control measures.

Health and safety risk assessments are carried out for:

- Existing operational activities
- Potential new operations or projects
- Changes in operational processes or equipment
- Contractor and subcontractor activities conducted at our facilities or project sites

These assessments help ensure that safety risks are identified early and managed effectively before work commences.

STRENGTHENING A CULTURE OF SAFETY

The progress achieved in 2025 reflects our continued efforts to strengthen a proactive safety culture across the organisation. Employees and contractors are encouraged to view safety as a core value rather than simply a regulatory requirement.

Key focus areas during the year included:

- Reinforcing risk awareness and hazard identification
- Strengthening risk management and preventive controls
- Enhancing incident investigation and reporting processes
- Promoting visible and accountable safety leadership
- Strengthening HSE competencies across the workforce

2025 Highlights

- 2,477,789 incident-free man-hours worked since the last LTI
- Continued implementation of the Wasco i-Start programme, supporting the transformation of safety culture across operations
- Increased adoption of digital tools and technologies to strengthen HSE monitoring and reporting
- WTSB, representing approximately 50% of Wasco Greenergy's operational facilities, was selected by the Department of Occupational Safety and Health ("DOSH") Malaysia to host a workplace visit for government officials from several Asian countries under the Third Country Training Programme, recognising the company's safety practices

To ensure continuous improvement and proactive HSE risk management, Wasco Greenergy utilises two key initiatives:

Wasco CARE Plus Programme

The programme monitors 15 leading safety indicators, which are reviewed monthly to identify early warning signals of potential risks. The analysis of these indicators enables management to detect performance trends and implement timely preventive actions.

Wasco CARE Card System

We also utilise the Wasco CARE Card system, a digital platform that allows employees, contractors, visitors and clients to report Unsafe Conditions or Unsafe Acts ("UCUAs"). This system simplifies the reporting process and improves the efficiency of follow-up actions and corrective measures. The transition from manual to digital reporting has strengthened participation and transparency across our operations.

Looking ahead, we will continue to strengthen our health and safety initiatives by enhancing preventive controls, improving employee engagement and reinforcing risk management practices across our operations and project sites.

Our long-term objective is to achieve zero injuries across all operations while maintaining a safe, healthy and responsible working environment for our employees, contractors and stakeholders.

EMERGENCY RESPONSE TEAM ("ERT")

Wasco Greenergy maintains a dedicated ERT responsible for coordinating emergency preparedness and directing evacuation procedures in the event of incidents. The team works closely with fire wardens, subcontractors, suppliers and external emergency services to ensure effective response and coordination during emergencies.

Members of the ERT receive regular training to ensure they are equipped with the necessary knowledge and skills to respond effectively to emergency situations. In addition, we conduct annual fire evacuation drills across our facilities to ensure employees and the ERT are familiar with emergency procedures and able to respond promptly when required.

ASSESSING SAFETY RISKS AND COMPLIANCE

Health hazard identification, accident prevention and injury prevention are integral components of our sustainability strategy and risk management framework. Wasco Greenergy conducts health and safety risk assessments for both existing operations and potential new operations or projects to identify and mitigate risks before work commences.

These assessments are documented through our Hazard Identification, Risk Assessment and Risk Control ("HIRARC") process, which supports systematic identification of workplace hazards and the implementation of appropriate control measures.

We remain committed to comply with the OSHA 1994 and ISO 45001 standards. During the reporting period, audits conducted by the DOSH Malaysia and external ISO auditors were successfully completed without major non-conformities, demonstrating the strength of our safety management system and our commitment to maintaining high occupational safety and health standards.

SOCIAL

We also benchmark our safety performance indicators against internal targets and relevant industry standards to monitor trends and identify opportunities for continuous improvement.

OUR CURRENT SAFETY CULTURE

We continue to strengthen our safety culture as part of our commitment to achieving Target Zero. In collaboration with DuPont Sustainable Solutions and our holding company, Wasco Berhad, we have implemented a comprehensive safety culture transformation programme across our operations.

As part of this initiative, safety perception surveys are conducted periodically to assess the maturity of our safety culture and identify areas for improvement. The insights obtained from these surveys support ongoing enhancements to our safety programmes and reinforce a proactive approach to risk management.

PROMOTION OF OPERATIONAL DISCIPLINE

Operational discipline is reinforced through several structured practices designed to strengthen safety awareness and accountability across the organisation. These include periodic safety briefings, which ensure employees and subcontractor workers understand job-specific health, safety and environmental requirements for their daily work.

We also implement mentoring, on-the-job training and targeted re-coaching to address gaps in safety practices and reinforce expected behaviours. This approach helps build a culture of accountability and continuous improvement, supporting our goal of maintaining high safety standards across all operations.

HSE CERTIFICATION

Our ISO 45001:2018 certification covers 50% of Wasco Greenergy’s operations, ensuring compliance with Occupational Health and Safety Management System standards.

SAFETY GOVERNANCE

Wasco Greenergy’s HSE Committee plays an important role in strengthening workplace safety, improving working conditions and providing a structured platform for employees and management to address health and safety matters collaboratively.



The committee is chaired by CEO, Mr. Lee Yee Chong, and comprises key representatives from senior management. It is responsible for reviewing safety concerns, evaluating HSE performance and risks, and supporting continuous improvement in health and safety practices across the organisation. The committee also provides regular updates on Wasco Greenergy’s safety performance to the Board of Directors, reinforcing management accountability and oversight of workplace safety.

To further strengthen safety governance, the HSE Committee conducts quarterly Safety Walkabouts, during which committee members visit operational facilities to assess HSE performance and identify potential risks on site. These visits also include engagement sessions with employees to promote open dialogue on safety matters and reinforce leadership commitment to maintaining a safe and healthy work environment.

SAFETY PERFORMANCE

Fatalities Coverage	2023	2024	2025
Employees	0	0	0
Contractors	0	0	0
Lost-Time Incident* Rate	0.00	0.00	0.00

Note:
* LTI is an injury sustained on the job by employees and contractors that results in the loss of productive work time.

Empowering Our People

WORKFORCE OVERVIEW

As at FY 2025, Wasco Greenergy employed a diverse workforce across Malaysia and Indonesia, supported by structured human capital policies and performance management frameworks.

Workforce highlights



Total employees
427
people

Employee
turnover rate
7%



Manager female employees
in manager grade
29%

We maintain structured remuneration frameworks, performance evaluation processes and defined career progression pathways.

In addition to permanent employees, we engage contractors and project-based workers to support fabrication, installation and commissioning activities. These workers operate under contractual arrangements and are required to comply with our safety, ethical and operational standards. Oversight mechanisms, including safety inductions and performance monitoring, are applied consistently.

LEARNING AND DEVELOPMENT

Continuous skills development supports operational reliability and technical competency.

In FY 2025:

Average head count of employees received training:
422 people

Average training hours per employee:
16.9 hours

Training programmes were aligned with operational priorities, including EPCC execution standards, turbine system competencies and safety compliance.

Learning initiatives are reviewed periodically to ensure alignment with business requirements and long-term capability development.

FOSTERING YOUNG TALENT

At Wasco Greenergy, we believe that investing in young talent is the cornerstone of a sustainable and innovative future. We demonstrate our commitment to the next generation through comprehensive development programmes, high-impact internships, and dedicated mentorship. These initiatives are designed to empower young professionals with the specialised skills and practical experience necessary to excel in an evolving industry.

SOCIAL

INVESTING IN OUR PEOPLE'S WELLBEING

At Wasco Greenergy, we invest in the wellbeing and security of our employees through a comprehensive benefits programme. This commitment fosters a culture of care and excellence, ensuring our team feels valued both personally and professionally. Our benefits include:

Holistic Health & Wellness:

Full medical insurance coverage, supplemented by provisions for dental, optical, and preventative health screenings.

Work-Life Balance & Support:

A complete suite of leave options, including Annual, Medical, Marriage, Compassionate, Examination, and enhanced Maternity/Paternity leave to support employees through all life stages.

Financial & Professional Growth:

Mandatory statutory contributions (EPF, SOCSO, EIS) to secure our employees' futures, alongside reimbursement for professional membership fees to encourage continuous career development.



Fun Run



Go Kart Tournament

EMPLOYEE ENGAGEMENT

Employee engagement plays an important role in fostering motivation, collaboration and a positive workplace culture at Wasco Greenergy. We engage regularly with employees through both physical and virtual platforms to keep them informed about business developments and organisational priorities. Department-level engagement activities also help strengthen team cohesion and provide opportunities to address workplace and human resource matters.

Recognising that our employees are central to our success, we strive to cultivate a supportive and inclusive work environment that encourages professional growth and open communication. Various communication channels including meetings, briefings, intranet updates, internal bulletins and LinkedIn are used to keep employees informed and connected across the organisation.

Key topics such as equal opportunities, diversity and inclusion, career development, and employee benefits are communicated and discussed through these channels. In addition, we promote employee engagement through a range of initiatives, including:

Townhall meetings

Employee surveys

Performance review

Tea talks

Initiative for mental health awareness

Festival celebration and activities

Sport and recreational events

By prioritising employee development, Wasco Greenergy fosters a culture of innovation and excellence. We ensure our team members are not only valued but also fully empowered to reach their professional potential.

Diversity, Equity and Inclusion (“DEI”)

OUR CULTURE OF INCLUSION AND NON-DISCRIMINATION

Wasco Greenenergy is committed to maintaining a workplace free from harassment and unlawful discrimination. We ensure all employees are treated with equity and fairness, regardless of race, colour, age, gender, sexual orientation, gender identity or expression, ethnicity, nationality, disability, pregnancy, religion, political affiliation, or marital status.

Our commitment to employee protection is reflected in our fair hiring and employment practices, which guarantee competitive living wages, equitable promotion opportunities, performance rewards, and comprehensive access to professional training. We also uphold the principle of equal pay for equal work and comply with all relevant labour regulations. In FY 2025, no cases of discrimination were reported within the Group.

EQUALITY IN RECRUITMENT

Wasco Greenenergy complies with labour laws across all jurisdictions in which we operate and prioritises hiring from local communities where possible. Local recruitment strengthens our operational capabilities while contributing to the development of local economies.

At the same time, as an organisation serving a growing international customer base, we recognise the value of diverse skills and expertise. Where specialised capabilities are not available locally, we recruit internationally to support our operational needs.

Our recruitment processes are based solely on qualifications, experience and suitability for the role, with no discrimination against individuals from underprivileged backgrounds or persons with disabilities.

WASCO WOMEN ACTION NETWORK (“WWAN”)

The WWAN is a strategic platform dedicated to empowering women across all levels of the organisation while fostering a culture of inclusivity and equity. Launched in March 2025 in collaboration with our holding company, Wasco Berhad, WWAN operationalises impactful initiatives across the group to support female professional development and leadership participation. The network’s strategy is built upon six core pillars—Career Growth, Equity Advocacy, Supportive Communities,

Authentic Leadership, Holistic Wellbeing, and Family Inclusivity—which aim to break systemic barriers and eliminate workplace bias.

In its inaugural year, the network successfully executed its official launch in March 2025 and introduced the Women in Leadership (“WiL”) Series, featuring specialised training and development workshops. These initiatives, alongside mentorship programmes and awareness campaigns, highlight the achievements of women across the organisation and reinforce our commitment to visibility and dialogue. By fostering allyship and equal opportunities in recruitment and progression, WWAN strengthens our organisational culture and decision-making, enabling us to better serve our stakeholders and drive meaningful change.

Human Rights and Ethical Labour Practices

At Wasco Greenenergy, our Human Rights Policy outlines our unwavering commitment to upholding international standards, including the UN Guiding Principles (“UNGP”) on Business and Human Rights and the ILO Declaration on Fundamental Principles and Rights at Work. We strive to foster a culture of respect, ensuring that the rights of our employees, partners, and the communities where we operate are protected and promoted.

Our policy focuses on conducting regular due diligence to mitigate risks, ensuring non-discrimination and inclusion, and strictly prohibiting child or forced labour within our operations and supply chain. We prioritise responsible sourcing by engaging with suppliers who share our ethical standards and maintain transparent reporting mechanisms for any potential violations. Through continuous training and alignment with Sustainability reporting standards, we remain dedicated to improving our human rights impact and creating long-term value for all stakeholders.

Policies are communicated through:

Employee handbooks and internal portals;

Induction programmes and mandatory training;

Supplier onboarding and contractual requirements; and

Periodic compliance briefings.

For more information on Human Rights, please refer to www.wascogreenenergy.com.

SOCIAL

GOVERNANCE AND OVERSIGHT

We maintain a robust governance structure to ensure human rights are prioritised at the highest level. In FY 2025, we strengthened this framework by formalising a comprehensive Human Rights Policy. This policy was reviewed by the Head of Human Resources and received final approval from the Board of Directors.

While the Board maintains ultimate responsibility for policy approval, day-to-day implementation and monitoring are embedded within management and relevant functional heads. This integrated approach ensures that human rights accountability is a core component of our operational functions and supports proactive oversight of ethical practices.

As of FY 2025, while the Group does not enter into any collective bargaining agreements, all employees are engaged under individual contracts governed by applicable labour laws and internal policies that safeguard their fundamental rights.

OUR APPROACH TO SALIENT HUMAN RIGHTS ISSUES

Wasco Greenergy conducts thorough assessments to identify potential adverse human rights impacts and determine the most salient issues across our operations. Engaging directly with our stakeholders enables us to better understand and address human rights risks that may arise within our value chain.

The key rights we safeguard include:

Freedom of association and engagement

An adequate standard of living

Social security and social insurance

Just and favourable conditions of work

Health



Wasco Greenergy supports the amendments to the Workers’ Minimum Standards of Housing and Amenities Act 1990. We require all contractors working on our projects to provide facilities that meet or exceed the ILO’s guidelines.

Employee compensation fully complies with all applicable Malaysian and Indonesian laws, including regulations on working hours, minimum living wages, overtime compensation, and all legally mandated benefits. In accordance with national legislation, overtime is compensated at rates higher than regular hourly wages. We prohibit wage deductions as a disciplinary measure and are committed to preventing excessive working hours by limiting them wherever possible.

OUR APPROACH TO SALIENT HUMAN RIGHTS & LABOUR STANDARDS

We have identified the following core issues as most relevant to our industry and operations. Our management approach is designed to proactively mitigate these risks across our value chain:

Forced Labour	We do not tolerate forced labour or any forms of modern slavery, including bonded labour and human trafficking. All employees work voluntarily under agreed employment terms.
Child Labour	We comply with international labour standards and strictly observe the minimum legal working age in all countries where we operate.
Discrimination	We prohibit discrimination based on race, religion, nationality, gender, age, disability, sexual orientation, or other protected characteristics.
Harassment and Inhumane Treatment	Harassment in any form, including physical, verbal, sexual or psychological harassment, is not tolerated in our workplace.
Working Hours and Wages	Working hours, leave entitlements and employee compensation are managed in accordance with applicable labour laws and internal policies.
Grievance	We maintain grievance channels to enable employees and stakeholders to raise concerns safely and confidentially. These mechanisms support transparent engagement and allow issues to be addressed promptly.

SUPPLY CHAIN INTEGRATION AND ACCOUNTABILITY

We translate our commitments into action through a systematic approach to risk management and communication. Our strategy includes:

Risk Management: Assessing potential human rights impacts within our business processes and implementing targeted measures to prevent or mitigate identified risks.	Internal Engagement: Communicating expectations through employee handbooks, internal portals, induction programmes, and mandatory training sessions.
Monitoring: Maintaining rigorous screening and monitoring processes across our operations to ensure ongoing compliance with all applicable labour and human rights regulations in the jurisdictions where we operate.	Supply Chain Accountability: Extending our standards to all partners through our Supplier Code of Conduct and periodic performance assessments. Suppliers are required to sign our Corporate Social Responsibility (Labour) Declaration during procurement and participate in compliance briefings.

GRIEVANCE MECHANISMS: “SPEAK UP”

Transparency is supported by our formal whistleblowing and grievance channels, which enable employees, contractors, and external stakeholders to raise concerns safely and confidentially—and anonymously, where requested. These mechanisms support transparent engagement and allow issues to be addressed promptly.

We actively encourage employees to raise concerns if they believe that any actions may violate our Business Ethics Principles or relevant labour laws. All reports are treated seriously and investigated thoroughly. We also expect our suppliers and business partners to uphold the same standards of ethical conduct.

During the reporting period, no human rights violations were recorded.

SOCIAL

Community and Social Impact

At Wasco Greenergy, our commitment to building a resilient organisation extends to the communities where we live and work. We believe that our success is intertwined with the wellbeing of society. Our social programmes are strategically focused on these three core pillars: Humanitarian Assistance, Healthcare Support, and Environmental Awareness.

Each year, we evaluate our initiatives to ensure they align with local stakeholder needs and our sustainability priorities. We deploy contributions in close collaboration with our employees and local partners to ensure relevance and maximise our positive impact.

Impact at a Glance

RM61,459
invested in community initiatives

602 beneficiaries
supported through our programmes

648
volunteer man-hours recorded

Humanitarian Assistance: Supporting Communities in Need

We are committed to providing timely and meaningful support to vulnerable populations and communities facing hardship. In 2025, our efforts were focused on providing essential aid and fostering inclusivity.

Disaster Relief and Food Security: We responded swiftly to local challenges by organising two Flood Relief Donation Programmes at Bintulu branch, providing direct financial assistance to eight employees and their families to help them recover from the impact of floods. During the month of Ramadan, we partnered with Baitul Sakinah As-Shariff to distribute food packages for their Hari Raya celebration, ensuring residents could enjoy nutritious meals during the festive season.





Caring for Vulnerable Groups: Our employees demonstrated their compassion through a Charity Donation Drive for Rumah Kita, a home for children and adults in need. We collected and delivered essential items from the home's wish list, including food, household appliances, and daily necessities. We also promoted inclusivity through a Visit to the Centre for the Blind in Sandakan, where our team engaged with residents and made a charitable donation to support the centre's programmes.

Healthcare Support: Promoting Community Wellbeing

We believe that access to healthcare is a fundamental right. Our initiatives aim to support public health systems and provide preventative care to those who need it most.

Supporting Public Health: In partnership with Hospital Tengku Ampuan Rahimah ("HTAR"), Klang, we organised a Blood Donation Campaign. Our employees actively participated, contributing to the hospital's critical blood supply and raising awareness about the importance of regular donation.



Preventative Care for Children:

To protect the health of vulnerable children, we organised an Influenza Vaccination Campaign for the children at Pertubuhan Kebajikan Anak-anak Yatim Baitul Sakinah As-Shariff. This initiative provided free vaccinations and included an educational session on hygiene to promote a healthier living environment.

SOCIAL

Environmental Stewardship: Fostering a Sustainable Future

We are dedicated to protecting and restoring our natural environment. We empower our employees to be agents of change through hands-on conservation activities.

Ecosystem Restoration: Our flagship environmental event was a Mangrove Seedling Planting programme at Bagan Lalang. Forty employees participated in this initiative, combining kayaking with the hands-on planting of mangrove seedlings. This directly contributed to the restoration of a vital coastal ecosystem that protects coastlines, supports biodiversity, and strengthens climate resilience. The programme also served as an educational platform, deepening our employees' appreciation for environmental conservation.



● Environment ● Humanity ● Healthcare

JAN

FEB

- Flood relief donations

MAR

APR

- Raya food distribution
- Flood relief donations

MAY

JUN

- Visit to the Centre for the Blind, Kompleks Penyayang Taman Cahaya

JUL

- Blood donation

AUG

SEP

- Orphanage influenza vaccine campaign

OCT

- Charity donation to Rumah Kita
- Health talk
- Tree planting

NOV

DEC

- Flood relief donations

Product Responsibility and Quality

Quality assurance supports reliable system performance and regulatory compliance.

We maintain ISO 9001-certified quality management systems governing design, fabrication, project execution and after-sales services.

Product responsibility measures include:

Compliance with technical specifications

Performance testing and commissioning validation

Continuous quality improvement

PREMIUM SOLUTIONS, FLAWLESS DELIVERIES

Wasco Greenergy implements a Quality Management System ("QMS") based on a process-driven approach, enabling us to effectively plan, manage and monitor operational processes and their interactions. Through this framework, we aim to consistently deliver products and services that meet customer expectations while complying with applicable statutory and regulatory requirements.

Our QMS is aligned with internationally recognised standards, including ISO 9001:2015 and ISO 45001, reinforcing our commitment to quality, safety and continuous improvement.

We ensure that both company-level and project-level QMS processes are implemented effectively to enhance operational performance and customer satisfaction, in line with the Group's Quality Policy.

To further strengthen our service delivery, we actively encourage customer feedback, including through anonymous channels, and regularly review the feedback received. Close engagement with customers throughout the various stages of our projects allows us to better understand their requirements and deliver solutions that meet their expectations.

Social Value at a Glance

Resilient Workforce

Disciplined Safety

Community Trust

In FY 2025, Wasco Greenergy successfully balanced operational execution with social responsibility. Our performance reflects a deep-seated commitment to the integrity of our people and the resilience of our communities.

Key Focus Areas for 2026:

Safety Leadership:

Enhancing visible and accountable HSE leadership across all project sites.

Diversity and Inclusion:

Driving the next phase of the WWAN strategy to increase female participation in leadership.

Ethical Integrity:

Continuous monitoring of our supply chain to ensure 100% alignment with our Human Rights Policy.

Through these pillars, Wasco Greenergy continues to build an organisation that is not only technically capable but socially responsible and future-ready.

GOVERNANCE



GOVERNANCE



OUR GOVERNANCE FRAMEWORK

Our Board of Directors is responsible for the overall stewardship of the Group, providing strategic direction and overseeing the conduct of the business. It is composed of a diverse group of individuals with a broad range of skills, experience, and perspectives.

To ensure focused oversight of critical areas, the Board has established several committees, each with a distinct mandate:

Audit Committee:

Assists the Board in its oversight of the Group's financial reporting, internal controls, and risk management framework.

Nomination and Remuneration Committee:

Oversees Board composition, director nominations, succession planning, and the Group's remuneration framework for directors and senior management.

Board Sustainability Committee:

Assists the Board in overseeing the Group's sustainability strategy, policies, and performance, ensuring that ESG considerations are integrated into our business. A detailed description of the Committee's role and activities is provided in the "Sustainability and Accountability" section of this report.

OUR POLICY ECOSYSTEM

Our commitment to responsible business conduct is formalised through a comprehensive ecosystem of policies. These documents translate our values into actionable standards for our directors, employees, and partners, ensuring alignment with global best practices like the UNGPs, OECD Guidelines, and ILO Core Conventions.

To ensure long-term value and ethical integrity, we have integrated the following essential policies into our governance structure:

Policy	
Diversity Policy	Promotes a diverse and inclusive workplace that values different backgrounds, perspectives, and experiences, ensuring fair and equitable opportunities across Group.
Group Human Rights Policy	Sets out the Group's commitment to respecting internationally recognised human rights and fair labour practices, prohibiting discrimination, harassment, and forced or child labour.
Sustainability Policy	Guides the integration of ESG considerations into our strategy and operations, supporting long term value creation while minimising adverse environmental impact.
Anti-Bribery and Corruption Policy	Establishes a zero tolerance stance towards bribery and corruption, aligning our practices with applicable anti-corruption laws and requiring ethical conduct in all business dealings.
Anti-Money Laundering Policy	Provides a framework to identify, prevent and report money laundering and terrorism financing risks, supported by due diligence, screening and ongoing monitoring measures.
Conflict of Interest Policy	Provides guidance for identifying, disclosing and managing situations where personal interests may conflict with the Group's interests, so that decisions are made objectively and in good faith.
Whistleblowing Policy	Offers secure and confidential channels for employees and stakeholders to raise concerns about misconduct or regulatory non-compliance, with measures in place to protect genuine whistleblowers from retaliation.
Business Ethics Principles	Sets out the core ethical values and standards that govern our conduct, promoting integrity, transparency and fairness in our relationships with employees, customers, suppliers and other stakeholders.
Directors' Fit and Proper Policy	Defines the criteria for assessing the character, integrity, experience, competence and time commitment of directors, ensuring the Board is composed of suitably qualified individuals.
Governance Model Document	Describes the Group's governance structure, roles and decision making processes, clarifying the accountability of the Board, Board Committees and Management.
Directors' Code of Ethics	Outlines the standards of ethical behaviour and fiduciary duties expected of directors, reinforcing their responsibility to act honestly, independently and in the best interests of the Group.
Board Charter	Sets out the Board's roles, responsibilities, authorities and operating procedures, serving as a reference for effective Board governance and oversight.
Corporate Disclosure Policies and Procedures	Establishes principles and processes for the timely, accurate and transparent disclosure of material information, supporting compliance with listing requirements and maintaining stakeholder confidence.

The full policy available for reference on our website at www.wascogreenergy.com/corporate-governance.php.

EMBEDDING POLICY COMMITMENTS

Policy commitments are embedded across the organisation through:

- Allocation of responsibility at Board, Committee and Management levels;
- Integration into operational procedures and Standard Operating Procedures;
- Inclusion within risk registers and compliance monitoring frameworks;
- Supplier performance assessments and vendor evaluation processes; and
- Mandatory training programmes for employees and relevant third parties.

Training coverage includes human rights, anti-bribery, workplace conduct, safety and regulatory compliance.

Through structured governance, operational integration and training, the Group ensures that policy commitments are translated into day-to-day practices and business relationships.

GOVERNANCE

ANTI-BRIBERY AND CORRUPTION

Wasco Greenergy adopts a zero-tolerance approach towards bribery and corruption. Our Anti-Bribery and Corruption (“ABC”) Policy and Anti-Bribery Management System (“ABMS”), supported by 24 Standard Operating Procedures, are aligned with ISO 37001:2016 Anti-Bribery Management System requirements and the Guidelines on Adequate Procedures pursuant to Section 17A of the Malaysian Anti-Corruption Commission Act 2009 (Amendment 2018).

The ABC Policy applies to Wasco Greenergy’s Directors, employees and relevant third parties acting on behalf of the Group, including vendors, contractors, consultants, joint venture or consortium partners, subcontractors, suppliers, advisers, agents, distributors, representatives and investors. It covers all dealings with both private sector and government entities, including their directors, personnel, agents and representatives, and applies worldwide regardless of local customs, practices or competitive conditions.

Identifying corruption risk is fundamental to our compliance framework. Bribery and fraud risks are embedded in our business units’ risk registers, enabling countermeasures to prevent, detect and address potential incidents. Compliance also extends to third-party partners, who undergo periodic due diligence and risk assessments to ensure anti-bribery and corruption controls remain effective.

We maintain transparency by communicating our anti-corruption position to all stakeholders through the following measures:

Employee Training: ABC Policy training is mandatory for all employees, including new hires.	Formal Declarations: All employees and Directors are required to certify in writing that they will comply with our ABC commitments.
Ongoing Education: Regular training and engagement sessions ensure ethics and ABC awareness remain at the forefront.	Partner Due Diligence: We perform screening of business partners to ensure they align with our compliance mandates.

During FY 2025:		
100% of employees completed anti-bribery and corruption training.	Corruption risk assessments were conducted during the reporting period.	 ZERO confirmed incidents of corruption were recorded.

Wasco Greenergy maintains the highest standards of financial integrity, ensuring all business books and records accurately and transparently reflect our dealings. To uphold these standards, we have implemented robust monitoring and enforcement procedures to ensure full compliance with Malaysian anti-corruption laws. In line with our commitment to neutrality and ethical conduct, Wasco Greenergy made zero political contributions in 2025.

Our commitment to ethical behaviour is further reflected in our performance during the reporting period:

- **Internal Conduct:** No major disciplinary cases involving corrupt practices were reported, and no employees were dismissed for such misconduct.
- **External Partnerships:** There were no recorded instances of corruption-related violations involving our business partners.
- **Regulatory Compliance:** No fines or penalties were imposed by the relevant authorities against the Group for non-compliance with anti-corruption laws.

ANTI-MONEY LAUNDERING

Wasco Greenergy maintains a robust Anti-Money Laundering (“AML”) Policy to mitigate risks associated with money laundering and terrorism financing. This policy applies to all employees and directors of the Group and governs all activities, whether in Malaysia or abroad, related to the Group’s direct or indirect operations.

Due diligence and screening procedures are implemented to assess counterparties and business partners, where appropriate. Compliance is supported by internal controls and monitored through periodic reviews.

WHISTLE BLOWING

Wasco Greenergy upholds a strong commitment to ethical conduct through its Group-wide Whistle Blowing Policy, which applies to employees and external stakeholders, including shareholders, suppliers, customers and other business partners. The Policy provides accessible channels for reporting concerns relating to unethical behaviour, malpractices, illegal acts, or non-compliance with applicable laws and regulations.

We encourage concerns to be raised with immediate superiors, or escalated to the CEO or the Chairman of the Audit Committee where appropriate. All disclosures must be made in good faith and are handled with strict confidentiality, including the option for anonymity where permitted by law.

All reported cases are promptly and objectively investigated, with oversight by the Audit Committee to ensure appropriate actions are taken and improvements implemented where necessary. We maintain zero tolerance for retaliation against whistleblowers acting in good faith, and treat any such actions as serious misconduct.

During FY 2025:



The Group recorded **zero reportable whistle blowing cases.**

ETHICAL CONDUCT AND POLITICAL CONTRIBUTIONS

We maintain a strict prohibition on political contributions.

During FY 2025:



Wasco Greenergy **did not make any political contributions.**

We comply with applicable laws and regulations in the jurisdictions where we operate and have not incurred any material penalties for non-compliance during the reporting period.

ESG PERFORMANCE DATA

ENVIRONMENTAL PERFORMANCE				
Parameter	Unit	2023	2024	2025
Energy				
<i>Electricity</i>				
Total electricity consumption	MWh	1,665	1,483	1,477
Rooftop solar PV consumption	MWh	628	575	561
Renewable energy reliance	%	38%	39%	38%^A
<i>Fuel</i>				
Diesel consumption	Liter	148,555	133,562	190,974
LPG consumption	kg	0	0	4,750
Petrol/gasoline consumption	Liter	32,935	44,724	5,875
Air Emissions				
NOX emission	kg	0	0	0
SOX emission	kg	0	0	0
Volatile Organic Compounds (VOC) emission	kg	0	0	0
Water & Wastewater				
<i>Water Withdrawal</i>				
Municipal potable water	m ³	32,283	41,894	27,717
Harvested rainwater	m ³	0	0	179
Surface water from rivers, lakes, natural ponds	m ³	0	0	0
Groundwater from wells, boreholes	m ³	0	0	0
Used quarry water collected in the quarry	m ³	0	0	0
External wastewater	m ³	0	0	0
Sea water, water extracted from the sea or the ocean	m ³	0	0	0
Total water withdrawal	m ³	32,283	41,894	27,896
<i>Wastewater/Effluent Discharge</i>				
Discharge to off-site water treatment plant	m ³	0	0	0
Discharge to ocean	m ³	0	0	0
Discharge as surface water	m ³	0	0	0
Discharge to subsurface/well	m ³	0	0	0
Others	m ³	0	0	0
Total wastewater/effluent discharge	m ³	0	0	0
Percentage of WG sites located in water stressed area	%	0	0	0
Water consumed in water stressed area	m ³	0	0	0
Cost associated with water-related risk	RM	0	0	0
Investment in water saving initiative	RM	0	0	165,035
Number of incidents related to non-compliance with water consumption related to local regulations	No. of Incidents	0	0	0
Waste				
<i>Waste Generation</i>				
Total waste	tonnes	307	385	391
Total waste directed to disposal	tonnes	307	95	108
<i>Hazardous</i>	tonnes	307	39	8
<i>Non-recycled</i>	tonnes	0	56	100
Total waste diverted from disposal	tonnes	0	290	283
<i>Recycled</i>	tonnes	0	290	283
Environmental Management & Compliance				
Environmental fines/penalties	RM	0	0	0
Greenhouse Gas & Climate Change				
Scope 1	tCO ₂ e	687	630	529
Scope 2 (location-based)	tCO ₂ e	803	703	681
Scope 2 (market-based)	tCO ₂ e	0	0	0
Scope 3	tCO ₂ e	N/A	N/A	2,541,903
Biogenic emission	tCO ₂ e	N/A	N/A	10,053,802
Internal carbon price	RM/tCO ₂ e	0	0	0
Flaring emission from LPG storage tank	tCO ₂ e	0	0	0
Methane emission (Scope 1 & 2)	tonnes	1.19	1.35	0.68
Emission intensity (Scope 1 & 2)	tCO ₂ e/'000 hours	1.58	1.14	0.98

ESG PERFORMANCE DATA

SOCIAL PERFORMANCE				
Parameter	Unit	2023	2024	2025
Health and Safety				
Percentage of sites with ISO 45001:2018 certification Occupational Health and Safety Management	%	50%	50%	50%
Percentage of sites with ISO 14001:2015 Environmental Management System certification	%	50%	50%	50%
H&S Training				
Number of employee trained on safety	No. of employee	124	138	119
Lost Time Incident Rate ("LTIR")	per 1,000,000 hours worked	0	0	0 ^A
Number of work-related fatalities	No. of employee and contractor	0	0	0 ^A
Communities				
Total amount invested in the community	RM	318,500	50,009	61,459
Total number of beneficiaries of the investment in communities	Number	*Information Unavailable	1,076	602
Labour Standards				
Total number of employee	No. of employee	385	398	427
Total number of contractors	No. of contractor	97	84	82
Full time employee voluntary turnover rates	%	10%	8%	7%
Percentage of employees that are contractors or temporary employees	%	25%	21%	19%
Amount of time spent on employee development training to enhance knowledge or individual skills	hours per employee	10.6	16.3	16.9
Percentage of employee with a disability	%	0%	0%	0%
Percentage of women in the workforce (incl. contractors)	%	21%	22%	23%
Total hours of training by employee category				
Leadership Team	Hours	*Information Unavailable	27	116
Manager	Hours	*Information Unavailable	1,322	1,436
Executive	Hours	*Information Unavailable	2,850	2,966
Non-Executive	Hours	*Information Unavailable	2,095	2,586
Total number of employee turnover by employee category				
Leadership team	Number	0	1	1
Manager	Number	2	1	8
Executive	Number	13	17	13
Non-Executive	Number	23	13	9
Number of substantiated complaints concerning human rights violations	Number	0	0	0
Supply Chain Management				
Proportion of spending on local suppliers	%	75%	71%	77%
Diversity				
Percentage of employees by gender and age group, for each employee category				
Age Group by Employee Category				
Leadership Team Under 30	%	0%	0%	0%
Leadership Team Between 30-50	%	67%	25%	0%
Leadership Team Above 50	%	33%	75%	100%
Manager Under 30	%	0%	0%	0%
Manager Between 30-50	%	71%	75%	67%
Manager Above 50	%	29%	25%	33%
Executive Under 30	%	36%	34%	36%
Executive Between 30-50	%	57%	59%	56%
Executive Above 50	%	7%	7%	8%
Non-Executive Under 30	%	35%	32%	30%
Non-Executive Between 30-50	%	60%	62%	62%
Non-Executive Above 50	%	5%	6%	8%

ESG PERFORMANCE DATA

SOCIAL PERFORMANCE				
Parameter	Unit	2023	2024	2025
<i>Gender Group by Employee Category</i>				
Leadership Team Male	%	67%	75%	100%
Leadership Team Female	%	33%	25%	0%
Manager Male	%	76%	75%	71%
Manager Female	%	24%	25%	29%
Executive Male	%	71%	69%	65%
Executive Female	%	29%	31%	35%
Non-Executive Male	%	83%	82%	82%
Non-Executive Female	%	17%	18%	18%
<i>Percentage of directors by gender and age group</i>				
Male	%	100%	100%	50%
Female	%	0%	0%	50%
Under 30	%	0%	0%	0%
Between 30-50	%	0%	0%	0%
Above 50	%	100%	100%	100%
GOVERNANCE PERFORMANCE				
Anti-Bribery & Anti-Corruption				
Total amount of political contributions made	RM	0	0	0
Number of employee disciplined or dismissed due to non-compliance related to Anti-Bribery/Anti-Corruption	No. of employee	0	0	0
Cost of fines, penalties or settlements in relation to corruption	RM	0	0	0
<i>Percentage of employees who have received training on anti-corruption by employee category</i>				
Leadership Team	%	100%	100%	100%
Managers	%	100%	100%	100%
Executives	%	100%	100%	100%
Non-Executives	%	100%	100%	100%
Percentage of operations assessed for corruption-related risks	%	100%	100%	100%
Confirmed incidents of corruption and action taken	Number	0	0	0
ESG Provisions				
Provisions for fines and settlements specified for ESG issues	RM	0	0	0
Data privacy and security				
Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	0	0	0

Note:

^A This data is subjected to external independent limited assurance. Refer to the independent assurance report on pages 121 to 125.

1. Fatalities refers to work-related fatalities for employees and contractors. Fatalities are recorded based on the total number of fatalities which have occurred.
2. Lost Time Incident ("LTI") is defined as an injury sustained on the job by employees and contractors that resulting the loss of productive work time. Lost Time Incident Rate is calculated based on Lost Time Incidents per number of employees per 1,000,000 hours worked.
3. Renewable energy reliance refers to the total electricity consumption from renewable sources (including but not limited to rooftop solar PV), in proportion to Wasco Greenergy's total electricity consumption. Renewable Energy Reliance (%) = Renewable Energy Consumption (MWh) / Total Electricity Consumption (MWh).

BURSA MALAYSIA PRESCRIBED TABLE

Wasco Greenenergy Berhad

BMLR Transition Period

Date & Time: 2026-04-13_16:15:22
FYE 31/12/2025

Sustainability Matter	Metric	Measurement Unit	2025	Target	Assurance
Anti-Corruption	Percentage of employees who have received training on anti-corruption	Percentage	100	Achieve 100% employee participation in anti-corruption training annually	No assurance
Anti-Corruption	Percentage of operations assessed for corruption-related risks	Percentage	100	-	No assurance
Anti-Corruption	Confirmed incidents of corruption and action taken	Number	0	-	No assurance
Community/Society	Total amount invested in the community	RM	61,459	-	No assurance
Community/Society	Total number of beneficiaries of the investment in communities	Number	602	-	No assurance
Diversity	Percentage of female employees	Percentage	23	-	No assurance
Diversity	Percentage of female directors	Percentage	50	-	No assurance
Energy Management	Renewable energy reliance	Percentage	38	Achieve 80% reliance on renewable energy by 2035 from 2023 baseline	External (Limited)
Health and safety	Number of work-related fatalities	Number	0	Maintain zero work-related fatalities annually	External (Limited)
Health and safety	Lost time incident rate	per 1,000,000 hours worked	0	Maintain zero lost time incident rate annually	External (Limited)
Health and safety	Number of employees trained on health and safety standards	Number	119	-	No assurance
Labour practices and standards	Amount of time spent on employee development training to enhance knowledge or individual skills	Hours per employee	16.9	Achieve 12 hours of training per employee per year	No assurance
Labour practices and standards	Percentage of employees that are contractors or temporary employees	Percentage	19	-	No assurance
Labour practices and standards	Full time employee voluntary turnover rates	Percentage	7	-	No assurance

STATEMENT OF ASSURANCE



Independent Practitioner's Limited Assurance Report to the Board of Directors of Wasco Greenergy Berhad on selected sustainability information disclosed in the "Sustainability Journey" section within the Integrated Annual Report 2025

Limited assurance report on Selected Sustainability Information

We have conducted a limited assurance engagement on the selected consolidated sustainability information as defined below, of Wasco Greenergy Berhad ("the Company" or "Wasco Greenergy"), identified by the symbol ("A"), within the "Sustainability Journey" section in the Company's Integrated Annual Report 2025 ("Sustainability Report") and as defined in the section below, for the financial year ended 31 December 2025 ("Selected Sustainability Information").

Selected Sustainability Information and Reporting Criteria

The Selected Sustainability Information needs to be read and understood together with the Reporting Criteria, which the Company is solely responsible for selecting and applying.

The Selected Sustainability Information and the Reporting Criteria subject to assurance are set out below:

Selected Sustainability Information	Reporting Criteria	2025
Number of work-related fatalities	Note 1 to the "ESG Performance Data" section on page 118 of the Sustainability Report	0
Lost Time Incident Rate (LTIR)	Note 2 to the "ESG Performance Data" section on page 118 of the Sustainability Report	0
Renewable Energy Reliance (%)	Note 3 to the "ESG Performance Data" section on page 118 of the Sustainability Report	38%

Limited assurance conclusion

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Selected Sustainability Information has not been prepared, in all material respects, in accordance with the applicable criteria set out in the "Selected Sustainability Information and Reporting Criteria" section above.

Basis for conclusion

We conducted our limited assurance engagement in accordance with ISAE 3000 (Revised), *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information* ("ISAE 3000 (Revised)").

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion. Our responsibilities under this standard are further described in the "Practitioner's responsibilities" section of our report.

STATEMENT OF ASSURANCE



Independent Practitioner's Limited Assurance Report to the Board of Directors of Wasco Greenergy Berhad on selected sustainability information disclosed in the "Sustainability Journey" section within the Integrated Annual Report 2025 (cont'd)

Our independence and quality management

We have complied with the independence and other ethical requirements of the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("MIA") and the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants ("IESBA Code"), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

The firm applies International Standard on Quality Management 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Responsibilities for the Selected Sustainability Information

Management of the Company is responsible for:

- The preparation of the Selected Sustainability Information in accordance with the Reporting Criteria.
- The design, implementation and maintenance of such internal control as management determines is necessary to enable the preparation of the Selected Sustainability Information, in accordance with the Reporting Criteria, that is free from material misstatement, whether due to fraud or error.
- The selection and application of appropriate sustainability reporting methods and making assumptions and estimates that are reasonable in the circumstances.

Those charged with governance are responsible for overseeing the Company's sustainability reporting process.

Practitioner's responsibilities

Our responsibility is to plan and perform the assurance engagement to obtain limited assurance about whether the Selected Sustainability Information is free from material misstatement, whether due to fraud or error, and to issue a limited assurance report that includes our conclusion. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence decisions of users taken on the basis of the Selected Sustainability Information.



Independent Practitioner's Limited Assurance Report to the Board of Directors of Wasco Greenery Berhad on selected sustainability information disclosed in the "Sustainability Journey" section within the Integrated Annual Report 2025 (cont'd)

Practitioner's responsibilities (cont'd)

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised), we exercise professional judgement and maintain professional scepticism throughout the engagement. We also:

- Determine the suitability in the circumstances of the Company's use of Reporting Criteria as the basis for the preparation of the Selected Sustainability Information.
- Perform risk assessment procedures, including obtaining an understanding of internal control relevant to the engagement, to identify where material misstatements are likely to arise, whether due to fraud or error, but not for the purpose of providing a conclusion on the effectiveness of the Company's internal control.
- Design and perform procedures responsive to where material misstatements are likely to arise in the Selected Sustainability Information. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Summary of work performed

A limited assurance engagement involves performing procedures to obtain evidence about the Selected Sustainability Information. The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

The nature, timing and extent of procedures selected depend on professional judgement, including the identification of where material misstatements are likely to arise in the Selected Sustainability Information, whether due to fraud or error.

In conducting our limited assurance engagement, we:

- Obtained an understanding of the Company's reporting processes relevant to the preparation of its Selected Sustainability Information by performing inquiries of management and reviewing process flowcharts, and reviewing the underlying records;
- Performed inquiries of relevant personnel and analytical procedures on Selected Sustainability Information based on our scoping;
- Evaluated the appropriateness of quantification methods and reporting policies, and the assumptions and data for developing estimates;
- Performed substantive assurance testing on a sampling basis on information included in the Selected Sustainability Information;
- Checked mathematical formulas, proxies and default values used in the Selected Sustainability Information against the Company's Reporting Criteria; and
- Evaluated the appropriateness of the disclosures and presentation of the Selected Sustainability Information based on the Reporting Criteria.

Our assurance procedures specifically did not extend to the remaining parts of the Sustainability Report and the information included therein, other than the Selected Sustainability Information.

STATEMENT OF ASSURANCE



Independent Practitioner's Limited Assurance Report to the Board of Directors of Wasco Greenery Berhad on selected sustainability information disclosed in the "Sustainability Journey" section within the Integrated Annual Report 2025 (cont'd)

Other matters

The comparative Selected Sustainability Information of the Company as at 31 December 2024 and for the year then ended was not subject to an assurance engagement. Our conclusion is not modified in respect of this matter.

Restriction on Distribution and Use and Disclaimer of Liability to Third Parties and For Any Other Purpose

Our report, including our conclusion, has been prepared solely for the Board of Directors of the Company in accordance with the agreement between us dated 2 March 2026 (the "Agreement"). We consent to the inclusion of this report in the Integrated Annual Report 2025 of the Company which will be accessible at <https://wascoenergy.com/> in connection with the Company's responsibilities under paragraph 6.2(e) of Practice Note 9 of the Main Market Listing Requirements in respect of the disclosure of a statement on whether the listed issuer has sought independent assurance on the Selected Sustainability Information. To the fullest extent permitted by law, we do not accept or assume responsibility or liability to anyone other than the Company for our work or this report except where terms are expressly agreed between us in writing. Any reliance on this report by any third party is entirely at its own risk.

PricewaterhouseCoopers PWT
 PRICEWATERHOUSECOOPERS PWT
 LLP0014401-LCA & AF 1146
 Chartered Accountants

Kuala Lumpur
 3 April 2026

STATEMENT OF ASSURANCE

Appendix 1 – Selected Sustainability Information

The breakdown of the Selected Sustainability Information is set out in the table below:

Selected Sustainability Information	Measurement unit	2025
Number of work-related fatalities	Number of incidents	0
Lost Time Incident Rate (LTIR)	Rate	0
Breakdown:		
- Number of lost time injury incidents	Number	0
- Total number of work attendance (manhours for employee and contractors)	Hours	1,239,445
Renewable energy reliance (%)	Percentage	38%
Breakdown:		
- Total rooftop solar PV consumption	MWh	561
- Total electricity consumption	MWh	1,477

PROFILE OF BOARD OF DIRECTORS

HALIM BIN HAJI DIN

Non-Independent Non-Executive Chairman

79 | Male | Malaysian

Date of Appointment:

17 June 2025

Board Committee(s):

None



Halim Bin Haji Din was appointed to the Board of Wasco Greenergy on 17 June 2025.

He is a Chartered Accountant who spent more than 30 years working for multinational corporations and international consulting firms. He has 18 years of experience working in the oil and gas industry, 6 years of which as a Board member of Caltex / Chevron and was responsible for financial management before engaging in the consulting business. Prior to his appointment as a Board member of Caltex Malaysia, he served as Regional Financial Adviser for Caltex Petroleum Corporation in Dallas, Texas overseeing investment viability of the corporation's Asian subsidiaries.

He has extensive experience in corporate recovery when he worked for Ernst & Whinney in London, in the mid-1980s and was appointed as Managing Partner of the consulting division of Ernst & Young Malaysia in 1995. He became the Country Adviser of Cap Gemini Ernst & Young Consulting Malaysia when Cap Gemini of France merged with Ernst & Young Consulting.

In 2003, along with two partners, he took over the consulting business of Cap Gemini Ernst & Young Consulting Malaysia and rebranded it as Innovation Associates, currently known as IA Group, where he sits as a board member. He has previously served as an Independent Non-Executive Director on the board of MMC Corporation Berhad, Takaful Ikhlas Berhad, Employees Provident Fund, Kwasa Land Sdn Bhd and BNP Paribas Berhad and IGB REIT Management Sdn Bhd.

He was a council member of the Malaysian Institute of Certified Public Accountants from 1994 to 2003. He is a member of the Malaysian Institute of Accountants since 1982 and a member of the Malaysian Institute of Certified Public Accountants since 1981.

He was appointed as an Independent Non-Executive Director of Wasco Berhad in May 2002 and was redesignated as a Non-Independent Non-Executive Director in May 2023.

BOARD COMMITTEES:

AC

Audit Committee

BSC

Board Sustainability Committee

RAMANATHAN A/L P.R. SINGARAM

Non-Independent Non-Executive Director

57 | Male | Malaysian

Date of Appointment:

5 December 2023

Board Committee(s):

AC

NRC

BSC



Ramanathan A/L P.R. Singaram was appointed to the Board of Wasco Greenenergy on 5 December 2023.

He graduated with a Diploma in Accounting from the London Chamber of Commerce & Industry in 1990 and completed his professional qualification with the Association of Chartered Certified Accountants in 1994. He has been a member of the Malaysian Institute of Accountants since 2000, an Associate and Fellow of the Association of Chartered Certified Accountants (ACCA) since 1997 and 2002 respectively, and a member of the Institute of Corporate Directors Malaysia (ICDM) since 2025.

He commenced his career in PricewaterhouseCoopers Malaysia ("PwC Malaysia") in 1995 in the audit services department including a two-year stint in PricewaterhouseCoopers London. During this period, he was involved in annual audits, special assignments, forensic audits, financial due diligence and acted as a trainer for both internal and external training courses.

He left PwC Malaysia to join Wasco Berhad in June 2006 as Head of Group Internal Audit, and advanced through various roles and levels to become the Chief Financial Officer of the Energy Division of Wasco Berhad in July 2013. During the same period, he was also responsible for Wasco Berhad's regulatory reporting. He was appointed as the Chief Financial Officer of Wasco Berhad in May 2023.

PROFILE OF BOARD OF DIRECTORS

NG ING PENG

Senior Independent Non-Executive Director
69 | Female | Malaysian



Date of Appointment:
17 June 2025

Board Committee(s):

AC

NRC

BSC

Ng Ing Peng was appointed to the Board of Wasco Greenergy on 17 June 2025.

She graduated with a Bachelor of Accounting from University of Malaya in 1980. She commenced her career in Penang Development Corporation as a financial accountant in August 1980 to August 1981. In September 1981, she joined Thornton Baker, London as an Audit Executive and was in audit, accounting and taxation work. She qualified as a Chartered Accountant in September 1984.

She subsequently joined Ernst & Whinney as a senior auditor in February 1985 before leaving to join D&C Mitsui Merchant Bankers Berhad in September 1987 as a corporate finance manager. In September 1990, she joined the KPMG Management Consulting division as a manager and subsequently left to become the Financial Controller of RSH (Malaysia) Sdn Bhd and Reebok (M) Sdn Bhd.

In March 1994, she joined PB Securities Sdn Bhd as the Head of Operations before leaving to join CIMB Group Holdings Berhad as the Director of Group Finance in July 2000. She was previously the Executive Director and Group Chief Financial Officer of Petra Holdings Berhad from May 2013 to December 2016. She has served on the boards of Petra Energy Berhad and Mr. D.I.Y. Group (M) Berhad since 2016 and 2019, respectively. She was appointed as an Independent Non-Executive Director of HSBC Amanah Malaysia Berhad in October 2023.

Presently, she is the Chairman of the Audit and Risk Management Committee for Mr. D.I.Y. Group (M) Berhad and Petra Energy Berhad, respectively. She is a member of the Malaysian Institute of Accountants since 1985 and a Member of the Institute of Chartered Accountants in England and Wales since 1984.

ROSLINA BINTI ABDUL RAHMAN

Independent Non-Executive Director

57 | Female | Malaysian



Date of Appointment:

17 June 2025

Board Committee(s):

AC NRC BSC

Roslina Binti Abdul Rahman was appointed to the Board of Wasco Greenery on 17 June 2025.

She graduated with a Bachelor of Business Administration from Loyola Marymount University, Los Angeles, USA in 1990 and subsequently obtained a Master of Business Administration from the University of New South Wales and the University of Sydney in 2000. She also completed the Advanced Management Program from the Harvard Business School in Boston, USA in 2022.

She commenced her career as an analyst and equity portfolio manager with Arab-Malaysian Merchant Banking Group in November 1990 until June 1998. In July 1998, she embarked on a sabbatical to pursue her postgraduate degree in Business Administration until July 2000.

Following a short stint with Measat Broadcast Network Systems Berhad from November 2000 to July 2001 as an investor relations manager in the corporate finance department, she joined AmlInvestment Management Sdn Bhd as the head of Corporate Services / Senior Fund Manager in September 2001. She subsequently joined CIMB Principal Asset Management Berhad as a Senior Vice President in August 2004, a position she held for 4 years before joining Amundi Malaysia as the Managing Director in July 2008.

She was the Group Chief Executive Officer of Valuecap Sdn Bhd from August 2018 until June 2021. She has been an Independent Director of Pelaburan Hartanah Nasional Berhad since January 2023 and also sits on the board of several private companies.

Notes:

- Family Relationships with Directors and/or Major Shareholders:**
None of the Directors has any family relationships with any Directors and/or major shareholders of Wasco Greenery.
- Conflict of Interest and Potential Conflict of Interest:**
Save for Mr. Ramanathan A/L P. R. Singaram, who is the Chief Financial Officer of Wasco Berhad, the holding company of the Company, is expected to discharge his duties in the best interests of the Company, none of the Directors has any conflict of interest or potential conflict of interest (including any competing business) with the Company or its subsidiaries.
- Conviction for Offences:**
None of the Directors has been committed of any offences within the past five (5) years other than traffic offences, if any and has not been imposed any public sanction or penalty by the relevant regulatory bodies during the financial year ended 31 December 2025.

PROFILE OF KEY SENIOR MANAGEMENT TEAM



LEE YEE CHONG

Chief Executive Officer

Lee Yee Chong was appointed as the Chief Executive Officer of Wasco Greenergy in September 2024. He graduated with a Bachelor of Mechanical Engineering from University of Malaya in 1993 and began his career as a Project Engineer with ABB Industrial Systems Sdn Bhd. In September 1995, he joined the Wasco Berhad Group, where he has built a distinguished career spanning over 30 years, contributing to the strategic growth and diversification of the Group's businesses.

Over the years, he has held several key leadership positions, including Chief Operating Officer of the Renewable Energy Division in 2014, Chief Executive Officer of the Renewable Energy Division from January 2016 to February 2019, and Chief Executive Officer of the Industrial Engineering Unit from March 2019 to September 2024. In these roles, he has driven strategic initiatives in renewable energy and industrial services, led operational transformations, and expanded the Group's capabilities to address evolving market needs.

Under his leadership, Wasco Greenergy has intensified its focus on renewable steam energy systems, fostering collaborations with strategic industrial partners, and integrating emerging technologies to reduce environmental impact. His vision emphasises both operational excellence and social responsibility, ensuring that growth is aligned with broader sustainability goals.

A mechanical engineer by training, he combines deep technical expertise with strong business acumen, spearheading Wasco Greenergy towards enabling businesses to achieve a cleaner, more sustainable future through innovative solutions and impactful projects.

He holds 321,900 ordinary shares in the Company.

57 | Male | Malaysian

Date of Appointment:
September 2024

PROFILE OF KEY SENIOR MANAGEMENT TEAM



53 | Male | Malaysian
Date of Appointment:
 September 2024

OOI GIAP HWA, BILLY

Head of Finance

He commenced his career as an Audit Senior with BDO Malaysia in July 1997 until May 2001, during which he attained his professional qualification from the Malaysian Institute of Certified Public Accountants in February 2000. He left BDO Malaysia to join Taliworks Corporation Berhad as a Financial Accountant in May 2001, a position he held until April 2003. In May 2003, he joined Wasco Berhad as a Finance and Admin Manager.

He has held various positions within the Wasco Berhad Group from May 2003 until presently. Some of the notable positions held by him within the Wasco Berhad Group include being appointed as the Head of Finance (Industrial Services Division) of Wasco Berhad from August 2019 to August 2023, and the Senior Vice President of Operation Finance of Wasco Management Services Sdn Bhd from August 2023 to August 2024, where he was responsible for financial reporting, corporate finance, tax planning, compliance and treasury management.

He is a member of the Malaysian Institute of Certified Public Accountants since 2001 and a member of the Malaysian Institute of Accountants since 2002.



55 | Male | Malaysian
Date of Appointment:
 January 2025

TEE KIAN LIM

Chief Operating Officer of Wasco Thermal Sdn Bhd

He holds a degree in Mechanical Engineering from the University of Hertfordshire, United Kingdom, and currently serves as the Chief Operating Officer of Wasco Thermal Sdn Bhd ("WTSB"). With over two decades of experience in engineering and industrial energy systems, he brings deep technical expertise and strong operational leadership to the Group.

He began his career in 1995 with Vickers Hoskins (M) Sdn Bhd as a Design Engineer, where he developed preliminary designs for steam energy systems improvement and standardised these designs for fabrication, building a strong foundation in engineering design, system optimisation, and project execution.

He joined WTSB in May 2006 as an Engineering Manager and was promoted to General Manager in 2013, a role he held for over 12 years, overseeing engineering and operations.

He is a substantial shareholder of the Company and is also a director and shareholder of Tema Energy Ventures Sdn. Bhd.

Notes:

- Directorship in public/public listed companies:**
None of the Key Senior Management ("KSM") members hold any directorship in public companies and listed issuers.
- Family relationship with Directors and/or major shareholders:**
None of the KSM members have any relationship with any Directors and/or major shareholders of Wasco Greenergy.
- Conflict of interest:**
Save as disclosed herein, none of the KSM members have any conflict of interest with Wasco Greenergy.
- Convicted of offences:**
None of the KSM members have been convicted for any offence within the past five (5) years other than traffic offences, if any and have not been imposed any public sanction or penalty by the relevant regulatory bodies during the financial year ended 31 December 2025.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board of Directors (“the Board”) of Wasco Greenery Berhad (“Wasco Greenery” or “the Company”) recognises the importance of practising and upholding good corporate governance in discharging its duties and responsibilities towards enhancing business prosperity, corporate accountability, sustainability and realising, and creating ongoing value for its shareholders and stakeholders. Hence, the Board is pleased to present an overview of the extent of the application and compliance of Wasco Greenery and its Group (“Group”) with the relevant principles and practices of the Malaysian Code on Corporate Governance (“MCCG”) issued by the Securities Commission Malaysia (“SC”) on 28 April 2021, the Guidelines on Conduct of Directors of Listed Corporations and their Subsidiaries issued by SC (“SC Guidelines on Conduct of Directors”) as well as the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (“Bursa Securities”) (“MMLR”).

This Statement is prepared in compliance with the MMLR and should be read in conjunction with the Company’s Corporate Governance Report 2025 (“CG Report”) which is available on the Company’s website at www.wascogreenery.com and the Company’s announcement on the website of Bursa Securities.

1. BOARD OF DIRECTORS

1.1 Duties and Responsibilities of the Board

The Board is responsible for the strategic planning, overseeing the proper utilisation and management of its resources and operational conduct, financial and non-financial performance, identifying and implementing appropriate systems to mitigate and manage principal risks, reviewing the adequacy and integrity of its internal controls, risks management and management information systems and ensuring that a management succession plan, a dedicated investor relation and shareholders’ communication policy are in place in meeting the Company’s goals and objectives.

The Board together with the Chief Executive Officer (“CEO”) of the Group and the respective Management team(s), where applicable, developed the Group’s corporate goals, objectives and policies and set the appropriate limits of empowerment of its respective Management/Committees’ authority, duties and responsibilities.

The Board exercises due care and diligence in discharging its fiduciary duties and responsibilities and in ensuring that high ethical standards are applied in practising and upholding good corporate governance and through compliance with the relevant rules and regulations, directives and guidelines and the adoption of the relevant principles and practices of the MCCG and the SC Guidelines on Conduct of Directors in addition to acting in the best interest of the shareholders, stakeholders and the Group, taking into account diverse perspectives and insights.

The Board has established a Board Charter which sets out the Board’s strategic intent and outlines the Board’s roles and responsibilities, including the key values, mission, principles and ethos of the Company. The Board Charter serves as a source of reference for Board members as well as primary induction literature for new Board members in respect of their duties and responsibilities and the various legislation and regulations governing their conduct with the application of principles and practices of good corporate governance in their business conduct. The Board Charter would be reviewed and updated periodically as and when the need arises. The Board Charter was approved by the Board on 26 June 2025.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board Charter clearly spells out the following principal roles and responsibilities of the Board in enhancing Board's effectiveness in the pursuit of corporate goals and objectives:

- Review, challenge and decide on the Management's strategic proposals, plans and directions of Wasco Greenenergy Group and to monitor the implementation of such proposals, plans and directions by the Management;
- Review and adopt corporate objectives of Wasco Greenenergy Group which includes performance targets and long-term and medium-term goals;
- Set appropriate values and standards for Wasco Greenenergy Group;
- Supervise and assess Management's performance in managing the businesses;
- Oversee the resources and operational conducts of the Wasco Greenenergy Group's businesses and to determine whether the businesses are being properly managed;
- Identify principal risks of the Wasco Greenenergy Group and to ensure the implementation of an appropriate and sound framework for internal control and mitigation measures;
- Succession planning for Board and Senior Management, including the implementation of appropriate systems for recruiting, training, determining the appropriate compensation benefits and where necessary replacing any member of the Board and Senior Management;
- Oversee the development and implementation of a shareholders' communication policy or investors' relation programme for the Company, to enable effective communications with its shareholders and stakeholders;
- Review the adequacy and integrity of the Wasco Greenenergy Group's financial, internal control systems and management information systems which include appropriately sound framework/systems of reporting and to ensure regulatory compliance with applicable laws, regulations, rules, directives and guidelines;
- Delegate certain responsibilities to the various Board Committees with clearly defined terms of reference to assist the Board in discharging its responsibilities;
- Promote together with the Senior Management, good corporate governance culture within the Wasco Greenenergy Group which reinforces ethical, prudent and professional behaviour;
- Take responsibility together with the Senior Management for the governance of sustainability in Wasco Greenenergy Group including setting Wasco Greenenergy's sustainability strategies, priorities and targets;
- Oversee the governance of sustainability and in setting Wasco Greenenergy Group's sustainability strategies, priorities and targets which encompasses economic, environment, social and governance aspects;
- Take into account sustainability considerations when exercising its duties such as the development and implementation of Wasco Greenenergy Group's strategies, business plans, major plans of action and risk management;
- Ensure that Wasco Greenenergy Group's sustainability strategies, priorities and targets as well as performance against these targets are communicated to its internal and external stakeholders;
- Ensure that Wasco Greenenergy Group's statutory/financial reporting and disclosures are timely to the relevant regulatory/governmental authorities, stakeholders and shareholders and the quality, accuracy and completeness of the contents thereof.

The Board Charter is available on the Company's website at www.wascogreenenergy.com.

Apart from the aforesaid principal roles and responsibilities of the Board, the Board also delegates certain responsibilities to its Board Committees with clearly defined terms of reference to assist the Board in discharging its responsibilities. While the Board Committees have their own functions and delegated roles, duties and responsibilities, they will report to the Board with their decisions and/or recommendations. Hence, the ultimate responsibility and decision on all matters lies with the Board.

As an effort to continuously observe high standards of ethical conduct, the Board has established the Directors' Code of Ethics on 26 June 2025. The Directors' Code of Ethics is available on the Company's website at www.wascogreenenergy.com.

The Directors are also guided by the SC Guidelines on Conduct of Directors in discharging their fiduciary duties towards the Company and the shareholders. The SC Guidelines on Conduct of Directors cover the Conduct Requirements for Directors, Maintaining Proper Records and Accounts and Group Governance in promoting corporate governance practices among the listed corporations in Malaysia.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board has also established the Business Ethics Principles on 26 June 2025 and updated on 12 February 2026 as guidance for the conduct of the Group's businesses and on issues pertaining to conflict of interest and related parties which may affect any members of the Board.

The Business Ethics Principles is available on the Company's website at www.wascogreenergy.com.

The Board has devoted sufficient time in carrying out their duties and responsibilities. The schedule of meetings for the calendar year comprising Board meetings and other Committee meetings is prepared and sent to the members of the Board at least four months prior to the commencement of the calendar year to notify the Board on the meetings scheduled ahead.

The Board is supported by two (2) external qualified and competent Company Secretaries, whom are the members of the Malaysian Institute of Chartered Secretaries and Administrators. Both the Company Secretaries are qualified under Section 235(2) of the Companies Act 2016. The Company Secretaries play a vital role in advising and updating the Board on corporate governance related matters and ensuring the Board adheres to the relevant statutory and regulatory requirements, as well as the Company's Constitution and the Board's policies and procedures.

All Directors have full and unrestricted access to the Company Secretaries, enabling Directors to seek guidance on various matters related to the Board's affairs and compliance whenever required. The Company Secretaries or the representatives of the Company Secretaries attended the Board and the Board Committees meetings held during the financial year ended 31 December 2025 ("FY 2025") and ensured that the meetings were properly convened. All deliberations and decisions are properly minuted and kept.

In order to contribute and discharge their duties and responsibilities to the Board effectively, the Company Secretaries keep themselves abreast of the evolving capital market environment as well as the changes and developments in relevant corporate governance and regulatory requirements by undertaking continuous professional development.

The Directors also take their own initiatives and liberty to regularly update their knowledge and enhance their skills by attending the relevant seminars and talks as listed under item 1.11 of this Statement.

The members of the Board have maintained the number of other directorships comfortable and manageable by them in respect of time and commitment.

1.2 Board Composition and Balance

During the financial year under review, the Board is led by the Non-Independent Non-Executive Chairman, Halim Bin Haji Din and the Board of Wasco Greenergy comprises of four (4) members, which include two (2) Non-Independent Non-Executive Directors, one (1) Senior Independent Non-Executive Director, and one (1) Independent Non-Executive Director.

The Board composition fulfilled Bursa Securities' MMLR to have at least two or one-third (1/3) of Independent Directors and one (1) woman Director on Board.

The composition of the Board reveals their varied background as outlined on pages 126 to 129 of this Annual Report. The Board members are equipped with the relevant skills, knowledge and expertise required for the proper oversight of the Company's affairs. The effectiveness of the individual Directors and the Board as a whole will be assessed annually by the Nomination and Remuneration Committee ("NRC").

Generally, the CEO along with the Management team are responsible for making and implementing operational decisions. The Non-Executive Directors play a key supporting role, contributing their skills, expertise and knowledge towards the formulation of the Group's strategic and corporate goals and objectives, policies and decisions. The Board collectively make decisions in the best interests of the Company.

In the event of a vacancy on the Board which resulted in non-compliance with Paragraph 15.02(3) of the MMLR, the Company will fill the vacancy within three (3) months.

1.3 Board Independence

The number of Independent Directors on the Board complies with Paragraph 15.02 of the MMLR, which states that at least two (2) Directors or one-third (1/3) of the Board, whichever is higher, are Independent Directors and in line with Practice 5.2 of the MCCG where at least half of the Board are Independent Directors. The Independent Directors fulfilled the criteria of independence as defined in the MMLR as follows:

- (i) they have fulfilled the criteria of independence as per the definition set out under Chapter 1 of the MMLR;
- (ii) they have the required skill sets, experience and expertise;
- (iii) they understand the Company's industry well and are able to contribute to the effective oversight of the Company's business activities while monitoring their independence;
- (iv) they have performed their duties diligently and provided independent judgements and balanced assessments hence ensuring effective check and balance in the proceedings of the Board and the respective Board Committees; and
- (v) they have devoted sufficient time and attention to the duties and responsibilities as Independent Non-Executive Directors of the Company.

All Independent Directors act independently of the Management and do not participate in any business dealings and are not involved in any other relationship with the Wasco Greenenergy Group that may impair their independent judgement and decision-making. Their presence provides a check and balance in discharging the Board's function and the Independent Directors' views carry significant weight in all Board deliberations and decision-making.

Assessment on the independence of the Independent Directors will be conducted annually by the Nomination and Remuneration Committee.

In compliance with Practice 5.3 of the MCCG, the tenure of an Independent Director should not exceed a cumulative term limit of nine (9) years. As Wasco Greenenergy was listed on 11 December 2025, none of the Independent Directors of the Company has exceeded a cumulative term of nine (9) years.

The Chairman of the Company and the Board is not an Independent Director. There are two (2) Independent Directors out of four (4) Board members. The Board will review and assess the Board composition and effectiveness on an annual basis. The Board believes that its current Board composition provides the appropriate balance in terms of skills, knowledge and experience in creating, protecting and enhancing the interests and value of all shareholders and stakeholders and in overseeing the conduct of businesses and to properly run the Wasco Greenenergy Group effectively.

The Board believes in recognising and retaining high performance, talented and dedicated Board members, Senior Management and workforce regardless of gender, ethnicity and age with the required merits, knowledge, experience, expertise, competencies, professionalism, integrity and ability in discharging their responsibility and capability in contributing to the Board and the organisation. Hence, the Board has established a Diversity Policy on 26 June 2025. The Diversity Policy is available on the Company's website at www.wascogreenenergy.com.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

1.4 Division of Roles and Responsibilities between the Chairman and the Chief Executive Officer of the Group

The Board is led by Encik Halim Bin Haji Din as the Non-Independent Non-Executive Chairman and Mr Lee Yee Chong as the CEO.

There is a clear separation between the Chairman's role and the CEO's role to ensure a division of responsibilities and a balance of control, power and authority.

The Chairman leads and manages the Board with a keen focus on governance and compliance. In turn, the Board monitors the functions of the Board Committees in accordance with their respective terms of reference to ensure its own effectiveness, while the CEO manages the businesses and operations of the Group and implements and develops the Board's decisions, policies and strategies.

The Chairman of the Board does not serve on the Audit Committee, Nomination and Remuneration Committee and Board Sustainability Committee to ensure check and balance as well as objective review by the Board.

1.5 Senior Independent Non-Executive Director

The Board has identified Ms Ng Ing Peng as the Senior Independent Non-Executive Director of the Board, to whom concerns relating to the Group may be conveyed by shareholders and other stakeholders.

All concerns relating to the Group can be conveyed to her via her electronic mail address at ingpeng.ng@wascogreenergy.com.

1.6 Board Meetings

The Board meetings for each financial year are scheduled before the end of the preceding financial year, to enable the Directors to plan ahead and fit the year's meetings into their own schedules. The Board meets on a scheduled basis of at least four (4) times a year and has a formal schedule of matters specifically reserved for the Board to decide in order to ensure that the direction and control of the Company firmly rests in its hands, especially in respect of strategic, financial and investment decisions. Additional or ad hoc Board meetings can be convened as and when necessary.

During the FY 2025, the Board met four (4) times and the details of the attendance of the Board members are as follows:

Director	Directorship	Total Meetings Attended
Halim Bin Haji Din	Non-Independent Non-Executive Chairman	4/4
Ramanathan A/L P.R. Singaram	Non-Independent Non-Executive Director	4/4
Ng Ing Peng	Senior Independent Non-Executive Director	4/4
Roslina Binti Abdul Rahman	Independent Non-Executive Director	4/4

To facilitate productive and meaningful deliberations, the proceedings of the Board meetings are conducted in accordance with a structured agenda with the supply of complete and timely information to enable the Board to discharge their responsibilities effectively and for them to make informed decisions. The Board reviews and deliberates on the Group's financial performance and results, business operations, budgets, reports of the various Board Committees, risks management, business plans, corporate exercises and strategic financial and investment decisions.

In the intervals between Board meetings, any matters requiring urgent Board decisions and/or approvals will be sought via circular resolutions which are supported with all the relevant information and explanations required for an informed decision to be made.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

1.7 Supply of Information

The Board is briefed in a timely manner on all major financial, operational and corporate matters. In order to maintain confidentiality, meeting papers on issues or corporate proposals which are deemed highly confidential and sensitive, would only be distributed to the Directors at the Board meeting itself.

The Board stresses on having timely reports and has full access to quality information which is not just historical or bottom line and financial oriented but information that goes beyond assessing the quantitative performance of the Group and other performance factors e.g. customer satisfaction, product and service quality, market share, market reaction, environmental protection, etc.

The Directors have access to all information within the Company whether as a full Board or in their individual capacity, in furtherance of their duties. Through regular Board meetings, the Board receives updates, written reports and supporting/discussion documents on the development and business operations of the Group, as well as on potential corporate exercises, proposals, mergers and acquisitions. Minutes of the respective Board Committees' meetings are presented at Board meetings. The respective Board Committees' Chairperson will brief the Board on major issues deliberated by each of the Board Committees.

The Board either collectively or individually is authorised to seek such independent professional advice as may be considered necessary in furtherance of their duties at the expense of the Company.

The Board shall have access to the advice and services of the Company Secretaries in the course of discharging their duties and responsibilities and in fulfilling their obligation to statutory requirements, the MMLR or other rules and regulations, either as a full Board or in their individual capacity.

1.8 Appointments to the Board

The Nomination and Remuneration Committee is responsible for assessing and making recommendations on any new appointments to the Board and its various Board Committees.

In making these recommendations, due consideration is given to the composition, objective criteria, required mix of skills, expertise, knowledge, experience, professionalism and integrity that the proposed Directors

shall bring to complement the Board. However, no person shall be appointed, re-appointed, elected or re-elected as a Director on the Board or continue to serve as a Director if the person is or becomes an active politician.

The Directors would notify the Chairman of the Board before accepting any new directorships and the expected time to be spent on the new appointment.

In accordance with the Directors' Fit and Proper Policy adopted by the Company on 26 June 2025, the Board and the Nomination and Remuneration Committee shall conduct comprehensive review and the fit and proper assessment prior to the appointment and re-appointment/re-election of Directors, Chief Executive Officers and Head of Finance of the Group, including checks on character and integrity, experience and competency as well as time and commitment.

The Directors' Fit and Proper Policy is available on the Company's website at www.wascogreenergy.com and will be reviewed by the Board periodically to ensure its relevance and effectiveness.

1.9 Re-election of Directors

The Company's Constitution provides that one-third (1/3) of the Directors for the time being, or, if their number is not three (3) or a multiple of three (3), then the number nearest to one-third, shall retire from office at the conclusion of the meeting. PROVIDED ALWAYS that all Directors shall retire from office at least once in every three (3) years but shall be eligible for re-election.

Further, any Director appointed to fill a casual vacancy or as an additional Director to the existing Directors shall hold office only until the next Annual General Meeting, and shall then be eligible for re-election but shall not be taken into account in determining the number of Directors who are to retire by rotation at that meeting.

The Nomination and Remuneration Committee has conducted a fit and proper assessment of the retiring Directors who seek for re-election at the forthcoming Annual General Meeting, namely, Encik Halim Bin Haji Din, Mr Ramanathan A/L P.R. Singaram, Ms Ng Ing Peng and Puan Roslina Binti Abdul Rahman based on the Directors' Fit and Proper Policy adopted by the Company. The assessment includes the submission of the Fit and Proper Declaration Forms by the retiring Directors to the Nomination and Remuneration Committee.

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Based on the evaluation of the individual Directors, the Nomination and Remuneration Committee was satisfied with the performance of the retiring Directors and the Board has on 12 February 2026 concurred with the Nomination and Remuneration Committee, to recommend the above retiring Directors for re-election at the forthcoming Annual General Meeting.

The shareholders have the right to vote on the election/re-election of all Directors tabled at general meetings.

1.10 Board Committees

The Board delegates specific responsibilities to the respective Board Committees of the Board, each of which has clearly defined terms of reference and its own functions, delegated roles, duties and responsibilities. The Board reviews the functions and Terms of Reference of the Board Committees from time to time to ensure that they are relevant and updated in line with the MCGG, the MMLR and other related policies and/or regulatory requirements.

The Board Committees have the authority to examine specific issues and report to the Board on the outcome of their proceedings, deliberations, findings and recommendations. The Board also reviews the minutes of the Board Committees' meetings presented at the Board meetings.

During Board meetings, the Chairman of the respective Board Committees provides summary reports of the decisions and recommendations made at the respective Board Committees' meetings, and highlight to the Board on any further deliberation and/or approval that is required at the Board level. The Board Committees shall deliberate and thereafter recommend their decisions to the Board for its approval. The relevant decisions and recommendations of the Board Committees are incorporated into the minutes of the Board meetings accordingly.

The Board has established three (3) principal Board Committees namely the Audit Committee, the Nomination and Remuneration Committee and the Board Sustainability Committee.

In addition, the Board has constituted several Management Sub-Committees, comprising the Risk Management Committee, the Integrity Committee and the Sustainability Steering Committee. The Integrity Committee and the Sustainability Steering Committee report to the Board Sustainability Committee, while the Risk Management Committee reports to the Audit Committee.

(a) Audit Committee

The composition of the Audit Committee ("AC") comprises of three (3) Non-Executive Directors, namely one (1) Senior Independent Non-Executive Director who chairs the Committee, one (1) Non-Independent Non-Executive Director and one (1) Independent Non-Executive Director. The Terms of Reference was approved by the Board on 26 June 2025 and updated on 26 November 2025. The Terms of Reference, including the duties and responsibilities of the AC is available on the Company's website at www.wascogreenergy.com. This included AC's responsibility to review the actual, potential and/or perceived conflict of interest declared by Directors and Key Senior Management to determine the conflict of interest disclosed and the measure(s) required to be taken to resolve, eliminate or mitigate the conflicts (if any) before the details of the conflict of interest are reported to the Board.

A summary of activities of the AC in the discharge of its functions and duties for the FY 2025 are set out separately in the AC Report as laid out on pages 149 to 151 of this Annual Report.

(b) Nomination and Remuneration Committee

The Nomination and Remuneration Committee ("NRC") comprises of three (3) Non-Executive Directors, namely one (1) Senior Independent Non-Executive Director who chairs the Committee, one (1) Non-Independent Non-Executive Director, one (1) Independent Non-Executive Director. The activities of the NRC in the discharge of its duties for the FY 2025 are set out on pages 152 to 155 of this Annual Report.

The NRC oversees the appointment of Directors and succession planning and development of a diverse pipeline for Board and Management succession. The NRC also assesses the Board and Board Committees' effectiveness and the contribution of each individual Director independently in the discharge of their duties and responsibilities by conducting annual assessment of the Board's effectiveness as a whole, the Board Committees and the contribution of each individual Director using a set of customised assessment questionnaires to be completed by the Directors. A Peer Evaluation is also conducted for Directors to evaluate the proficiency and performance of fellow members of the Board during the period under review.

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The results of the assessment are compiled and tabled to the Board for review and deliberation. The NRC sets the policies and procedures to determine the remuneration packages of the Directors and Senior Management to ensure that they are sufficient to attract and retain them to run the Company successfully and to drive the Company's long-term objectives. The remuneration packages will then be recommended to the Board for discussion and approval. The individuals concerned will abstain from discussion involving their own remuneration.

The Terms of Reference including the roles and responsibilities of the NRC was approved by the Board on 26 June 2025 and is available on the Company's website at www.wascogreenergy.com.

(c) Board Sustainability Committee

The Board Sustainability Committee ("BSC") comprises of three (3) Non-Executive Directors, majority of whom are independent. The Chairperson of the BSC is an Independent Director. The activities of the BSC in the discharge of its duties for the FY 2025 are set out on pages 156 to 159 of this Annual Report.

The BSC assists the Board in fulfilling its corporate governance and oversight responsibilities in relation to the relevant acts, laws, requirements, codes, regulations and policies governing the Company. The BSC oversees the development and implementation of the Wasco Greenergy Group's sustainability-related framework, anti-bribery and corruption compliance, anti-money laundering compliance and all other relevant compliances and their related policies and frameworks.

The BSC reports and updates the Board on matters and findings by the BSC and makes the necessary recommendations to the Board within its Terms of Reference or as authorised by the Board.

The Terms of Reference including the duties and responsibilities of the BSC was approved by the Board on 26 June 2025 and updated on 26 November 2025, and is available on the Company's website at www.wascogreenergy.com.

(d) Risk Management Committee

The Risk Management Committee ("RMC") comprises of the CEO, Head of Finance of the Group, Chief Operating Officer of Wasco Thermal Sdn. Bhd. and Chief Operating Officer of Wasco AgroTech Sdn. Bhd. The RMC will meet at least once quarterly to discuss, assess, manage and mitigate risks associated with the respective business units and divisions and the Wasco Greenergy Group as

a whole. The summarised Risk Registers, compiled and confirmed by the respective Heads of the business units/divisions, form the basis for identifying and monitoring the key risks of the Group.

The RMC provides oversight of the Wasco Greenergy Group's internal control processes to ensure that management is effectively and efficiently managing all significant business risks in accordance with the Wasco Greenergy Group's risk management policy.

The Terms of Reference of the RMC was approved by the Board on 26 June 2025 and updated on 26 November 2025.

Potential new investments or divestments will be tabled to the RMC for comprehensive risks assessment review and deliberation on the risks associated with the proposed investment before the said proposed investment will be tabled to the AC for review and evaluation before tabling to the Board for approval.

The AC will consider and evaluate the feasibility of the investment related proposals by taking into account the comprehensive feasibility study, due diligence reports, valuation reports and/or other relevant reports in accordance with the standard operating procedures. With the threshold limits of the value of the investment related proposals being established to determine the relevant approvals required.

(e) Integrity Committee

The Integrity Committee ("IC") comprises of members from the Senior Management of the Wasco Greenergy Group. The IC oversees the areas of anti-corruption and corporate liability for corruption pursuant to Section 17A of the Malaysian Anti-Corruption Commission Act 2009 ("MACC Act") as well as matters pertaining to anti-money laundering pursuant to the Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 ("AMLA"), and in ensuring that adequate and appropriate policies and procedures are in place and the Company's approach to anti-bribery and anti-corruption as well as the anti-money laundering is in compliance.

The Terms of Reference of the IC was approved by the BSC on 26 November 2025.

The IC will meet at least once every quarter to review the adequacy of the anti-bribery and anti-corruption compliance under Section 17A of the MACC Act by the Wasco Greenergy Group and where necessary, matters

CORPORATE GOVERNANCE OVERVIEW STATEMENT

pertaining to AMLA, and to deliberate and manage any complaints and allegations of bribery and act of corruption reported to the Committee. The proceedings of each meeting shall be minuted and a copy of the minutes will be circulated to the BSC/Board for their attention.

The Chairman of the IC shall update and report formally to the BSC/Board and make any necessary recommendations to the BSC/Board during the quarterly BSC/Board meetings or as and when the need arises.

The IC has oversight of policy making, review and improvisation of the Company's Anti-Bribery Management Systems ("ABMS"), Anti-Bribery and Corruption Framework ("ABCF") the twenty-four (24) anti-bribery controls and implementation plan and its practices for compliance.

(f) Sustainability Steering Committee

The Sustainability Steering Committee ("SSC") is spearheaded by the CEO and has been carrying out various initiatives on environment and climate change activities and projects. The SSC is designated to support and assist the Board in the oversight of the responsibilities towards the Wasco Greenergy Group's ongoing commitments and initiatives on its sustainability which encompasses the economics, environment, social and governance aspects to be in line with the Wasco Greenergy Group's vision, mission and values.

The Terms of Reference of the SSC was approved by the BSC on 26 November 2025.

The SSC plays an important role in developing the Company's sustainability strategies, plans, approach and integrating sustainability consideration in the day-to-day operations of the Wasco Greenergy Group and to drive, implement and monitor the effective implementation of the Wasco Greenergy Group's sustainability strategies, opportunities and plans.

The SSC will meet at least once every quarter for the development, execution, oversight, monitoring and assessment of the Wasco Greenergy Group's sustainability strategies, priorities, goals, targets, performances, adequacies and related systems, framework, charter and policies. The Chairman of the SSC shall report the necessary updates to the BSC/Board accordingly.

The SSC is responsible to ensure timely and efficient communication and reporting of its sustainability reports, sustainability related statements and disclosures to the relevant regulatory/government authorities, stakeholders and shareholders as well as ensuring the quality, accuracy and completeness of the contents thereof.

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1.11 Directors' Training Officer

The Directors attend continuing trainings and education programmes from time to time to equip and keep themselves abreast of the latest developments in order to discharge their duties and responsibilities more effectively.

During the financial year under review, the Directors have participated in various talks, seminars and forums which they have individually or collectively considered as relevant and useful in contributing to the effective discharge of their duties as Directors.

The list of trainings/courses attended by the Directors for the financial year under review is as set out as follows:

Directors	Date of Course/Name of Organiser	Title of Training/Courses Attended
Halim Bin Haji Din	25 June 2025 and 26 June 2025 Institute of Corporate Directors Malaysia	Mandatory Accreditation Programme Part II: Leading for Impact (LIP)
	10 September 2025 Wasco Berhad	Wasco's Anti-Bribery and Corruption 2025
	26 February 2025 and 27 February 2025 Institute of Corporate Directors Malaysia	Mandatory Accreditation Programme (MAP)
Ramanathan A/L P.R. Singaram	19 August 2025 and 20 August 2025 Institute of Corporate Directors Malaysia	Mandatory Accreditation Programme Part II: Leading for Impact (LIP)
	16 April 2025 PricewaterhouseCoopers Taxation Services Sdn Bhd	Tax Corporate Governance Leadership Forum
	6 May 2025 PricewaterhouseCoopers Taxation Services Sdn Bhd	Stamp Duty- Self Assessment System Awareness Session
	7 Jan 2025 Polar Advisory Group	National Sustainability Reporting Framework, IFRS S1 and IFRS S2
Ng Ing Peng	7 Jan 2025 Nova Fusion Sdn Bhd	Integrated Reporting Awareness and Gap Analysis
	27 February 2025 Centegy Governance Advisory Sdn. Bhd.	Business Continuity Management Training Services and Business Continuity Management Call Tree Implementation Guidelines and Approach
	25 April 2025 HSBC Amanah Malaysia Berhad	Technology Briefing
	5 May 2025 Mr D.I.Y. Group (M) Berhad	Update and recent developments on Anti-Bribery and Corruption Laws
	28 May 2025 HSBC Amanah Malaysia Berhad	Climate Risk Stress Testing Results
	9 June 2025 HSBC Amanah Malaysia Berhad	Recovery Plan Walkthrough
	9 June 2025 HSBC Amanah Malaysia Berhad/Deloitte	E-Invoicing and Service Tax Impact on NEDs
	18 June 2025 and 19 June 2025 Bank Negara Malaysia	Sasana Symposium 2025
	27 July 2025 Minority Shareholders Watch Group	ASEAN Corporate Governance Conference
	23 September 2025 Joint Committee on Climate Change	Navigating the Next Environmental Challenge – Understanding and Managing Nature-Related
	9 October 2025 HSBC Amanah Malaysia Berhad	Overview of Model Risk

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Directors	Date of Course/Name of Organiser	Title of Training/Courses Attended
Ng Ing Peng (cont'd)	13 October 2025 to 15 October 2025 Association of Islamic Banking and Financial Institutions Malaysia	Global Islamic Financial Forum 2025
	25 November 2025 HSBC Amanah Malaysia Berhad / Islamic Banking and Finance Institute Malaysia Sdn Bhd	MLC Position Paper – Establishing Islah through Islamic Finance
Roslina Binti Abdul Rahman	27 October 2025 and 28 October 2025 Institute of Corporate Directors Malaysia	Mandatory Accreditation Programme (MAP)
	19 March 2025 DWS Investments Hong Kong Ltd	DWS APAC 40th Jubilee x APAC Economic Forum, Hong Kong - Attendee & Speaker
	21 October 2025 PNB Research Institute Sdn. Bhd.	PKF Conference 2025 – Transformation
	6 October 2025 and 7 October 2025 Khazanah Nasional Berhad	Khazanah Megatrends Forum 2025
	8 May 2025 30% Club Malaysia	Power, Progress, Possibility - Redefining Leadership Together
	29 July 2025 Wasco Berhad	Wasco Sustainability Day 2025 - Building a Responsibility Value Chain Together
	9 Jan 2025 Ministry of Economy	Forum Ekonomi Malaysia 2025: Accelerating Growth, Advancing Malaysia

2. DIRECTORS' REMUNERATION

The Board comprises solely of Non-Executive Directors and they are paid fees based on their experience and level of responsibilities.

The Nomination and Remuneration Committee is responsible for reviewing and recommending to the Board all forms of the Directors' remuneration. The individual Director must abstain from deliberations and voting on decisions pertaining to their own individual remuneration.

The details of the remuneration of the Directors of the Company (including the remuneration for services rendered to the Company as a Group) received or receivable from the Company during the FY 2025 are as follows:

	Directors' Fees RM'000	Allowance RM'000	Salary and Other Emolument RM'000	Benefits In-kind	
				Leave Passage RM'000	Others [#] RM'000
Halim Bin Haji Din	64	8	-	-	-
Ramanathan A/L P.R. Singaram	70	18	-	-	-
Ng Ing Peng	79	18	-	-	-
Roslina Binti Abdul Rahman	73	18	-	-	-
Lee Yee Chong*	-	-	396	-	8
Total	286	62	396	-	8

* Resigned as Executive Director with effect from 18 June 2025.

[#] Others under benefit in-kind include petrol, long service award, etc.

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3. TOP THREE KEY SENIOR MANAGEMENT'S REMUNERATION

Pursuant to Practice 8.2 of the MCCG, the top three Key Senior Management's total remuneration inclusive of salary, bonus, benefits-in-kind and other emoluments in the bands of RM50,000 are disclosed as follows:

	Total
RM650,000 to RM700,000	2
RM1,300,000 to RM1,350,000	1
	3

For purposes of security and to avoid poaching by other organisations, the names of the top three Key Senior Management are withheld and the detailed remuneration of each of the individuals are not presented because the Board is of the opinion that such information will not add significant value and understanding towards the evaluation of the Company's standard of Corporate Governance.

4. SHAREHOLDERS AND INVESTORS**4.1 Effective Communications Policy**

The Board maintains an effective communications policy that enables the Board to communicate effectively with its shareholders, stakeholders and the public in general.

As part of the Wasco Greenery Group's commitment towards having an effective investor relations and shareholders' communication policy, the following have been established:

- a) an interactive and dedicated website for the Wasco Greenery Group which can be accessed by the public at www.wascogreenenergy.com.
- b) the Company's Corporate Communication & Branding Department attends to the Group's communication needs and whenever required, the services of an external public relations firm will be engaged to facilitate and promote greater public awareness of the Group's products and services aside from fostering and maintaining closer relations with the press and other members of the media.
- c) the Annual General Meeting provides an additional forum for shareholders' interaction and feedback with the Company.
- d) Media and Analyst Briefings are held by the Company to explain any major corporate exercises and/or to discuss the financial performance of the Wasco Greenery Group from time to time.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

4.2 Dialogue between the Company and Investors

The Board values feedback and dialogues with its investors. The Company will hold open discussions with investors upon written request. Analyst briefings are periodically held to introduce and update the investors on the Company's or the Group's undertakings and financial performance from time to time.

In this respect, the Board and the Company shall ensure that any information sought is disseminated in strict adherence to the disclosure requirements under the MMLR.

The Company's website at www.wascogreenergy.com contains vital information concerning the Group. All investors are encouraged to visit the Company's website to get the latest happenings and detailed information of the Group and all the announcements released to Bursa Securities.

4.3 Annual General Meeting

The Annual General Meeting ("AGM") is the other platform for the Company's shareholders to meet and exchange views with the Board.

As part of the Group's commitment to environmental sustainability and cost cutting initiatives, the Company has leveraged technology to enhance efficiency. The Company will upload its Annual Report to its website at www.wascogreenergy.com.

The Board ensures that all the required tools and equipment as well as the infrastructure are available to facilitate the conduct of any general meetings of the Company either to be held virtually or hybrid, in order to support among others, a smooth broadcasting and a meaningful engagement between the Board, Senior Management and the shareholders.

An open Question and Answer Session will be available whereby any shareholder may seek further details and clarification regarding any proposed resolutions tabled at the general meeting as well as matters relating to the Group's businesses and affairs.

The Company will provide a notice period of at least twenty-eight (28) days for the convening of its annual general meetings.

The Chairman and the other members of the Board together with the Senior Management and the Company's External Auditors will be present to provide explanations to all shareholders' queries.

Pursuant to Paragraph 8.29A(1) of the MMLR, any resolution set out in the notice of any general meeting, or in any notice of resolution which may properly be moved and is intended to be moved at any general meeting, is required to be voted by poll.

At least one (1) scrutineer will be appointed to validate the votes cast at the general meeting. Such scrutineer must be independent of the person undertaking the polling process.

A summary of the key matters discussed at the AGM as well as the minutes of the AGM will be published on the Company's website as soon as practicable after the conclusion of the AGM.

5. ACCOUNTABILITY AND AUDIT**5.1 Financial Reporting**

The Board aims to provide and present a balanced and meaningful assessment of the Wasco Greenergy Group's financial position, performance and prospects at the end of the financial year primarily through the audited financial statements, annual report as well as the quarterly results to shareholders.

The Board is responsible for ensuring that the financial statements prepared are drawn up in accordance with the provisions of the Companies Act 2016 and applicable approved accounting standards in Malaysia. In presenting the financial statements, the Company has used appropriate accounting policies, consistently applied and supported by reasonable and prudent judgements and estimates. The Board assisted by the AC, oversees the financial reporting processes and the quality of the financial reporting by the Wasco Greenergy Group. The AC scrutinises information prior to their disclosure to ensure their timeliness, accuracy and adequacy. The quarterly financial results and audited financial statements are reviewed by the AC and approved by the Board before they are released to Bursa Securities.

The Statement of Directors' Responsibility in respect of the audited financial statements of the Company and the Group is set out on page 168 of this Annual Report.

5.2 Internal Control

The Board has overall responsibility for maintaining a sound system of internal control, which encompasses risk management, financial, organisational, operational, integrity and compliance controls necessary for the Wasco Greenergy Group to achieve its objectives within an acceptable risk profile.

These controls can only provide reasonable but not absolute assurance against material misstatement, errors of judgment, loss or fraud.

Information on the Wasco Greenergy Group's Internal Control is as set out in the Statement on Risk Management and Internal Control on page 163 to 167 of this Annual Report.

5.3 Whistle Blowing Policy

The Company has disseminated its Whistle Blowing Policy whereby an employee or stakeholder can report or disclose in good faith, through the established channel, genuine concerns about unethical behaviour, malpractice, illegal act or failure to comply with regulatory requirements.

The Board will ensure that the Whistle Blowing Policy is reviewed periodically, at least once every three (3) years, to assess its effectiveness and to ensure its relevance. The Whistle Blowing Policy was adopted by the Board on 26 June 2025.

The procedures of the Whistle Blowing Policy, in raising such genuine concerns to the established channels are available on the Company's website at www.wascogreenergy.com.

5.4 Conflict of Interest Policy

The Conflict of Interest Policy was established and approved by the Board on 26 June 2025 in line with Bursa Securities' focus on enhancing the MMLR to address issues associated with conflict of interest involving Directors and Key Senior Management of the Wasco Greenergy Group.

The objective of the policy is to ensure that actual, potential and perceived conflicts of interest are identified and managed effectively as it provides guidance on how to deal with conflict of interest situations as they arise and to protect the Wasco Greenergy Group's interest, while assisting the Directors and employees to perform with high integrity and ethical standards.

The policy applies to all Directors and employees of the Wasco Greenergy Group (including employees on contract terms, temporary staff and those on internship). The policy applies when an individual recognises, or should reasonably recognise, that a conflict of interest may arise from their current or future activities. The policy guides the individual on how to identify and declare all conflict of interest, guides the Wasco Greenergy Group on how to develop, implement and monitor actions to

appropriately manage the conflict, and how to deal with breaches of the policy. The scope of the policy is relatively wide in coverage of the activities that may give rise to conflicts of interest.

The Conflict of Interest Policy is available on the Company's website at www.wascogreenergy.com.

5.5 Business Ethics Principles

The Board is committed to achieving and maintaining high ethical standards with regards to behaviour at work and hence the Business Ethics Principles is established. The Business Ethics Principles of the Wasco Greenergy Group is a formal document which sets out the guiding principles and standards in which the employees and Directors shall adhere to in conducting the day-to-day duties and operations.

The Business Ethics Principles was adopted by the Board on 26 June 2025. The Business Ethics Principles is available on the Company's website at www.wascogreenergy.com.

5.6 Group Human Rights Policy

Group Human Rights Policy was established on 12 February 2026. The policy demonstrates the Board's dedication to uphold human rights and serves as a guide for all employees, partners and stakeholders connected with the Wasco Greenergy Group to promote a work environment that respects and protects human rights in all aspects of its operations.

The Group Human Rights Policy is available on the Company's website at www.wascogreenergy.com.

5.7 Relationship with Auditors

The Board has established a formal and transparent relationship with the External Auditors appointed by the Company and its subsidiaries within its fold.

The External Auditors are invited to attend the AC Meetings where the Wasco Greenergy Group's annual financial results are considered, to review and discuss the Wasco Greenergy Group's audit findings, internal controls and accounting policies and as and when the need arises.

The AC obtains written confirmation from the External Auditors on their independence throughout their terms of engagement for the financial year in compliance with the requirements of the relevant professional and regulatory bodies and/or authorities.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The AC also reviews the External Auditors' audit plan and scope of work for each of the financial years and the External Auditors' audit review on the financial statements for each of the financial years together with their audit report.

The Annual Assessment Form for External Auditors is established to assess the annual performance of the External Auditors by the AC. During the financial year under review, the AC had reviewed the independence of the External Auditors by taking into consideration among other factors, the professionalism, openness in communication and interaction with the External Auditors through private discussions which had demonstrated their independence.

The AC also assessed the suitability, objectivity and independence of the External Auditors by taking into consideration among other factors, the following:

- size, sufficiency of the allocated resources and geographical coverage of the external audits being conducted;
- calibre, competency, requisite skills and expertise, including industry knowledge of the audit team to effectively audit the Company and the Group that meet the requirements;
- adequacy of audit scope and plan to address the accounting risks, audit risk and financial reporting risks faced by the Company and the Group;
- quality and effectiveness of the audit services provided by the External Auditors;
- the External Auditors met their performance targets as expected of them; and
- the information presented in the External Auditors' Annual Transparency Report.

Based on the results of the Annual Assessment of External Auditors carried out during the financial year under review, the AC was satisfied with the independence and suitability of the External Auditors and hence had recommended the re-appointment of the External Auditors for the Board's consideration.

The Board, upon the recommendation of the AC, concurred on the suitability and independence of the External Auditors and had therefore agreed to table the resolution for the re-appointment of the External Auditors to the shareholders at the forthcoming Annual General Meeting for their approval.

Further information on the role of the AC with the External Auditors is stated in the AC Report on pages 149 to 151 of this Annual Report.

5.8 Internal Audit Function

Prior to the listing of the Company on the Main Market of Bursa Securities, internal audit activities were performed by the internal audit function of the holding company, Wasco Berhad. Following the listing, the Wasco Greenery Group engaged an external firm, Axcelasia Sdn. Bhd. ("ASB") to provide independent internal audit services.

ASB's primary responsibility is to deliver their independent and objective assurance to support the Wasco Greenery Group in achieving its objectives, through a systematic and disciplined approach that evaluates and strengthens the effectiveness of risk management, internal controls, and governance. The firm previously assisted in the due diligence process for the Company's initial public offering and will be extending its scope of engagement to undertake the Wasco Greenery Group's internal audit function for the financial years 2026 and 2027.

The assessment of the Wasco Greenery Group's internal control and risk management systems was conducted in accordance with the engagement scopes approved by the Board, ensuring a structured and rigorous review aligned with the Wasco Greenery Group's governance and risk management objectives.

The Board ensures that the WGB Group has an effective governance, risk management and internal control framework.

For more information pertaining to the internal audit activities, please refer to the AC Report on pages 149 to 151 of this Annual Report.

6. CORPORATE RESPONSIBILITY

Throughout 2025, the Wasco Greenery Group has undertaken various initiatives to create a positive and momentous impact on the lives of others, within the community and the environment in which it operates, as set out in the Sustainability Statement on pages 108 to 110 of this Annual Report.

7. SUSTAINABILITY

The Company has come a long way since its inception, evolving into the Group it is today. Through resilience and fortitude, the Group has strengthened its position over time, overcoming challenges and reaching greater heights. Today, the Group is a leading player in its core businesses, delivering sustained growth across the global landscape.

The Wasco Greenery Group develops, implements and maintains sound management systems for sustainable development and growth that drive continuous improvement for the Wasco Greenery Group. While maintaining sustainable growth, the Wasco Greenery Group is committed to create an open, diverse, friendly and safe workplace which is part of the Wasco Greenery Group's core values. Besides, the Wasco Greenery Group places utmost priority and is fully committed to its Health, Safety and Environment Policy and objectives with the aim of ensuring health and safety of our people as well as protection of the environment that the Wasco Greenery Group operates in by promoting and improving the health and welfare of the workforce, maintaining an accident-free work environment, eliminating occupational injuries, preventing pollutions by reducing carbon footprint, preventing wastages by promoting the efficient use of resources, recycling initiatives, optimising the use of natural resources and conserving energy.

The Wasco Greenery Group is dedicated to support the local communities within which it operates and through its corporate responsibility programmes, the Company will continue to implement initiatives to contribute back to the society and local communities.

The Company is committed to its shareholders and stakeholders in respect of its short-term and long-term initiatives to integrate the economic, environmental, social and governance elements into the Wasco Greenery Group's business strategies and considerations. The Sustainability Policy was established on 12 February 2026 and is made available on the Company's website at www.wascogreenery.com.

The Sustainability Statement is as set out on pages 49 to 125 of this Annual Report.

8. CORPORATE DISCLOSURE POLICIES AND PROCEDURES

The Board has established a Corporate Disclosure Policies and Procedures aiming at effectively handling and disseminating the corporate information timely and accurately to its shareholders, stakeholders, potential investors and the public in general as required by Bursa Securities.

The Corporate Disclosure Policies and Procedures are available on the Company's website at www.wascogreenery.com.

9. GOVERNANCE MODEL DOCUMENT

The Governance Model Document is established and approved by the Board on 26 June 2025 as part of the Wasco Greenery Group wide framework for co-operation and communication between the Company and its subsidiaries, in compliance with the Wasco Greenery Group Governance under Chapter 5 of the SC Guidelines on Conduct of Directors.

The Governance Model Document is available on the Company's website at www.wascogreenery.com.

10. ANTI-CORRUPTION MEASURES

The Company published the ABC Policy on the Company's website in compliance with the MMLR which took effect from 26 June 2025. The Wasco Greenery Group's ABMS Manual and its twenty-four (24) SOPs were established on 11 December 2025 align with SIRIM ISO 37001:2016 and Section 17A of the MACC Act. The ABMS Manual together with its 24 SOPs serve to provide guidance to the Directors, employees and business associates of the Wasco Greenery Group about the Group's core values, principles and expectations, as well as the policies and procedures pertaining to the prevention and handling of bribery and corruption matters.

The ABMS Manual together with the 24 SOPs serve as a comprehensive preventive tool and guidance to assist the Directors, employees and business associates of the Wasco Greenery Group in recognising, preventing and detecting potential corrupt practices.

The Board is committed to ensuring that the policies and procedures on anti-bribery and corruption are reviewed periodically, at least once every three (3) years to assess their effectiveness in addressing and mitigating corruption risks.

CORPORATE GOVERNANCE OVERVIEW STATEMENT

The Board is assisted by the BSC and its Sub-Committee, namely the IC, in the oversight of policy-making, implementation of an effective regulatory framework, practices and procedures to ensure that the approach of the Wasco Greenergy Group on anti-bribery and anti-corruption is in compliance with Section 17A of the MACC Act while the Integrity Officer captures such risks in the risk register and in the quarterly risk assessment of the Wasco Greenergy Group for the review by the RMC.

The Wasco Greenergy Group is also committed to combat money laundering and terrorism financing within the Wasco Greenergy Group and will remain vigilant in mitigating and preventing the risk of money laundering and terrorism financing in its business operations. The Board has established the Anti-Money Laundering Policy on 26 June 2025 and its available on the Company's website at www.wascogreenergy.com.

11. CORPORATE GOVERNANCE REPORT

Please refer to the Company's Corporate Governance Report 2025 on the extent of the Company and its Group's application and compliance with the MCCG and the relevant explanations for the deviations, which is available on the Company's website at www.wascogreenergy.com.

The Corporate Governance Overview Statement and the Corporate Governance Report are duly approved by the Board on 10 April 2026.

AUDIT COMMITTEE REPORT

The Audit Committee of the Company was established on 26 June 2025 to assist the Board of Directors of the Company ("the Board") in fulfilling its statutory and fiduciary responsibilities relating to the financial reporting process, risk management and internal controls of the Company and its subsidiaries ("the Group").

1. ROLE OF THE AUDIT COMMITTEE

The primary function of the Audit Committee ("AC") is to assist the Board in fulfilling the following oversight objectives on the Group's activities:

- assess the Group's processes relating to its risks and control environment;
- oversee financial reporting;
- review the internal and external audit reports;
- assess the suitability, objectivity and independence of the External Auditors; and
- review any related party transaction and conflict of interest situation that arise, persist or may arise within the Company and the Group, including any transaction, procedure or course of conduct that raises question on Management integrity, and the measures taken to resolve, eliminate or mitigate such conflicts.

The Terms of Reference ("TOR"), including the duties and responsibilities of the AC are available on the Company's website at www.wascogreenergy.com.

The TOR was approved by the Board on 26 June 2025 and updated on 26 November 2025.

2. MEMBERS AND MEETINGS

The AC shall meet at least four (4) times annually, with due notice of issues to be discussed and its conclusions duly recorded in the minutes by the Company Secretary who is the Secretary of the AC in discharging of its duties and responsibilities. However, as the Company was listed on the Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 11 December 2025, there were only two (2) AC meetings held during the financial year under review. Additional meetings may be held at the request of the members of the AC if required.

The Chairman of the Board does not participate by way of invitation in the AC meetings. Nonetheless, the Chairman and the AC members have free and direct access to consult, communicate and enquire with any Senior Management of the Group as well as the External Auditors at any time. The Chief Executive Officer and the Head of Finance attend such AC meetings and any other person(s) may be invited by the AC and/or the AC Chairperson from time to time. The AC will meet the External and Internal Auditors at least once annually without the presence of the Management or employees.

The members and details of attendance of Directors at the AC meetings of the Company for the financial year ended 31 December 2025 ("FY 2025") are as follows:

Name of Director	Directorship	No. of AC Meetings Attended
Ng Ing Peng (Chairperson)	Senior Independent Non-Executive Director	2/2
Ramanathan A/L P.R. Singaram (Member)	Non-Independent Non-Executive Director	2/2
Roslina Binti Abdul Rahman (Member)	Independent Non-Executive Director	2/2

AUDIT COMMITTEE REPORT

3. SUMMARY OF ACTIVITIES

During the financial year under review and up to the date of approval of this statement, the following activities were carried out by the AC in line with the TOR:

3.1 Financial Reporting

In overseeing the Group's financial reporting, the AC reviewed the quarterly reports and annual audited financial statements of the Group before submission to the Board for consideration and approval.

- a. On 10 September 2025, reviewed the interim audited reports for the financial period ended 30 June 2025.
- b. On 19 November 2025 and 11 February 2026, reviewed the quarterly financial reports for the third and fourth quarters of 2025 prepared in compliance with the Malaysian Financial Reporting Standard 134 Interim Financial Reporting and Paragraph 9.22, including the Appendix 9B of the Main Market Listing Requirements of Bursa Securities ("MMLR").
- c. On 11 February 2026, the AC reviewed the key findings by the External Auditors, PricewaterhouseCoopers PLT ("PwC"), in respect of the FY 2025. On 3 April 2026 the AC reviewed the Audit Committee Report as presented by PwC on accounting estimates, significant judgements and internal control matters in respect of the audit for the FY 2025 together with the Audited Financial Statements of the Company and the Group for the FY 2025.

3.2 Annual Report and Share Buy-Back Statement

- a. To ensure compliance with Bursa Securities' MMLR, the AC reviewed the statements in the Company's Annual Report 2025, in particular the Statement on Risk Management and Internal Control and Audit Committee Report on 3 April 2026 and recommended to the Board for their approval prior to the release of the Annual Report 2025.
- b. On 3 April 2026, the AC reviewed the Company's Share Buy-Back Statement for the authority to buy back its own shares, before recommending to the Board for their approval for tabling to the Company's shareholders at the Company's Annual General Meeting ("AGM") scheduled to be held on 15 May 2026.

3.3 External Auditors

- a. On 26 August 2025, the AC reviewed the Audit Plan prepared by the External Auditors, PwC for the FY 2025 outlining the detailed terms and responsibilities of PwC and PwC's affirmation of their independence as External Auditors, areas of audit emphasis identified in response to changes within the Group's business and the reporting requirements during the financial year, PwC's commitment to deliver an efficient and effective audit while keeping pace with the changes in the Group and PwC's intended working arrangement with the team from the Group.
- b. On 19 November 2025, the AC reviewed the Interim Audit Committee Report presented by PwC for the FY 2025 which covered the scope of interim audit involving the tests of controls over Management's processes surrounding revenue and receivables, purchases and payables, treasury, payroll and inventory cycles and test of details performed on certain subsidiaries within the Group.
- c. On 19 November 2025, the AC reviewed the list of approved Non-Assurance Services provided by PwC in respect of the FY 2025.
- d. On 11 February 2026, the AC reviewed the Audit Committee Report presented by PwC and discussed the key findings highlighted by PwC in respect of the accounting estimates, significant judgements and internal control matters of the Group for the FY 2025.
- e. On 11 February 2026, the AC also reviewed the annual assessment of the performance of PwC in respect of the FY 2025 based on the following areas:

- Calibre of External Auditors;
- Quality processes/performance;
- Audit team;
- Independence and objectivity;
- Audit scope and planning;
- Audit fees; and
- Audit communications.

Being satisfied with their performance, technical competency and audit independence, the AC recommended the re-appointment of PwC as the External Auditors of the Company and the Group for the financial year ending 31 December 2026 to the Board for approval. The Board would table the same to the Company's shareholders for their approval at the AGM of the Company scheduled to be held on 15 May 2026.

- f. The AC had obtained the confirmation from PwC confirming their independence and that they were not aware of any non-audit services that had compromised their independence as External Auditors of the Group throughout their terms of engagement for the financial year under review.

3.4 Internal Audit Function

On 11 February 2026, the AC assessed the suitability of the new independent internal audit service providers and agreed with the Management's recommendation to appoint Axcelasia Sdn. Bhd. as the Internal Auditors of the Group for the financial years 2026 and 2027.

3.5 Recurrent Related Party Transactions

On 11 February 2026, the AC reviewed the recurrent related party transactions to ensure that they were conducted on arm's length terms and on normal commercial terms.

3.6 Company's Share Buy-Back

The AC reviewed and recommended the proposed authority to buy-back its own shares by the Company on 3 April 2026 to the Board for approval.

3.7 Capital Expenditure

On 26 August 2025, 19 November 2025 and 11 February 2026, the AC reviewed the capital expenditure incurred as at 30 June 2025, 30 September 2025 and 31 December 2025 respectively as presented by the Management.

3.8 Conflict of Interest

- The Conflict of Interest Policy was established on 26 June 2025 to ensure that actual, potential and perceived conflict of interest ("COI") are identified and managed effectively, as it provides guidance on how to deal with COI situations as they arise and to protect the Group's interest, while assisting the Directors and employees to perform with high integrity and ethical standards. A COI Declaration Form is circulated annually to all Directors and Key Senior Management for them to disclose and declare their nature and extent of COI (if any) based on actual, potential and perceived COI. The AC will determine the measures required to be taken on the COI disclosed in order to resolve, eliminate or mitigate the conflicts (if any) before the details of the COI are reported to the Board.

The summary of the COI situation reviewed by the AC pursuant to Paragraph 15.12(1)(h) of the MMLR during the period under review, and the measures taken to resolve, eliminate, or mitigate such conflicts are set out below:

- Mr Ramanathan A/L P.R. Singaram, the Non-Independent Non-Executive Director of the Company, is also the Chief Financial Officer of Wasco Berhad, the holding company of the Company. The AC noted that Mr Ramanathan A/L P.R. Singaram is a nominee director of Wasco Berhad, and is expected to discharge his duties in the best interests of the Company while taking into consideration the interests of the holding company.

Saved as disclosed above, none of the other Directors and Key Senior Management members have any COI as declared in the COI forms. The Directors and Key Senior Management would inform the Company immediately should their circumstances change in any way that affects their earlier COI declaration. The COI Policy will be reviewed and updated from time to time to ensure that it is relevant and in line with the requirements of all relevant acts, rules and guidelines currently in force. The COI Policy is available on the Company's website at www.wascogreenergy.com.

RISK MANAGEMENT AND INTERNAL CONTROL

Reviewed and deliberated on all risks identified across the Group at the quarterly meetings, with particular focus on key and significant risks to ensure alignment with the Group's risk profile and appetite.

INTERNAL AUDIT FUNCTION

Prior to the listing of the Company on the Main Market of Bursa Securities, internal audit activities were performed by the internal audit function of the holding company, Wasco Berhad. Following the listing, the Group engaged an external firm, Axcelasia Sdn. Bhd. ("ASB") to provide independent internal audit services.

ASB's primary responsibility is to deliver their independent and objective assurance to support the Group in achieving its objectives, through a systematic and disciplined approach that evaluates and strengthens the effectiveness of risk management, internal controls, and governance. The ASB previously assisted in the due diligence process for the Company's initial public offering and will be extending its scope of engagement to undertake the Group's internal audit function for the financial years 2026 and 2027.

The assessment of the Group's internal control and risk management systems will be conducted in accordance with the engagement scopes approved by the AC, ensuring a structured and rigorous review aligned with the Group's governance and risk management objectives.

The scope included organisational governance, financial management, strategic management, corporate liability, including the anti-bribery management system, business development, sales and marketing, human resource management, facilities and fixed assets management, foreign worker management, information technology general controls, health, safety and environment, supply chain management, covering warehousing and logistics, as well as procurement of goods, services, and contract management, production and fabrication, quality assurance and quality control, and estimation and design engineering.

NOMINATION AND REMUNERATION COMMITTEE

1. ROLES OF THE NOMINATION AND REMUNERATION COMMITTEE

The Nomination and Remuneration of the Company ("NRC") was established on 26 June 2025 to assist the Board of Directors of the Company ("the Board") in setting the policy framework for assessing and making recommendations on any new appointments to the Board, its various Board Committees and Senior Management taking into consideration inter alia the following:

- Appropriate skills, knowledge, expertise, experience, professionalism, integrity and independence;
- A diverse Board composition and adequate participation of women in Senior Management; and
- Effective succession planning, talent management and human capital development for the Board and key officers.

The NRC shall also set the policies and procedures to determine the remuneration of the Board of Directors, Senior Management and employees ensuring that they are based on the Company's performance and that they are fairly rewarded and sufficient to attract and retain talents.

The Terms of Reference of the NRC is available on the Company's website at www.wascogreenergy.com.

2. MEMBERS AND MEETINGS

The members and details of attendance of Directors at the NRC meeting of the Company for the financial year ended 31 December 2025 ("FY 2025") are as follows:

Name of Director	Directorship	No. of NRC Meeting Attended
Ng Ing Peng (Chairperson)	Senior Independent Non-Executive Director	1/1
Ramanathan A/L P.R. Singaram (Member)	Non-Independent Non-Executive Director	1/1
Roslina Binti Abdul Rahman (Member)	Independent Non-Executive Director	1/1

3. DUTIES AND RESPONSIBILITIES

The duties and responsibilities of the NRC, including but not limited to the following:

Nomination

- Determine the core competencies and skills required of Board members to best serve the business and operations of the Group as a whole and the optimum size of the Board to reflect the desired skills and competencies;
- Review the size of Non-Executive participation, Board balance and determine if additional Board members are required and also to ensure that at least one-third (1/3) of the Board is independent;
- To review and assess the skills, expertise, experience, gender, age, ethnicity, time commitment and independence of its Directors to ensure their relevance and the efficiencies and effectiveness of the Board as a whole including its effectiveness in:
 - promoting a diverse Board composition which includes appropriate number of woman Director(s), as required under the Main Market Listing Requirements ("MMLR") of Bursa Malaysia Securities Berhad ("Bursa Securities"); and
 - addressing the Group's material sustainability risks and opportunities.
- Recommend to the Board on the appropriate number of Directors to compose the Board which should fairly reflect the investments of the minority shareholders in the Company, and whether the current Board representation satisfies this requirement;
- To assess the independency of the Independent Directors;
- Recommend to the Board, candidates for directorships to be filled by the shareholders or the Board;
- Consider in making its recommendations, candidates for directorships proposed by the Chief Executive Officer and, within the bounds of practicability, by any other senior executive or any Director or shareholder;

NOMINATION AND REMUNERATION COMMITTEE

- Consider utilising independent sources in the event suitable candidates could not be sourced from recommendations;
- Recommend to the Board, Directors to fill the seats on Board Committees;
- Undertake an annual review of the required mix of skills and experience and other qualities of Directors, including core competencies which Non-Executive Directors should bring to the Board and to disclose this forthwith in every Annual Report;
- Assist the Board to introduce a criteria and to formulate and implement a procedure to be carried out by the NRC annually for assessing the effectiveness of the Board as a whole, the Board Committees and for assessing the contributions of each individual Director;
- Introduce any regulation which would enable the smooth administration and effective discharge of the NRC's duties and responsibilities;
- To furnish a report to the Board of any findings of the NRC;
- To recommend to the Board for continuation or discontinuation in service of Directors as an Executive Director or Non-Executive Director;
- To recommend Directors who are retiring by rotation to be put forward for re-election;
- To recommend to the Board the employment of the services of such advisers as it deems necessary to fulfil the Board's responsibilities;
- To review the term of office and performance of the Audit Committee and each of its members annually;
- To review the appointment and termination of Key Senior Management of the Group;
- To review the appointment, re-appointment, re-election and/or resignation of Directors on the Board of the Company and of its subsidiaries, where necessary;
- To review the composition, quality, capacity, competencies and effectiveness of the Board of the subsidiaries, where necessary; and
- To review the participation of women in Senior Management to ensure that there is a healthy talent pipeline.

Remuneration

- Review, recommend and advise on all forms of Directors' remuneration e.g.:

- Basic Salary
- Profit-sharing schemes (if any)
- Share options
- Any other benefits;

- To establish fair, formal and transparent procedures for developing a policy for the Board and Senior Management's remuneration and for fixing the remuneration packages of individual Directors and Senior Management;
- To determine the appropriate level of remuneration for the Board and Senior Management based on the Company's performance in managing material sustainability risks and opportunities;
- To structure the component parts of the Executive Directors' remuneration so as to link rewards to corporate and individual performance; whereas, in the case of Non-Executive Directors, the level of remuneration should reflect the experience and level of responsibilities undertaken by the particular Non-Executive Director concerned;
- Conduct continued assessment of individual Executive Directors to ensure that remuneration is directly related to performance over time.
- In this regard, the review of Non-Executive Directors' fees may take place at a different time of the year from the review of Executive Directors' salaries;
- To monitor and assess the suitability of such proposed performance related formula (e.g. whether the formula is based on individual performance, company profit performance, earnings per share, etc.) and to see that awards under the Company's share option schemes are consistent with the Company's overall performance and provide an additional incentive to Management;

NOMINATION AND REMUNERATION COMMITTEE

- To provide an objective and independent assessment of the benefits granted to Executive Directors;
- To ensure that there are adequate pension arrangements for the Executive Directors;
- To consider, the extent of the details of the Board and Key Senior Management's remuneration to be reported in the Company's Annual Report in compliance with the Malaysian Code on Corporate Governance ("MCCG") and the MMLR;
- To review the Remuneration Policy for the Board and Senior Management of the Group in order to attract and retain key personnel of requisite quality that increases productivity and profitability in the long run. The Remuneration Policy is available on the Company's website at www.wascogreenergy.com. The Remuneration Policy and procedures determines the remuneration of Directors and Senior Management which takes into account the demands, complexity and performance of the Company as well as the skills and experience required and which properly reflect the different roles and responsibilities of the Executive Directors, Non-Executive Directors and Senior Management accordingly;
- To review and determine the appropriate remuneration package for the Board and Key Senior Management of the Group.
- To review the salary increment or adjustment in the event of promotion or re-designation of Key Senior Management of the Group, where necessary;
- To review the annual increment and bonus payment for Key Senior Management of the Group basing on the performance of the Group and performance of the individuals, where necessary;
- To establish schemes, options and remuneration and compensation plans for the Board of Directors and Key Senior Management of the Group, where appropriate.

4. ACTIVITIES UNDERTAKEN

The summary of activities undertaken by the NRC in respect of the FY 2025 are as follows:

4.1 Proposed Annual Increment and Bonus for Employees, Senior Management and the Executive Director

a. Group's Key Performance Indicators ("KPIs")

On 19 November 2025 and 11 February 2026, the NRC discussed the achievement of the Group's KPIs for the FY 2025. The KPIs are derived from the financial target and the non-financial targets comprising the Safety Pillar, People Pillar and Sustainability Pillar. The NRC also reviewed and deliberated on the KPIs for the financial year ending 31 December 2026 and the weightage for the financial target and the non-financial targets comprising the Safety Pillar, People Pillar, Sustainability Pillar and Digitalisation Pillar.

b. Annual Increment Rate

On 19 November 2025 and 11 February 2026, the NRC reviewed the proposed annual increment rates for the financial year ending 31 December 2026 before recommending to the Board for approval.

c. Proposed Bonus Payout

On 11 February 2026, the NRC reviewed the performance of the Group against the KPIs established in respect of the FY 2025 and the proposed bonus payout for the Group accordingly.

4.2 Proposed Board Fees and Meeting Allowances

On 11 February 2026, the NRC reviewed the Directors' Fees and Meeting Allowances payable to the Non-Executive Directors to ensure that they align with the current market rate and the Company's financial performance.

On 3 April 2026, the NRC further reviewed and considered the revised Directors' Meeting Allowances payable to the Non-Executive Directors, taking into account, amongst others, the increased scope of responsibilities of the Board and the anticipated number of potential meetings.

4.3 Re-election of Directors

On 11 February 2026, the NRC reviewed the Board members who were due for retirement by rotation pursuant to Clause 114 and Clause 121 of the Company's Constitution and are eligible for re-election based on the fit and proper criteria as outlined in the Directors' Fit and Proper Policy. The NRC was satisfied with the outcome of the

assessments which includes the submission of the Fit and Proper Declaration Forms by the retiring Directors to the NRC.

4.4 Board's Performance Evaluation

On 11 February 2026, the NRC assessed the annual evaluation conducted on the performance and the effectiveness of the Board as a whole, the Board Committees and contribution of each individual Director using a set of customised assessment questionnaires to be completed by the Directors.

The results of the assessment were compiled and tabled to the Board for review and deliberation. The Board was pleased with the results and outcome of all the annual evaluations and assessments conducted, with the appropriate size and composition of the Board which is well-balanced and has the right mix of skills sets and comprising individuals of high calibre and credibility to enable the Board to discharge its fiduciary duties and responsibilities effectively.

The NRC is satisfied with the existing Board composition with regards to the mix of skills, experience, expertise and independence in meeting the required needs of the Company, taking into consideration the gender diversity and ethnicity of the members of the Board. The Board is supported by the core Senior Management team having the relevant and appropriate qualifications, experience and competencies in their respective roles and functions.

4.5 Assessment of the Independent Directors

On 11 February 2026, the NRC assessed the independent review and assessment conducted on the Independent Directors based on the Independent Directors' Annual Declaration Form and the NRC was satisfied with the outcome and results whereby all the Independent Directors fulfil the criteria required for an Independent Director as prescribed under the MMLR.

4.6 Review of the Audit Committee

On 11 February 2026, the NRC reviewed and assessed the terms of office and performance of the Audit Committee as a whole and each of its members pursuant to Paragraph 15.20 of the MMLR, based on a set of customised questionnaires. The NRC opined that the Audit Committee and each of the members had carried out their duties in accordance with their Terms of Reference.

NOMINATION AND REMUNERATION COMMITTEE

4.7 Financial Literacy of Audit Committee Members

On 11 February 2026, the NRC reviewed and assessed the financial literacy assessment for each Audit Committee members pursuant to Guidance 9.5 of the MCCG, based on a set of questionnaires. The NRC was pleased with the outcome of the assessment.

4.8 Nomination and Remuneration Committee Report

On 3 April 2026, the NRC reviewed the Nomination and Remuneration Committee Report for incorporation into the Company's Annual Report 2025.

5. COMPLIANCE WITH THE MMLR

The current Board composition fulfilled the requirements of the MMLR to have at least one (1) woman Director on Board and one third (1/3) of the Board are Independent Non-Executive Directors.

6. DIRECTORS' FIT AND PROPER POLICY

The Directors' Fit and Proper Policy was established on 26 June 2025 to guide the NRC in the appointment, re-appointment and/or re-election of Directors, Chief Executive Officers and Chief Financial Officers of the Group based on a list of fit and proper criteria to ensure their quality, competencies and integrity to discharge their roles effectively. The terms of the Directors' Fit and Proper Policy are reviewed and updated from time to time to ensure that they are relevant and in line with the requirements of all relevant acts, rules and guidelines currently in force.

The Directors' Fit and Proper Policy is available on the Company's website at www.wascogreenergy.com.

7. DIVERSITY POLICY

The Diversity Policy was established on 26 June 2025 to promote diversity in the Company and Group's Board of Directors, Senior Management and workforce whereby gender diversity is essential to attain effective strategic objectives of the Group, to enhance sustainable growth and development, and to promote better corporate governance.

The terms of the Diversity Policy are reviewed and updated from time to time to ensure that they are relevant and in line with the requirements of all relevant acts, rules and guidelines currently in force. The Diversity Policy is available on the Company's website at www.wascogreenergy.com.

BOARD SUSTAINABILITY COMMITTEE

The Board Sustainability Committee ("BSC") was established on 26 June 2025 to oversee the Economic, Environment, Social and Governance ("EESG") initiatives undertaken by the Company.

1. ROLE OF THE BOARD SUSTAINABILITY COMMITTEE

The BSC assists the Board fulfilling its corporate governance and oversight responsibilities in relation to the relevant acts, laws, requirements, codes, regulations and policies governing the Company. The BSC also oversees the development and implementation of the Group's sustainability related framework, anti-bribery and corruption compliance and related policies.

The BSC shall have the authority to investigate any matters within its Terms of Reference and as authorised by the Board, including seeking any information from any parties and to obtain outside legal or other independent professional advice at the Company's expense, if the BSC considers necessary.

The BSC reports and updates to the Board on matters and findings and makes the necessary recommendations to the Board within its Terms of Reference or as authorised by the Board.

The Terms of Reference of the BSC are available on the Company's website at www.wascogreenergy.com.

2. MEMBERS AND MEETINGS

The members and details of attendance of Directors at the BSC meeting of the Company for the financial year ended 31 December 2025 ("FY 2025") are as follows:

Name of Director	Directorship	No. of BSC Meeting Attended
Roslina Binti Abdul Rahman (Chairperson)	Independent Non-Executive Director	1/1
Ng Ing Peng (Member)	Senior Independent Non-Executive Director	1/1
Ramanathan A/L P.R. Singaram (Member)	Non-Executive Non-Independent Director	1/1

3. RESPONSIBILITIES AND DUTIES

The BSC undertakes oversight of the following:

A. Sustainability

- (a) Oversee the formulation of the Group's overall sustainability framework and strategies, including principles and policies which are aligned with related regulations and standards.
- (b) Monitor the implementation of the Group's overall sustainability framework, including principles, policies, initiatives, activities, strategies, and plans undertaken or implemented.
- (c) Review and recommend to the Board the development and implementation of the Group's sustainability-related strategies, goals, initiatives, business plans and major action plans.
- (d) Oversee the Group's sustainability commitments and initiatives, encompassing the EESG matters in alignment with the Group's vision, mission and values.
- (e) Review the relevant compliance with the regulatory and public commitments on sustainability matters and monitor the effectiveness of the risk management framework related to sustainability and EESG matters including risk appetites and risk policies.
- (f) Review and consider other sustainability and EESG related matters referred by the Board.
- (g) Ensure the EESG risks identified are incorporated into the risk register and the oversight of each significant risk is the responsibility of the Board.
- (h) Consider and determine the Group's position on relevant emerging sustainability issues, and consider and recommend proposals, targets and commitments in connection thereto.
- (i) Oversee and assess the Group's contribution to, impact on and role in environmental, climate change and society in countries where it operates.

BOARD SUSTAINABILITY COMMITTEE

- (j) Facilitate the necessary sustainability reporting and disclosures as required by the relevant regulatory and government authorities including the Annual Report of the Company.
- (k) Perform any other duties relating to sustainability as may be required or authorised by the Board.

B. Anti-bribery and Corruption Compliance

- (a) Oversight of development and implementation of the Group's Business Ethics Principles, Anti-Bribery and Corruption Policy, Anti-Bribery Management System ("ABMS") and Whistle Blowing Policy as implemented by the Integrity Committee ("IC") in relation to anti-bribery and corruption, whistle blowing and non-financial risks.
- (b) Advise the Board and the Management through oversight and reporting by the IC on the anti-bribery and corruption, legislative and regulatory landscape to ensure compliance.
- (c) Review the adequacy of compliance programme of the Group and the implementation of the relevant anti-bribery and corruption control measures, including but not limited to, due diligence process, compliance checks and monitoring, as well as the authorities' raid procedures, to ensure ongoing awareness programme, communication, training and education on compliance disseminated to all employees, consultants, associates, suppliers and stakeholders of the Group with oversight by the BSC.
- (d) Review the ABMS from time to time to ensure that the Group is in compliance with the Malaysian Anti-Corruption Commission Act 2009, the Companies Act 2016, the Main Market Listing Requirements and other legislative and reporting requirement with IC responsible for implementation and BSC for oversight.
- (e) Identify the bribery and corruption risks which the Group might reasonably anticipate and receive the bribery risk assessment and the report of any findings from the IC for review and submission of recommendations to the Board through BSC.

- (f) Inquire into any allegation of bribery or act of corruption and ensure appropriate actions are taken.
- (g) Supervise, monitor and manage the complaints received pertaining to bribery, corruption, abuse of power, malpractice and violation of business conduct within the Group.
- (h) Monitor and review the development and implementation of the anti-bribery and corruption, legislative and regulatory landscape. The IC is responsible for implementation, while the BSC ensures that the measures are appropriate, effective, adequately enforced and conformance to the requirements of ISO37001:2016 standard.
- (i) Perform any other activities relating to anti-bribery and corruption, as authorised by the Board.

4. SUMMARY OF ACTIVITIES

The summary of activities undertaken by the BSC in respect of the FY 2025 are as follows:

4.1 Sustainability

On 19 November 2025 and 11 February 2026, the BSC deliberated on the updates of activities undertaken and discussed at the Sustainability Steering Committee ("SSC") meetings held quarterly:

- Formally established the SSC and approved its terms of reference to support and report to the BSC in the implementation, monitoring and coordination of sustainability and ESG-related initiatives across the Group.
- The BSC reviewed the Group's sustainability performance against its 2025 targets and deliberated on the refinement of targets and initiatives for 2026. The BSC ensured that the strategic objectives across the Environmental, Social, and Governance ("ESG") pillars remain comprehensive, robust, and measurable:

BOARD SUSTAINABILITY COMMITTEE

- Environmental Stewardship

The BSC reviewed the Group's environmental performance against established 2025 targets, focusing on greenhouse gas ("GHG") emissions, energy management, and resource efficiency.

The Group targets a 35% renewable energy mix and a 5% reduction in stationary combustion emission intensity from the 2023 baseline. In year 2025, renewable energy contributed 38% of the Group's renewable energy reliance, exceeding the target, supported by continued investment in solar infrastructure. Stationary combustion emissions remained minimal and not material to overall emissions performance.

In water and waste management, the Group aims to achieve 7% of water usage from recycled and harvested sources while maintaining zero non-compliance in hazardous material management. During the year, 0.64% (179 m³) of total water consumption was sourced from rainwater harvesting. The Group maintained full compliance with all hazardous material management requirements.

- Social Responsibility

The BSC evaluated the Group's performance across key social priorities, including Diversity, Equity and Inclusion ("DEI"), employee development and workforce wellbeing.

The Group exceeded its target of 15% female representation in leadership positions, achieving 29% representation at the managerial level. Talent development remained a key focus, with employees recording an average of 16.9 training hours per person, exceeding the 12-hour target.

Employee wellbeing initiatives were conducted consistently throughout the year to promote engagement and a positive workplace environment. The Group maintained zero incidents of non-compliance with Human Rights standards, International Labour Organization ("ILO") requirements and applicable labour regulations.

- Governance and Ethics

The BSC maintained oversight of the Group's governance framework, with a focus on business ethics, compliance and risk management.

The BSC reviewed the effectiveness of internal controls across Finance, Legal and Corporate Governance functions to ensure robust risk identification, assessment and mitigation. The Group maintained full compliance with all applicable governance requirements throughout the reporting period.

No "Very High Risk" exposures were identified, reflecting the strength and effectiveness of the Group's risk management and internal control framework.

- Reviewed periodic Sustainability Statement to ensure that formulated strategies, objectives, and action plans were implemented in alignment with the specific United Nations Sustainable Development Goals ("SDGs") adopted by the Group.
- A double materiality assessment exercise was introduced to identify and prioritise top ESG risks, including climate change, safety, and compliance. This exercise incorporates stakeholder perspectives and financial implications, aligning with evolving sustainability reporting standards.

4.2 Anti-Bribery and Corruption Compliance

On 19 November 2025, the BSC deliberated on the updates of activities undertaken and discussed at the Integrity Committee meetings held quarterly to ensure that the proposed measures and initiatives to prevent bribery and corruption within the Group were adequately in place.

- Formally established the Integrity Committee to oversee the implementation of the Group's ethical policies and compliance frameworks.
- Deliberated on quarterly updates regarding integrity initiatives to ensure measures to prevent bribery and corruption were adequately maintained.
- Monitored the rollout of comprehensive anti-bribery training programmes and the implementation of localized ABMS manuals and control measures across the Group. Achieved 100% completion of anti-bribery training for employees, reinforcing a strong culture of integrity and compliance.

5. ESTABLISHMENT OF NEW POLICIES

On 11 February 2026, the BSC recommended and the Board approved, the adoption of the following policies:

- (i) Sustainability Policy was established on 11 February 2026. The policy reflects the Group's commitment to integrating economic, environmental, social, and governance considerations into its business strategies and operations.

The Sustainability Policy is available on the Company's website at www.wascogreenergy.com.

- (ii) Group Human Rights Policy was established on 11 February 2026. The policy reflects the Group's commitment to upholding human rights and serve as a guideline for all employees, partners and stakeholders across the Group to promote a work environment that respects and protects human rights in all aspects of its operations.

The Group Human Rights Policy is available on the Company's website at www.wascogreenergy.com.

- (iii) Anti-Money Laundering Policy was established on 26 June 2025. The policy demonstrates the Group's commitment to combating money laundering and terrorism financing within the Group. The Anti-Money Laundering Policy complements, and should be read in conjunction with the Business Ethics Principles, Directors' Code of Ethics, Anti-Bribery and Corruption Policy, Conflict of Interest Policy and Whistle Blowing Policy.

The Anti-Money Laundering Policy is available on the Company's website at www.wascogreenergy.com.

ADDITIONAL COMPLIANCE INFORMATION

1. Utilisation of Proceeds

The Company had raised gross proceeds of RM75.0 million from the initial public offering exercise and the utilisation of proceeds as at 31 December 2025 are as follows:

Utilisation of proceeds	Proposed utilisation RM'000	Actual utilisation RM'000	Balance to be utilised RM'000	Estimated timeframe for utilisation
1. Expansion through investments, acquisitions and strategic partnership relating to the ownership and operation of biomass steam power plant ("Asset Ownership")	38,200	-	38,200	Within 36 months
2. Expansion of operation in Indonesia	5,500	-	5,500	Within 24 months
3. Capital expenditure for new equipment and machinery and upgrade of headquarters	12,500	-	12,500	Within 24 months
4. Digitalisation of business systems and processes	5,000	-	5,000	Within 36 months
5. Research and development ("R&D")	4,000	-	4,000	Within 24 months
6. Estimated listing expenses	9,800	(7,442)	2,358	Within 3 months
	75,000	(7,442)	67,558	

The utilisation of proceeds as disclosed above should be read in conjunction with the Prospectus of the Company dated 20 November 2025.

2. Recurrent Related Party Transactions of a Revenue or Trading Nature and Provision of Financial Assistance

The Company and its subsidiaries did not enter into any recurrent related party transactions of a revenue or trading nature, nor provided any financial assistance, which required a shareholders' mandate during the financial year ended 31 December 2025 ("FY 2025").

3. Material Contracts

During the FY 2025, neither the Company nor its subsidiaries entered into any material contracts involving the interests of Directors, the Chief Executive, or major shareholders, except for the following:

- (a) On 19 June 2025, the Company entered into a conditional share sale agreement with Tema Energy Ventures Sdn. Bhd. ("Tema Energy") for the acquisition of 1,000,000 ordinary shares in Wasco Thermal Sdn. Bhd. ("WTSB") (representing the remaining 40.0% equity interest in WTSB) from Tema Energy for a total purchase consideration of RM19,301,360 to be satisfied via the issuance and allotment of 14,404,000 shares in the Company at an issue price of RM1.34 per share. The share sale was completed on 28 October 2025.

4. Audit And Non-Audit Fees

The amount of fees paid/payable to the External Auditors, PricewaterhouseCoopers PLT and its affiliates, for the audit and non-audit services rendered to the Company and its subsidiaries for the FY 2025 are as follows:

	Company RM	Group RM
Audit fees	60,000	234,000
Non-audit fees*	2,028,695	2,113,595
Total	2,088,695	2,347,595

* Non-audit services rendered during the FY 2025 included professional fees related to the initial public offering, the review of the Statement on Risk Management and Internal Control ("SORMIC"), statutory tax compliance and advisory services, and the independent limited assurance review of selected sustainability indicators.

ADDITIONAL COMPLIANCE INFORMATION

5. Updates on non-compliance incidents -Major Licences, Permits and Approvals

As at 31 March 2026, save for the non-compliance incidents set out below, the Group has complied in all material respects with the requirements of its major licences, permits and approvals, and there were no other material breaches that would have a significant impact on its operations:

No.	Nature of non-compliance	Status as at the 31 March 2026	Estimated time for rectification
1.	<u>Construction of extension without building plan approval and occupation of such extension without Certificate of Completion and Compliance ("CCC")</u> An extension had been constructed at the Wasco AgroTech Sdn. Bhd. ("WATSB") factory bearing the postal address Lot 1929, Jalan Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor ("Extension")	The project's Planning Permission ("PP") process is now in its final stages with Shah Alam City Council ("SACC"). Following the initial submission in November 2025, a standard review by the council prompted necessary updates to our architectural drawings and supplementary documents to ensure complete alignment with all regulatory requirements. Our team worked diligently to address this feedback, completing a formal and compliant re-submission by January 2026. This proactive step has placed the project on a clear path forward, and barring unforeseen circumstances, we are expecting to receive PP approval by end April 2026 or early May 2026. This critical milestone will directly enable the subsequent issuance of the CCC and the commencement of the Fire Certification application.	The planning permission and building plan approval is expected to be obtained by end April 2026 or early May 2026. The CCC is expected to be obtained within 3 months from the date of receipt of the building plan approval.
2.	<u>Construction of roof without building plan approval and occupation of such roof area without CCC</u> A roof had been constructed at the Wasco Thermal Sdn. Bhd. ("WTSB") factory, bearing the postal address Lot 1944 Jalan Sungai Terap 32/173, Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor Darul Ehsan ("Lot 1944") and Lot 1945 Jalan Sungai Terap 32/173, Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor Darul Ehsan ("Lot 1945") ("Roof Area")	Our Company had appointed a consultant to manage the amalgamation of Lot 1944 and Lot 1945 ("Land Amalgamation"). Following significant administrative delays with a previous application at the Pejabat Daerah dan Tanah Klang ("PTD Klang"), decisive action has been taken to move the project forward. A new consultant has been appointed to prepare a fresh submission for the amalgamation of two industrial lots in Mukim Klang, Selangor. The immediate objective is to secure amalgamation approval from the SACC. This approval is a critical step that will enable the project to proceed with obtaining a new, unified land title for the amalgamated lots. This strategic reset aims to overcome previous hurdles and ensure the successful amalgamation of the land parcels Upon obtaining approval for the Land Amalgamation, our Group will proceed to submit an application to Pejabat Tanah dan Galian Selangor ("PTGS") for the issuance of a new land title evidencing the amalgamated Lot 1944 and Lot 1945 ("New Land Title"). Upon receiving the New Land Title, the Group will submit an application for the planning permission, building plan approval and CCC for the Roof Area.	The latest timeline estimates the planning permission process with SACC will take approximately four months, from April to August 2026. Following this, the land title amalgamation process at the Land Office is expected to take an additional nine months, from September 2026 to May 2027. The entire project, including the subsequent building approval phase, is projected to take 21 months. The approval for the Land Amalgamation Application will be obtained within 3 months from the date of submission of the Land Amalgamation Application. Upon receipt of the approval for the Land Amalgamation, our Group will submit an application to PTGS for the issuance of the New Land Title. The Group expects to receive the New Land Title within 3 months from the date of its application to PTGS for the New Land Title. Thereafter, our Group will submit the application for the planning permission and building plan approval for the Roof Area. The approval process is expected to take within 3 months. The CCC is expected to be obtained within 3 months from the date of receipt of the building plan approval.

ADDITIONAL COMPLIANCE INFORMATION

No.	Nature of non-compliance	Status as at the 31 March 2026	Estimated time for rectification
3.	<u>Operating a factory without a fire certification</u> WATSB is operating the WATSB factory located at Lot 1929, Jalan Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor without a fire certification.	WATSB, through its consultant, had appointed a professional architect to handle the application to fire and rescue department of Malaysia ("BOMBA"), for the fire certification for the WATSB factory. Upon receipt of the CCC, our Group's consultant will then prepare the online application for the fire certificate via BOMBA's "e-Premis" online portal commencement of the fire certificate application. Our Group's consultant is of the view that if our Group is able to demonstrate that our Group is actively working towards rectifying the non-compliance, the relevant authorities are unlikely to enforce penalties against our Group, including requiring our Group to cease operations at the WATSB factory.	Upon completion of BOMBA's inspection procedure and if the WATSB factory is in compliance with fire safety requirements, our Group expects BOMBA to issue the fire certificate within 1 month from the date of BOMBA's inspection.
4.	<u>Operating a factory without a fire certification</u> WTSB is operating the WTSB factory located at Lot 1944 and Lot 1945, Jalan Bukit Kemuning, Seksyen 32, 40460 Shah Alam, Selangor without a fire certificate.	The Group appointed a new consultant in February 2026. Following the land amalgamation, the final 8-month phase focuses on securing all building-related approvals. This stage involves obtaining approval for the building plans, including from the BOMBA, which leads to the issuance of the CCC. According to the timeline, the application for and issuance of the fire certificate is the very last step in this sequence, marking the successful completion of the entire project. Therefore, the fire certificate is expected to be obtained towards the end of December 2027.	The fire certificate is expected to be obtained towards the end of December 2027.

The updates on non-compliance incidents in relation to the major licences, permits and approvals as disclosed above should be read in conjunction with the Prospectus of the Company dated 20 November 2025.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

The Board of Directors of the Company ("the Board") is pleased to present this Statement on Risk Management and Internal Control ("Statement"), which outlines the nature and scope of the risk management and internal control systems of Wasco Greenenergy Berhad and its subsidiaries ("the Group") for the financial year ended 31 December 2025 ("FY 2025"). This Statement is prepared in accordance with Paragraph 15.26(b) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") ("MMLR") and is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers, read together with the Malaysian Code on Corporate Governance.

The Board confirms that there is an ongoing process for identifying, evaluating and managing significant risks faced by the Group throughout the FY 2025 and up to the date of approval of this Statement.

The Board recognises that effective risk management and internal control are integral to safeguarding shareholders' interests, supporting sustainable business performance and achieving the Group's strategic objectives. Accordingly, the Board remains committed to maintaining a structured, systematic and proactive framework for managing risks and strengthening the Group's internal control environment.

BOARD'S RESPONSIBILITIES

In discharging its responsibilities, the Board recognises the importance of sound risk management and internal control practices as an integral component of good corporate governance. The Board acknowledges its responsibility for overseeing the Group's risk management and internal control systems. It receives reports on principal and emerging risks and monitors the adequacy of controls in place. The Board also relies on assurance from Management and the Audit Committee to confirm that risk management and internal control processes are functioning as intended.

The Group's Risk Management Framework is guided by ISO 31000:2018 and is designed to support the organisation at different stages of risk maturity. This framework provides a structured and systematic approach to identifying, evaluating and managing significant risks, supported by an established reporting structure and regular reviews of the adequacy and effectiveness of risk management processes.

The Group's system of internal control is designed to manage and mitigate risks to an acceptable level, rather than to eliminate the risk of failure in achieving business objectives. Given the inherent limitations of any system of internal control, such systems can only provide reasonable assurance and not absolute certainty.

In evaluating the adequacy and effectiveness of the Group's risk management and internal control systems, the Board is supported by the Audit Committee ("AC") and the Risk Management Committee ("RMC"). During the FY 2025, the AC received reports from the RMC confirming that the Group's risk management and internal control systems were operating adequately and effectively in all material aspects, based on the existing frameworks in place and the Board is of the view that they are adequate and effective in managing the Group's risks within the approved risk appetite, and safeguards the Group's assets and the interests of shareholders, customers, regulators and employees for the FY 2025 and up to the date of approval of this Statement.

The Board has also received written assurance from the Chief Executive Officer and the Head of Finance that the Group's risk management and internal control systems have operated adequately and effectively, in all material aspects, during the financial year under review.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

RISK MANAGEMENT COMMITTEE ("RMC")

The RMC supports the Board, through the AC, in overseeing the effectiveness of the Group's risk management framework and ensuring that sound risk management practices are embedded across the Group's culture, processes and organisational structures.

The RMC meets quarterly to review the Group's principal and emerging risks and to ensure that such risks are managed within acceptable levels.

The RMC is chaired by the Chief Executive Officer and comprises members of the Group's senior management team, enabling risk considerations to be integrated into strategic and operational decision-making.

The key responsibilities of the RMC include, amongst others:

- Reviewing the Group's Risk Management Framework, as and when necessary, for recommendation to the AC and approval by the Board;
- Ensuring that processes for identifying, assessing, managing and monitoring areas of material business risks;
- Conducting annual review and periodic testing of the Company's internal control and risk management framework;
- Advising the AC on the Group's current risk exposures and futures risk strategy based on its overall risk appetite;
- Providing guidance to relevant personnel on the adequacy and effectiveness of internal controls in identifying and mitigating material business risks; and
- Undertaking such other risk management matters as may be delegated by the Audit Committee ("AC") or the Board from time to time.

KEY ELEMENTS AND PROCESSES ON RISK MANAGEMENT AND INTERNAL CONTROLS

The key elements and processes established by the Group to review the adequacy and effectiveness of its risk management and internal control systems include the following:

RISK MANAGEMENT

The Group has established a Risk Management Framework ("Framework") which is embedded within its management system and provides a structured approach for identifying, evaluating and managing risks. The Framework defines the authority, accountability and responsibilities for the implementation of risk management and internal control processes across the Group.

The Management, through the RMC, supports the Board in implementing the risk management process by identifying and assessing significant risks within their respective areas of responsibility and by formulating appropriate internal controls to mitigate and manage such risks. The Management provides reasonable assurance to the Board on the effectiveness of the Group's risk management and internal control systems.

Risk assessments are conducted by all business units and major departments within the Group to identify risks relevant to their operations. These risks are evaluated based on their likelihood of occurrence and potential

impact, taking into consideration existing controls and actions required to manage the risks to acceptable levels. The outcomes of these assessments are documented in risk registers, with each business unit maintaining its own register, facilitated by the Group's Risk Management function.

Risk assessment reports are submitted to the RMC on a quarterly basis. Significant risks identified by the business units are reviewed and deliberated during the RMC's meetings. The RMC reports to the AC on the principal risks affecting the Group, together with any material changes in the business or external environment that may impact the Group's risk profile.

The Board has approved the Framework, which sets out the governance structure and responsibilities across the Group. The responsibility for implementing the Framework rests with Management, and is evidenced through the integration of risk management considerations into relevant business processes and decision-making to support the achievement of the Group's objectives.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

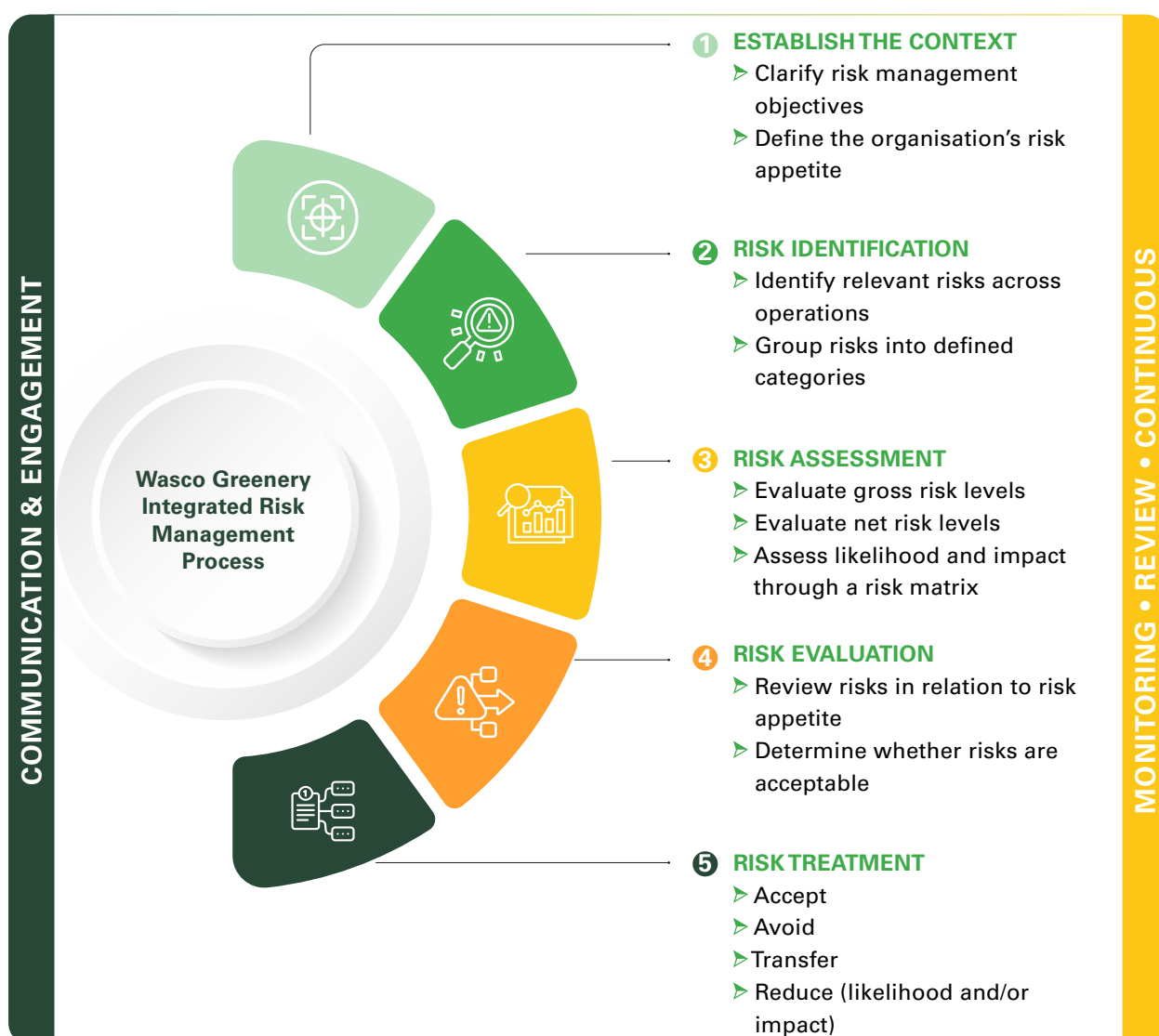
RISK MANAGEMENT FRAMEWORK

The Group's Framework provides a structured and systematic approach in managing risks in support of the Group's corporate objectives and strategies, within the Board-approved risk appetite.

The RMC supports the Board, through the AC, in overseeing the implementation and ongoing effectiveness of the Framework. In this regard, RMC reviews significant risks identified across the Group, including compliance risks relating to applicable laws, regulations, rules and guidelines, as well as material changes to internal controls and management information systems.

The Group's risk appetite and tolerance are set out in the Framework, which defines the nature and level of risk the Group is willing to accept in pursuit of its strategic objectives. Risk tolerance thresholds are defined for key risk categories and are monitored periodically to support management oversight. Any material deviation is reported to the AC as appropriate.

The review process also encompasses outputs from monitoring activities and periodic evaluations of the effectiveness of risk mitigation strategies and control measures, to ensure that key risks remain appropriately managed.



The Group's risk management process is aligned with ISO 31000:2018 and supports the achievement of strategic objectives within the Board-approved risk appetite.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

SUSTAINABILITY

Sustainability is a key driver of value creation, enhancing our resilience and competitiveness while supporting the long-term success of our organisation. It is integrated into our strategies, policies, and planning, ensuring our sustainability commitments are translated into practical business actions.

We engage regularly with internal and external stakeholders to understand their expectations and assess the impact of our sustainability initiatives. During the FY 2025, we conducted a double materiality assessment to ensure our strategic priorities address both financial and non-financial impacts, complemented by an annual targeted review to maintain focus and relevance. Moving forward, the double materiality assessment will be conducted once every two years to ensure that our focus remains relevant and aligned with evolving sustainability trends, industry developments and regulatory shifts. These assessments enable us to gather stakeholder input, validate material matters, and manage them effectively within our value creation framework.

Sustainability risks, including climate, social, and governance factors, are integrated into the Group’s Framework and are regularly reviewed by RMC to ensure alignment with the Group’s sustainability objectives.

Our Sustainability Statement is prepared in accordance with the MMLR and relevant international standards, reflecting our commitment to transparent reporting. Selected indicators including number of work-related fatalities, Lost Time Incident Rate and renewable energy reliance have undergone limited external assurance. Further details are provided in the Group’s Sustainability Statement 2025.

PRINCIPAL AND EMERGING RISKS

The Board, through the RMC and the AC, has identified and reviewed the principal risks affecting the Group. These broadly include:

Strategic and market risks

Operational and project execution risks

Financial and liquidity risks

Regulatory and compliance risks

Health, safety and environmental risks

Information technology and cybersecurity risks

Human capital, workforce and talent retention risks

Emerging risks, such as regulatory developments and supply chain matters, are periodically considered to support long-term sustainability.

INTERNAL AUDIT FUNCTION

Prior to the listing of the Company on the Main Market of Bursa Malaysia Securities Berhad, internal audit activities were performed by the internal audit function of the holding company, Wasco Berhad. Following the listing, the Group engaged an external firm, Axcelasia Sdn. Bhd. (“ASB”) to provide independent internal audit services.

ASB’s primary responsibility is to deliver their independent and objective assurance to support the Group in achieving its objectives, through a systematic and disciplined approach that evaluates and strengthens the effectiveness of risk management, internal controls, and governance. ASB previously assisted in the due diligence process for the Company’s initial public offering and will be extending its scope of engagement to undertake the Group’s internal audit function for the financial years 2026 and 2027.

The assessment of the Group’s internal control and risk management systems will be conducted in accordance with the engagement scopes approved by the AC, ensuring a structured and rigorous review aligned with the Group’s governance and risk management objectives.

The scope included organisational governance, financial management, strategic management, corporate liability, including the anti-bribery management system, business development, sales and marketing, human resource management, facilities and fixed assets management, foreign worker management, information technology general

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

controls, health, safety and environment, supply chain management, covering warehousing and logistics, as well as procurement of goods, services, and contract management, production and fabrication, quality assurance and quality control, and estimation and design engineering.

OTHER KEY ELEMENTS OF THE INTERNAL CONTROL SYSTEM

Internal control processes, which are embedded for effective Group's operations include:

- A clearly defined organisational structure and financial authorisation limits;
- Group policies, including Business Ethics Principles, Whistleblowing Policy and standard operating procedures to ensure compliance with internal controls, relevant laws, and regulations;
- Formal whistleblowing channels are established to enable confidential reporting of concerns. Reported matters are independently reviewed and escalated to the AC where appropriate;
- Periodic fraud risk assessments are conducted and anti-bribery controls are embedded within operational processes to mitigate corruption risks;
- Annual business plans of all business units are reviewed and approved by the Group Senior Management Team;
- Group budgets are reviewed and approved by the Board;
- Regular operational meetings at business units level are held to review the operational and key performance indicators against the approved budget;
- Utilisation of contract tendering and evaluation process for large projects;
- Weekly report on Group's cash position is monitored by Group Head of Finance; and
- Business continuity plans and disaster recovery procedures are maintained for critical operations.

Periodic site visits to business units are undertaken by Group Senior Management Team and/or the members of the Board whenever deemed appropriate.

The Group's risk management and internal control systems apply principally to subsidiaries where the Group exercises management control. For associate companies and joint ventures, oversight is exercised through the Board representation and shareholder reporting mechanisms, where applicable.

This Statement was duly approved by the Board by way of a circular resolution passed on 10 April 2026.

REVIEW OF THIS STATEMENT

As required by Paragraph 15.23 of the MMLR, the external auditors have reviewed this Statement on Risk Management and Internal Control.

Their limited assurance review was performed in accordance with Audit and Assurance Practice Guides ("AAPG 3") issued by the Malaysian Institute of Accountants. AAPG 3 does not require the external auditors to form an opinion on the adequacy and effectiveness of the risk management and internal control systems of the Group.

STATEMENT OF DIRECTORS' RESPONSIBILITY

The Directors are responsible for ensuring that the annual audited financial statements of the Company and the Group are drawn up in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Malaysian Companies Act 2016.

The Directors are also responsible for ensuring that the annual audited financial statements of the Company and the Group are prepared with reasonable accuracy from the accounting records of the Company and the Group so as to give a true and fair view of the state of affairs of the Company and the Group as at 31 December 2025, and of the results of their operations and cash flows for the financial year ended on that date.

In preparing the annual audited financial statements, the Directors have:

- (a) applied the appropriate and relevant accounting policies on a consistent basis and in accordance with applicable approved accounting standards;
- (b) made judgements and estimates that are reasonable and prudent; and
- (c) prepared the annual audited financial statements on a going concern basis.

The Directors are also responsible for taking reasonable steps to safeguard the assets of the Company and the Group to prevent and detect fraud and other irregularities.